

Quality Power Elect. (QPOWER)

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Call: Mar 2025

24th March 2025

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Dear Sir/ Ma'am,

Subject: - Submission of the Transcript of Q3 FY25 Earnings Conference Call held on 18th March 2025

Pursuant to Regulation 30 and 46(2)(oa) read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Q3 FY25 Earnings Conference Call that was organized with the Analysts/Investors on Tuesday, March 18, 2025 at 3.00 P.M. (IST) on Unaudited Standalone and Consolidated Financial Results of the Company for the third quarter and nine months ended December 31, 2024.

The aforementioned transcript of the 'Q3 FY25 Earnings Conference Call' is also uploaded on the Company's website i.e. www.qualitypower.com.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking You,

Yours faithfully,

For QUALITY POWER ELECTRICAL EQUIPMENTS LIMITED

Deepak Ramchandra Suryavanshi
Company Secretary and Compliance Officer
ICSI Membership No.: A27641

To,
National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai – 400051

NSE Symbol: QPOWER To,
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street,
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BSE Scrip Code: 544367
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"Quality Power Electrical Equipments Limited
Q3 FY25 Earnings Conference Call"
March 18, 2025

MANAGEMENT : MR. BHARANIDHARAN PANDYAN – JOINT MANAGING DIRECTOR

MR. MAHESH SARALAYA – WHOLE TIME DIRECTOR

MR. SHAILESH KUMAR MISHRA – INDEPENDENT DIRECTOR

MR. RAJESH JAYARAMAN – CHIEF FINANCIAL OFFICER

MRS. SARIKA JADHAV – SENIOR VICE PRESIDENT FINANCE

MR. SACHIN SHETTI – VICE PRESIDENT FINANCE

MODERATOR : MS. NIDHI – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Quality Power Electrical Equipments Limited Q3 FY25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi from ICICI Securities Limited. Thank you and over to you ma'am.

Nidhi: Welcome everyone to the Q3 FY25 conference call of Quality Power Electrical Equipment on the behalf of ICICI Securities. Please note that this is the first call post a successful listing last month. We have with us Mr. Bharanidharan Pandyan, Joint Managing Director, Mr. Mahesh Saralaya, Whole Time Director, Mr. Shailesh Kumar Mishra, Independent Director, Mr. Rajesh Jayaraman, CFO, Mrs. Sarika Jadhav, Senior VP Finance, Mr. Sachin Shetti, VP Finance. First, we will have introductory comments from the management post which we will have the Q&A session. Thank you and over to you sirs and ma'am.

Bharanidharan Pandyan: Good afternoon, everyone. My name is Bharanidharan Pandyan and I'm the Managing Director here at Quality Power. I thank all of you who have joined our first maiden Investor Call. At the outset, I thank our key investors, anchors and shareholders who have trusted and stood by us during the turbulent times in the up -posed IPO.

We recognize and acknowledge this trust and are committed to delivering on our objectives with precision and efficiency. This listing marks a new phase for Quality Power where we focus on leveraging our strengths to drive growth, technological advancement, industry leadership and stakeholder growth. At this interaction post listing, I would like to take a small moment to provide a brief overview of our company for the new joiners.

As Quality Power, we are into two businesses. One is high-voltage electrical power equipment. Another is power quality solutions. Our products and solutions play a crucial role in the efficient transmission and distribution of electricity, renewable energy, grid interconnection and energy transition where we focus on a lot more complexity of electrical distribution and generation.

We focus on our solutions on enhancing grid stability and reliability. Our high-voltage power products include reactors and line traps where we make up to 765 kV for a variety of applications. Instrument transformers up to 500 kV and we make small power special purpose transformers for various applications including data center, traction and power electronics.

Our power quality solutions include Harmonic Filters, Capacitor Banks, SVC, STATCOM which are primarily delivered from our facility out of Turkey that is Endoks. With multiple manufacturing facilities in India and Turkey, we are strategically positioned to serve the growing demand for high quality power equipment across various geographies and we have demonstrated the same over the past two decades in over 100 countries.

We also have a very strong in-house R&D capability which helps us innovate and develop products and solutions for the emerging applications in power electronics, smart grids and Quality Power Electrical Equipments Limited

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energy transition technology. Among the other developments post IPO, we have acquired 51% of Mehru Electrical and Mechanical Engineers in Bhiwadi that is in NCR, for about INR 120

crores. We have now also joined our operations together and we have invited the new family into our fold.

Additionally, we have also for the growth that we foresee in our businesses, we have

taken

decisive steps to expand our manufacturing capability based on heavy demand on our coil product lines. In the recent board meeting, the board approved investment at a 10-acre facility that has already been acquired next to us at E5 and E6 in Sangli and also enhanced capacity addition in Cochin plant of ours.

At this current moment in the Sangli business of power products, we have about INR 180 crores of order already booked giving more than a year's visibility and about INR 450 crores of order which have been almost negotiated and are awaiting POs at different points of time.

To support our further growth strategy and to conserve free cash flow on the books whatever we have, the board has also approved INR 125 crores soft loan from the promoter family at a repo plus 0.5 that is approximately 7% with a 15-year tenure that can be extended and a two-year moratorium that also can be extended offering a flexible penalty-free repayment.

This will help us ensure that all the free cash and profits being delivered by the company can go into growth capital as we expand in the near future due to the demand supply mismatch in high voltage product industry. Additionally, because of the options that have been given to us, the Board has decided to create an M&A committee with three Independent Directors and two Executive Directors under my Chairmanship to evaluate and what we say the different proposals in front of the Board, enhancing strategic alignment with our long-term vision.

Among the proposals, the Board has also looked into the consideration that we have had with STATCON Energia a company based in Noida with about 300 people and INR 170 crores revenue last year into power electronic products similar to ours and we would be taking post-negotiations and due diligence, a majority stake in the company.

Apart from it, to evaluate other proposals, the committee will be sitting in the near future to look at and finalize other options as and when available. Also, the market, especially in India where now we will see a lot more infrapower infrastructure coming up is what we say is driven by very heavy investments in transmission and distribution, so is in Europe and US.

Even recently as of day before yesterday, the UK has made a INR 59,000 crores order commitment on HVDC and its product lines, again creating similar valuation across the globe.

Quality Power, we have qualified for most of the projects across the globe and have the capacity and technological wherewithal to be able to add most of these solutions given capacity and support from the stakeholders, including supplier partners, customers and shareholders.

As we embark on this new chapter as a publicly listed company, our focus remains on capitalizing on growth opportunities, enhancing innovation and solidifying our leadership in this industry.

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We remain steadfast in our focus on scaling operations, enhancing efficiencies and driving long-term value creation for all stakeholders. I would like to again thank our investors for their trust and belief in our vision. We are committed to delivering sustainable growth over the long term and look forward to ongoing engagement with you as we execute the strategy.

With this, I now hand over the call to our CFO, Mr. Rajesh, who will take you through the financial and operational highlights. Thank you. Over to Mr. Rajesh.

Jayaraman Rajesh: Good afternoon, everyone. Thank you, Bharanidharan. I'm pleased to take you through the financial and operational performance of Quality Power Electrical Equipments Limited for Q3 and nine-month financial year 2025.

For Q3 FY 2025, our revenue from operations was recorded at INR 726 million driven by strong execution of order book, strong demand and improved product mix that enhanced realization. However, the revenues

were partially impacted by product execution cycles.

EBITDA for the quarter was INR 174 million, reflecting a 63.2% year-on-year increase, with margins expanding to a record 24%. This growth was supported by better capacity utilization, operational efficiency and shift towards higher margin products.

Our PAT grew by 44.6% year-on-year to INR 196 million, with a PAT margin of 24.5%. The increase in profitability was driven by robust revenue growth, margin expansion and disciplined cost management.

For 9M FY2025, we delivered revenue of INR 2,283 million, EBITDA of INR 491 million, reflecting a 174.4% year-on-year increase, with margins expanding to a record 21.5% and PAT of INR 697 million, grew by 83.5% year-on-year, with PAT margin of 26.5%, showcasing our strong business fundamentals and disciplined execution.

Our order backlog remained strong at INR 5,170 million, with an immediate order pipeline of INR 7,000 million. The strong orders inflow undertook sustained demand from the power transmission and distribution sectors.

Post December 2024, we have further strengthened our business fundamentals through strategic investments and acquisitions, as highlighted by Bharanidharan . We continue to focus on prudent capital allocations, cost optimization and enhance our operational efficiency.

Our balance sheet remains well capitalized, supported by the funds raised through the IPO and disciplined approach to financial management. Looking ahead, we are confident in sustaining growth by leveraging technological advancements, driving operational excellence, and executing strategic expansion initiatives. Our commitment to financial discipline and value creation remains unwavering, and we look forward to further strengthening our market position. With that, I conclude my remarks and open the floor for questions. Moderator, please proceed with the question -and-answer session. Thank you.

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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Hitesh from SBI General. Please go ahead.

Hitesh: Thanks for the opportunity. Good afternoon, gentlemen. Sir, my question moreover pertains to the nature of the revenue for this quarter. We have seen a 50% dip in the revenue. I believe this is a significant change in the product mix, because at a similar time, we have seen expansion in the gross margin also. So, I just wanted to understand the nature of the products which we have sold during the quarter and how this trend will be going forward? This is my first question.

And on the second question, sir, on the margin front, though we have seen a significant growth in the margin, I just want to understand on thought process from you especially that is this a peak margin what we have clocked, or the margin expansion is still possible from here on?

Bharanidharan Pandyan: Good afternoon, Hitesh . So, this is Bharanidharan here. I will answer your first question. The quarter -on-quarter numbers are, I believe, it is a new discipline that we will continue to inculcate and improve upon as we go ahead as a young company. This is something that we did not really focus upon earlier. However, highlighting what has happened i s last year, a lot of jobs of Q2 and Q4 had gone into Q3.

That is why if you look at the Q4 of last year, you will see a revenue, a very small revenue that has seen in Q4. Whereas this Q4, you know, looking at the way it is and our numbers, you will see a significant jump. It is nothing because our discipline of quarter -to-quarter was not there earlier, that is point one.

Point two is that what we say, some of the jobs, what we say in Turkey, which are typically a high value order, have not been delivered on time because of customer requirements on civil and other issues. We believe it will get located in wh

at is delivered in the next few quarters.

However, at the end of the year, we only see growth. We would see a lot more difference in Q4. That is on the sales and number side.

With regards to the margin, I believe the demand and supply is what is driving margins in most of the high voltage product segments, including my peers in the listed space. I believe for the current moment, or I would say in the next one to three years, we do not see any drastic difference unless there is a dollar or a metal disruption across the industry or a geopolitical risk.

Hitesh: So, sir, is it the right understanding that our margin is likely to be in this range only, that 24% what we have clocked it?

Bharanidharan Pandyan: I would believe that we should be around 20%, sir. I believe it is sustainable for a short to medium term.

Hitesh: Okay , the next question is about the strategic acquisitions you are planning or strategy. So, what is the product line of the business and what kind of revenue we have seen for that company, how it has grown over the next two to three years and what kind of syne rgies are we going to see from th ese acquisition s and how that company is going to help Quality Power in terms of our future growth prospect?

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Bharanidharan Pandyan: So, I would like to split the question into two segments. The first segment has been about Mehru. Mehru is something that we have already declared during the DRHP stages and RHP stages. Mehru is into high voltage instrument transformers up to 500kV. They h ave a factory in Bhiwadi with about 500 plus employees. This is a complementary product to our high voltage reactors and line traps where we see a lot more, what we say, combined offerings to our global customers.

We believe that, what we say, we will be able to sell their products and solutions in the global markets where we have a very strong presence. Also, their engineers who are working on other high voltage products and segments would be used to us in our combined R&D. They have about five high voltage step lumps where they are also having almost close to 100 engineers working on technology. That is on Mehru where we share common customers across the globe. With regards to STATCON, they are similar to our designated power electronics with Endoks. Their primary products are battery energy storage where they have been delivering, what we say, between 250-to-500-kilowatt energy storage solutions for commercial and industrial customers.

They are also supplying battery chargers for high voltage substations and different applications, which is a bouquet of our other high voltage products to our customers, especially the EP EC and high voltage customer base. They are also into rectifier power electronics, including green hydrogen. They have the first mover advantage having supplied NT PC and other defence applications.

The first green hydrogen projects in the country having already delivered a high-power rectifier and standing chance to increase upon their product offering. They are also having inverters and converters for renewable and defence applications, especially with regards to the new power electronics being inculcated in the renewable space and on the power quality space, again, which is significant to us. They are making STATCOM's and small power active filters in the low voltage retail and commercial space.

So, we believe that for all our businesses, they are in the similar ecosystem. And hence, that is why the board has approved that.

Hitesh: And sir, how are we going to fund that acquisition?

Bharanidharan Pandyan: The GCP, when we had, when we raised the money for the IPO, already allowed us close to 60 crores for another unidentified acquisition. We are using the money from the IPO and not from anywhere else.

Hitesh: So, you said INR 170 crores of acquis

ition. What is the size of the acquisition, sir? The amount - wise?

Bharanidharan Pandyan: That is yet not disclosed, sir. It will be told when the entire transaction cost post due diligence, but it will be within the range of the money that has been raised. The other discussion that has happened at this moment is it will be a primary only transaction.

Moderator: The next question is from the line of Nemish Sundar from Elara Capital. Please go ahead.

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Nemish Sundar: Thank you for the opportunity, sir. And congratulations on a good set of numbers. Sir, I just wanted to understand on the STATCON acquisition. So, what could be the potential margins for the company? Like, would it be in line with what our current sustainable margins we have guided of 20%? Would it be in line with that or slightly in variation to that?

Bharanidharan Pandyan: So, most of the companies that we buy, we believe in the product and the business line. It is up to our capability that we are able to increase our margins over a period of time. Both Mehru and Statcon have much lower margins than us. So, as a combined margin, it may be looking lower, but as standalone businesses, we will be doing fine. But we have drastically improved the margins of Mehru.

If you look at last year, their numbers were on a sale of about give and take INR 213 crores. They had done an EBITDA of about INR 13 plus crores. And in nine months, they have done almost INR 180 crores with an EBITDA of about INR 18 crores. So, you could see that once we go in, we normally try to improvise. And this is about nine months of our relationship with them.

The same thing you could expect with other companies that we enter. Because when you go into very high margin businesses, which are already doing very, very well, normally you will have to pay a lot more premium. And we believe in our ability to be able to improve margins.

Nemish Sundar: Okay. And sir, when could we see the acquisitions materialize and near completion?

Bharanidharan Pandyan: I believe we have been given a 3-month mandate. We should be able to wrap it subject to our due diligence. I believe ideally in the next 45 days is what we are targeting internally, but the Board has given a 3-month mandate.

Nemish Sundar: And so secondly, your business mix now is mostly concentrated towards the export market, but now with the Mehru acquisition and this new acquisition on the horizon, so, how could we see the mix change over the next 1 to 2 years?

Bharanidharan Pandyan: I believe even on our own product line, you could see the new HVDCs that are being announced in this country. The STATCOM's that are being announced, these are all mega orders that are coming in. You can see the amount of new renewable energy projects that are coming in. I believe for the immediate few quarters, the Indian revenue would increase. Also, a lot of

manufacturing revenue would increase, which would also stabilize our quarter -on-quarter numbers. However, as we again then push for these products in the global markets, we would again try to go back to 60:40, 60 being export.

Nemish Sundar: Okay. And so just one last thing, on the capex that you have said, it is a pretty large capex. So, how would you see the potential revenue from this on the peak front and in the near term, how could you see the revenue from this capex?

Bharanidharan Pandyan: So, as we declared, we have more than about INR 182 crores of order book as of now and about INR 450 crores of orders which are close to completion or negotiation. So, with a margin, expected margin of around 20%, that also delivers us about INR128 plus crores out of this. The Quality Power Electrical Equipments Limited
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cash and cash equivalent on our company based on the new profits that we are generating

is an excess of INR 60 - 65 crores.

So, I believe that we should be able to deliver the capex with our own reserves and the money that we'll be delivering out of profits in the next 1 or 2 years. However, we would like to retain our profits as a company for further growth initiatives in the inorganic phase. That is why the promoter have decided to give a very, very soft loan.

Basically, the depreciation and the interest would be more or less same. So, at any point of time, if we are sitting on a free cash flow and we do not have an acquisition around the quarter or the year, subject to board clearance, we may even prepay the loan. At this moment, we do not want to use our reserves to fund the capex, that's the only reason why we invested. We wanted to use it for growth capital.

Nemish Sundar: Okay, thank you so much, sir.

Moderator: Thank you. The next question is from the line of Naman Parmar from Niveshaay Investments. Please go ahead.

Naman Parmar: Yes, good afternoon, Pandyan sir. So, firstly, I just wanted to know how much the coil product would be contributing to your total revenue?

Bharanidharan Pandyan: I believe the way things are going on; it will be at this moment around close to 50%. But I believe going ahead in the future, it will be far higher than 50%.

Naman Parmar: And secondly, in the current order book, the INR 517 crores, sir how much it would be contributing from different economy, any major economy would be contributing major to this order book? So, can you give the bifurcation for that?

Bharanidharan Pandyan: We do not have technically a bifurcation at this moment. However, I would say it is fairly spread between Europe, Australia, Middle East, and India. There is not much of a presence in the US at this moment. We have some few orders, but I would say it is less than INR 5 crores from the US and on from India also.

Naman Parmar: And on the Mehru electrical side, so current quarter the revenue that has been shown on the presentation, so there is some revenue related to the fabrication that is shown that should be given. So, how much would be that revenue in the current quarter?

Bharanidharan Pandyan: Because we are not able to consolidate the number because we only acquired them on March 6th. So, as per Ind AS requirement, we would start consolidating them, I would say, technically from the first quarter of next year, most probably even Statcon. But I believe because we removed all the low -value, low -hanging, high -labor -content businesses, one of that is where they were fabricating CT -PT small tanks.

We believe we could have multiple suppliers for that at a cheaper cost, and it was a very highly labour -intensive, almost 350 people in that business. So, we removed out. I believe the total Quality Power Electrical Equipments Limited
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impact of that would be about INR 1-1.5 crores maximum. So, we removed a lot of future liabilities as a part of the project.

Naman Parmar: Okay. Yes, understood. And lastly, if you see on a standalone basis, so how much revenue potential can you do without the capex? And after that, the capex going live, how much additional revenue you can do?

Bharanidharan Pandyan: So, at this moment, we are almost close to being maxed out in our current facilities that we have. That is why we are expanding all the facilities that we have, including Cochin. We have done a small amount of incremental machine addition even in our existing facilities.

However, if you look at what the growth potential looks like, because we start the coil products year starts from April, we are starting off with INR 182 crores, already about an INR 450 crores likely to come in the near term. We will not be in a position to handle about INR 800 crores or

INR 900 crores of order book in the current facility. So, we will need a facility at least 3x to 4x of our capacity.
We believe

the new investments will go at least 8x to 9x for our current capacity. So, that is why we are spending a little bit more money so that we are able to go to the market in a stronger way. As a part of our IPO, we have already raised a lot of money for the machinery, for backward integration of cable manufacturing and test equipments. So, we believe some of the investments are already being done, including the cost of land.

Naman Parmar: So, you are telling from the current facility, you are already at the maximum capacity utilization, and you are expanding capacity, and it will be coming by the next 12 to 15 months, right? So, on a standalone basis, there will be not major growth, but the growth will be coming from the acquisition that you have done the Mehru Electrical and other player Endoks and all that? Is the understanding, correct?

Bharanidharan Pandyan: Your understanding is correct. But most of the orders, the high value orders that we are picking up right now have a delivery period between 18 and 36 months, which means by the time we come for execution, we are already having the facility. We would see a significant increase in order growth in our coil product facility by the time that we finish the factory.

Naman Parmar: Okay. Yes, understood. And lastly, on the Nebeskie, the EMS business, the Energy Management System that is the 15% or 16% stake that you have taken in that company. So, I just wanted to understand on the Energy Management, the software that the company is providing is how is different from the SCADA software that is provided by the various MNC players like Siemens, Schneider, ABB.

Bharanidharan Pandyan: So, the product is technically not an EMS what they are doing. They are doing something called edge computing. Edge computing is a software, it is more of an ML software machine learning. It's a regression on a large data that you get based on the data that flows through a normal SCADA system. In case of a network disruption or due to whatever the reason, the computer or the device is able to take a decision itself. We believe and there is also proven in places like Australia, U.S., where going forward, there will be a lot of unmanned substations going on, Quality Power Electrical Equipments Limited
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because there is a huge shortage of skilled technical engineers to man the amount of substations that globally people are building in.

It will not be possible over the next few decades that you will have every substation manned. So, when we go into unmanned substation, we will need to connect all the high voltage devices out of our group, including the power electronics and the power products that we have. When we are connecting these devices, internet network can get disrupted at any time.

So, due to that, we will need to have a kind of edge computer or a machine learning device, which will be able to communicate with the system in case of a network disruption for its continued operation. So, instead of spending the money on ML and AI engineers internally, we have decided to interact so that we have access to the technology and refusal of the technology to the competition. So, for them, that is a technology that they are encompassing, that is what they are spending money on, EMS is to get the cash flows on for the company.

Naman Parmar: Okay, means basically you are providing, the company is providing a computing sensor and all that, that will be able to communicate with the high voltage various electronic equipment with the STATCOM devices...

Bharanidharan Pandyan: It will be like a small device, which will be monitoring all the data traffic, which is going through it. And based on the data and the decision taken, it will be learning itself. At some point of time when the command does not come, it will be able to take a decision itself based on past data. So, that is a device that is called

edge computer. And we believe that edge computer will be on most of the high voltage devices going ahead in the future in unmanned substation space.

Naman Parmar: Okay. So, this is the first company to produce this or manufacture this electronic equipment or there are various other players also that are doing this?

Bharanidharan Pandyan: There are a lot of people who are doing it in-house as a part of R&D because we know that technologies will shift to connected ecospace over a period of time. What we have done is instead of hiring ML and AI engineers, we have decided to outsource it by buying in equity. That's all.

Naman Parmar: Okay. Yes. Thank you so much for answering all the questions.

Moderator: Thank you. The next question is from the line of Surabhi Saraogi from SMIFS Capital Markets. Please go ahead.

Surabhi Saraogi: Sir, the first question is that revenue has declined both quarter-on-quarter and year-on-year and for nine months also, both at the standalone and consolidated level. So, what is the reason for

this decline?

Bharanidharan Pandyan: Ma'am, the standalone has not declined as we say that if you look at the standalone number, we are almost close to INR 112 crores of sales as against INR 117 crores of last year. It is just that the Q2 or Q3 of last year has been exceptionally high like the Q1 of this year. If you look at the Q1 of this year, out of the INR 50 crores PAT of the first half, almost INR 36 crores came from Quality Power Electrical Equipments Limited
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the Q1 and INR 14 crores came from the Q2 because we did not have the discipline earlier on a quarter -on-quarter number which we realize the mistake at this moment.

We are seeing such high variations. However, with the improved management focus and what we said the new companies which are more manufacturing where the variability of income is not very high, we believe in the next two or three quarters it should ease out or even out. So, it is just that last the Q3 was kind of a blip and nothing more.

Surabhi Saraogi: Okay. And sir, can you give some revenue and profit guidance for the full year, financial year '25 and also for financial year '26?

Bharanidharan Pandyan: I believe at this moment what we say we are looking at a positive increase on revenue rather than any decrease. That is point one. Point two is I do not know whether I am allowed to speak about future revenue and guidance.

However, I can tell you that Mehru has done almost INR 220 crores last year and STATCO N has done about INR 170 crores last year which would get added to whatever we have already done. So, that would be the kind of numbers you can look at and the growth that is visible to us.

Surabhi Saraogi: Okay. And sir, another question is that any growth in revenue for Mehru and STATCO N for over financial year '24 and also for financial year '26?

Bharanidharan Pandyan: We shall be at this moment, sir, instead of growth at their side because we have already growth as a console. We have already grown. Our focus at this moment with both the companies would be improvement on margin and margin what we say percentages including integration of management.

That would be our immediate focus before we scale them up. We would rather focus on the grounds and the structure below the company. We would like to focus on the key management people, the culture integration, people integration and profit and customer change. That's what our focus is not growth at this moment with both the companies.

Moderator: Thank you. The next question is from the line of Sagar Tanna from Alchemie Ventures. Please go ahead.

Sagar Tanna: Hi, sir. If you can give a breakup of the first 9 months versus the last 9 months in terms of our product portfolio, what percentage of revenues came from what product segments that would be helpful?

Bharanidharan Pandyan: At this mo

ment, I believe we are close to 50 :50, both power products and power solutions.

However, the forward guidance would be the power solutions would be about 20% to 25% of the total business.

Sagar Tanna: And when we say power products is predominantly it would be coils. Is my understanding correct?

Bharanidharan Pandyan: At this moment, it will be predominantly coils in the order intake, but on the delivery, it will be instrument transformer because instrument transformer has a higher balance sheet from a Mehru
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perspective. But in about 15 months' timeframe because there we have to execute all the new orders being booked, I believe internally the coil products will be the largest group inside the company that will deliver the top line and bottom line in the future.

Sagar Tanna: Correct. This is for the first 9 months FY25 and what about nine months FY24? What was the revenue split, sir? We did INR 262 crores last year for the first 9 months?

Bharanidharan Pandyan: I believe it has traditionally been around 40 :60, power products being 40 and 60. That has been an approximate number given date. The power solutions have always been bigger internally, but at this moment because we are growing at a far higher rate than the other businesses, so we would be a little more dominant.

Sagar Tanna: Got it. And sir, in your press release, you've given four product segments or four different segments of businesses, which is Coil products, Transformers, Instrument Transformers and Power Quality. Can you give a broader margin range in terms of what would be the gross margin ranges across these four segments?

Bharanidharan Pandyan: What I can do is I can talk about what we have already delivered in the 9 months and what is

historical. So, if you look at Mehru, it is now close to 10%. At this moment, I think between 10 and 11, that is what Mehru is at this moment in the 9-month number. For the power products and power solution, that is the Endoks portion of it, Quality Power and Endoks. I believe we should be slightly north of 20%. And with regards to STATCO N because we are still not acquired, I would not be able to comment on that.

Sagar Tanna: And on the coil products, sir?

Bharanidharan Pandyan: The coil products, I would say north of 20 at this moment.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Hi, sir. I'm sorry, I'm not able to understand. The revenues for the quarter have been declined by 49% and even for 9 months the decline has been 13%. So, I'm not able to understand why such a sharp decline?

Bharanidharan Pandyan: The revenue you are comparing with the last year where we had two things which was very significant. If you look at Q3 of last year, year -to-year, Q4 we had only done INR 30 crores.

Whereas what we said that quarter alone did in excess of INR 50 crores or INR 60 crores. So, because we had what we said very large Q3 of last year, it seems at this moment that we are down, but technically I believe it is not so bad. As we have grown every quarter internally.

Endoks which is our power solution, Power Quality business, they have a couple of projects which are lagging because the customer uptake has not been on time. We believe we will be able to match up. At this moment, as I said, we will be only looking at a growth trajectory. It looks because the last quarter, if you look at the last quarter of that last year, there will be only about INR 30 crores give and take.

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Whereas which is very, very small number historically even if you see what the 9-month numbers look like. So, this would also reverse in Q4 where we would show huge growth because of what happened in Q3 last year.

Mahesh

h Bendre: Okay. And sir, out of the total revenue, how much is the production has been done from India and how much is from Turkey?

Bharanidharan Pandyan: At this moment about 50 -50. At this moment sir that is what we foresee technically, approximately.

Mahesh Bendre: Okay. And sir, last question from my end is the expansion we are talking about, will that happen only in India or is it that the expansion we are looking at overseas facility as well?

Bharanidharan Pandyan: In the overseas facility, we have almost 40 acres of land on the books of the account close to Ankara. That is the capital of the country. We have the people. As and when the demand kicks in because what they are doing right now is because of the Turkish economy slightly muted, where they are the leading players because of the geopolitical situation.

As and when we see that the Turkish economy is back to square one, we will have enough money and customers to be able to expand there. At this moment, there's a huge shortage of coil products across the globe. We are one of the very, very few people across the globe and maybe the only person in India to deliver this product.

So almost all the money that we are spending on capex is going to the coil products. In Mehru, we have been having discussions to start the 765 KV line of the instrument transformer. We will see a small capex in the next few quarters at Mehru also.

Mahesh Bendre: No, but the majority of capex will happen in India, Indian facilities?

Bharanidharan Pandyan: Correct.

Mahesh Bendre: Okay. And sir last question, I mean, some of the components like the STATCOM, which are used in STATCOMs are high -end transmission that we manufacture basically in Turkey. In India, basically we manufacture transformer as of now?

Bharanidharan Pandyan: No, sir. We make the power electronics and software in Turkey. In India, we make the coil products, transformers, instrument transformers and the harmonic filter solution. So, all the high-voltage electrical equipment where we are using man in the factory, we are using in India.

The power electronics and software are what is based out of Turkey.

Moderator: Thank you. The next question is from the line of Bhavik Shah from Emkay Ventures. Please go ahead.

Bhavik Shah: Sir my question is regarding the EBITDA margins like we can see a sharp increase. The reason being the other expenses have decreased significantly. So, what are those other expenses which are not incurred this quarter and what is the fixed cost run rate we can take...

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Bharanidharan Pandyan: One second. I will give it to my Senior Vice President Finance Sarika, who will speak about the other expenses and the other costs that you just asked on the cost .

Sarika Jadhav: Sir, our employee cost and our finance cost remain stable. Where as our other expenses because of the foreign exchange gains that is because of hyperinflationary accounting treatment , our Other Expenses went down. Because of that foreign exchange, net monetary foreign exchange gain or loss that our other expenses have been decreased. And because of that, there is certain improvement in our gross margin.

Bhavik Shah: Understood.

Bharanidharan Pandyan: When we use the IFRS for the foreign currency translation of our account statement from Turkey. They also have an IAS 29, that is an accounting treatment on how they handle foreign exchange regulations. So, wherever our price variation process is taken positive, it is also taken negative at certain times. Because in Turkey, the hyperinflation is coming down, so the negative impact has become neutralized, and it is only positive income.

But this is how the accounting treatment of the solution is. However, most of our orders are hedged to the dollar, and hence it has nothing to do with expense or cash flow. It is just an accountin

g adjustment of where the number is put in.

Bhavik Shah: Yes. So, our order book is around INR 517 crores. So, what is the timeline for execution of this order book? And regarding the order pipeline, what has been our success rate in getting the orders out of the historical success rate of getting the orders?

Bharanidharan Pandyan: So, most of the orders that we have signed on is having a delivery between 12 months to 18 months at this moment. The orders that we would sign on have a larger delivery period of between 12 and 36 months because these are linked to HVDC. That is the delivery . So, I believe our capex will catch up by then. That is point one. Point two, when you are asking a fixed cost run rate, this is, can you please explain the terminology?

Bhavik Shah: So basically I am trying to understand what the operating leverage is here? Because like for example, we have INR 30 crores or INR 20 crores of fixed cost per quarter that will remain irrespective of the execution we do. So, I am just trying to understand the operating leverage that will come into play. So irrespective of an order execution, some cost will remain?

Bharanidharan Pandyan: Our fixed costs are very low because most of the assets are owned. I would say 99% of the assets are owned. The labor -and-labor overheads are very close to negligible to the profits and the money, even the amount of cash we are sitting on hand, the interest costs are higher than the fixed costs payable .

Bhavik Shah: Okay. Yes, sir. Regarding our historical order book win so all of these INR 700 crores, how much orders can we win basically?

Bharanidharan Pandyan: Out of the order book of INR 500 crores, what do you want?

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Bhavik Shah: No, no. Out of the pipeline of INR 700 crores, like how much order can we win? So, what has been our historical win rate?

Bharanidharan Pandyan: So, these are facts that we are very close to confidence. That's why we are able to deliver the number. Our historical win rate in HVDC and FACTS business in India is one. So, every strike we make in India is normally one. Globally, we are one is to three or one is to four.

Moderator: Thank you. The next question is from the line of Majid from TradeWalk Research LLP. Please go ahead.

Majid: My first question is, is the delay in the project due to the fact that it is a VSC based order, which is the latest technology in India and thus facing implementation challenges or is there any other reason for the delay? And my second question is additionally, could you clarify difference between LCC and VSC orders and which would be more beneficial for us? Also given the government's focus on HVDC project, which type of HVDC orders is it prioritizing?

Bharanidharan Pandyan: I will answer your question, sir. The delay in any power quality solution can be either during engineering or the customer approval or the project lifecycle where the product being delivered is delayed or at the execution level where the presence of the location sites is delayed because these are all heavy electrical infrastructure equipment.

So, there is about three variables that come into picture. At this moment, I believe this is during the operational delay where the delays of equipment are getting delayed across the lifecycle, not only for us, for most of the peers also in the similar business, that is point one.

The point two on VSC and LCC , HVDC, we supply to both. Both have similar requirement of our product lines. We support both the technologies, be it HVDC or in STATCOM or SVC, where again, there is a difference between Thyristor and IGBT. Our products are required in every technology that they come in and we are qualified for all the technologies with all the major players for supply.

Majid: Okay, sir. So where do you see the major growth between LCC and VSC?

B

haranidharan Pandyan: I believe the growth of the Indian growth is based on FACTS business, that is Flexible AC Transmission where the government has made a mandate that 33% of all renewable energy parks will need to have a FACTS device. We believe that with every solar park, there is going to be demand of our equipment. With every wind park, there is going to be demand of our equipment and with every HVDC.

So HVDC is far and few. In India, maybe we will have another two more coming up in this year. But FACTS, we are seeing almost three or four projects every month. And globally, when I look at it, it's the other way they are focusing more on HVDC. If you look at in Europe, in Tenet, that's a Netherlands utility, very small country has given more than EUR 30 billion of order in 2023.

UK is another small country where HVDC of INR 59,000 crores has been given a couple of days back. We believe the HVDC potential of the world is where you need to watch out for. The Quality Power Electrical Equipments Limited

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few suppliers outside of China, there are two in Austria and one of us. So, the amount of capacity that we can deliver will also be a bottleneck what these projects will come up.

Majid: Okay, thank you.

Moderator: Thank you. The next question is from the line of Yaqub Khan from A3 Investing. Please go ahead.

Yaqub Khan: Sir, I have only one question. For next quarter, that is Q4, are we expecting a similar number of numbers or will be there any expected growth will be there?

Bharanidharan Pandyan: Sir, I believe the forward-looking signal Mr. Khan but what I can assure you there will be a growth.

Yaqub Khan: Okay, thank you.

Moderator: Thank you. The next question is from the line of Sarvam from Shine Star. Please go ahead.

Sarvam: Yes. Just one question, sir. If you could just summarize the assets that you have on the book, I believe with the recent acquisitions also there would have been some more acquisition of assets such as land and machinery. If you could just talk about, for example, your Land Bank and summarize that and potentially and prospectively, what would be the market value of that land as on today, if you could talk about that?

Bharanidharan Pandyan: Sir, as a conservative South Indian management, we normally like to buy rather than even though we believe Lease is better from a financial point of view. The Land Bank what we are sitting in Sangli, it is about 50 acres, we believe it is a market value would be about close to INR 100 crores. The place what we have in Cochin may be about INR 5 crores, INR 6 crores. In Delhi, Mehru is sitting on a 5-acre land bank in Bhiwadi, that is NCR region, very close to the Lenskart factory. We believe as per the rack rate, it is about INR 125 crores, that is the land alone, not the building on top of it.

STATCON, we believe they have close to 3.5 acres of land in Noida, again would be in excess of about INR 60 crores, INR 65 crores in land. In Turkey, we are sitting at about 40 acres of land, which would I believe in the best-case scenario would be about INR 70 crores to INR 90 crores of value. Plus, the office buildings and stuff which is in downtown, we believe that would be about INR 50 crores.

Moderator: Thank you. The next question is from the line of Abhi Mainwala from Vice Capital. Please go ahead.

Abhi Mainwala: So, 20% EBITDA margin is standalone or blended?

Bharanidharan Pandyan: EBITDA margin I believe is blended, sir, right now to you.

Abhi Mainwala: And in DRHP, there is a forecast for HVDC and FACT market of around 70% CAGR. So, are we growing with the same pace?

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Bharanidharan Pandyan: So, the order book what we have given showed you about INR 450 crores, even take on the power product business, almost 70%-80% of it would

be going into HVDC and FACT. And

same way, Endors is also into FACT. So, we believe that everything is what we have declared as online. So, compared to last year, I believe if you see it to the order book, what we have, what we are generating, I think CAGR is slightly much higher than the 70%, 80%.

Abhi Mainwala: Okay, thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Bharanidharan Pandyan: Thank you for joining our Q3 Con Call. In summary, I want to thank you all for your time and reiterate that we are committed to the future and look forward to continuing our post -IPO journey with your support. If you have any further questions, I would be happy to answer them either over what we say a private call or you can come through us through our Investor Relations Advisors, Churchgate Partners, and we will be happy to address your queries. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy .

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Call: Jun 2025

4th June 2025

ISIN: INE0SII01026

Dear Sir/ Ma'am,

Subject: - Submission of the Transcript of Q4 FY25 Earnings Conference Call held on 28th May 2025

Pursuant to Regulation 30 and 46(2)(oa) read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Q4 FY25 Earnings Conference Call that was organized with the Analysts/Investors on Wednesday, May 28, 2025 at 3.30 P.M. (IST) on audited Standalone and Consolidated Financial Results of the Company for the fourth quarter and year ended March 31, 2025.

The aforementioned transcript of the 'Q4 FY25 Earnings Conference Call' will also be uploaded on the Company's website i.e. www.qualitypower.com.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking You,

Yours faithfully,

For QUALITY POWER ELECTRICAL EQUIPMENTS LIMITED

Deepak Ramchandra Suryavanshi
Company Secretary and Compliance Officer
ICSI Membership No.: A27641

To,
National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai – 400051

NSE Symbol: QPOWER To,
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street,
Fort, Mumbai – 400001

BSE Scrip Code: 544367
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"Quality Power Electrical Equipments Limited
Q4 FY25 Earnings Conference Call"
May 28, 2025

MANAGEMENT : MR. BHARANIDHARAN PANDYAN – JOINT MANAGING DIRECTOR

MR. RAJESH JAYARAMAN – CHIEF FINANCIAL OFFICER

MRS. SARIKA JADHAV – SENIOR VICE PRESIDENT FINANCE

MR. SACHIN SHETTI - VICE PRESIDENT FINANCE

MODERATOR : MS. NIDHI SHAH – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Quality Power Electrical Equipments Limited Q4 FY25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Shah. Thank you and over to you, ma'am.

Nidhi Shah : Thanks. On behalf of ICICI Securities, I would like to welcome you all to the Q4 Quality Power Electrical Equipments Limited conference call . Today, from the management side, we have Mr. Bharanidharan Pandyan , the Joint Managing Director, Mr. Rajesh Jayaraman, the CFO, Mrs. Sarika Jadhav , Senior VP Finance, and Mr. Sachin Shetti , VP Finance. First, we will have opening comments from the management, post which we will have a Q&A session. Over to you, sir and ma'am.

Bharanidharan Pandyan: Good afternoon, everyone. This is Bharanidharan Pandyan from Quality Power. First and foremost, let me begin by expressing my heartfelt gratitude to each of you this evening and our valued investors. Over this past few months, we have navigated through challenging and turbulent times together, especially when our share prices touched historic lows. Your unwavering patience, belief, and trust in us and our management team have deeply touched us, reinforcing our commitment to delivering on your faith. From the bottom of my heart, thank you for standing by us.

At Quality Power, we remain passionately dedicated to innovation and technological excellence. This year has seen us achieve significant milestones. We have successfully type - tested the world's largest three -phase MSR at about 200 M VR power. We have also done type - testing of HVDC converter reactors for a western market for a global customer, and we have passed all the tests and type -tests in the first attempt.

These accomplishments place us among a very select global group, reinforcing our technical edge and mo re to our competitors across the world. Moreover, we are currently in advanced negotiations for several international HVDC and FACTS projects, and we anticipate sharing more positive developments in the coming few quarters.

Our commitment to growth is clearly reflected in our expanding global footprint. We have successfully onboarded notable new customers and utilities from Sweden, Finland, Iraq, Romania, Italy, Brazil, South Korea, Hong Kong, Australia, and across the Middle East, further diversifying our reach and strengthening our global reputation. The strategic partnership with Mehru has flourished remarkably, bringing substantial domestic and international orders. The order book at Mehru has surged beyond INR 350 crores in the last few months, clearly demonstrating the confidence the customers have in this alliance.

Customer response has been highly positive, and we are actively integrating teams across organizations to optimize synergies and deliver greater value. We continue to invest deeply in Quality Power Electrical Equipments Limited
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the future, steadily enhancing our R&D capabilities and building a strong bench of technical talent in anticipation of forthcoming expansions.

The recent geopolitical developments concerning Turkey have naturally drawn your attention. I want to reassure you, as a part of the top management, we are proactively managing the

situation. We are maintaining transparent communication with all stakeholders in India, including our employees, customers, suppliers and shareholders. Prominent investors in Turkey, along with us, include reputed

names like Birla, Mahindra,

Dabur, TAFE, Jubilee, and Redington, among others. Our exposure right now remains very minimal with Turkey, and vice versa with Endoks. We have less than INR 8 crores of spending offers from our Turkish subsidiary to Indian customers, and less than INR 5 crores from Indian companies to our Turkish customers, which are minuscule. And these engagements are purely industrial, with very, very minimal local competition.

Our morale and operations at this current moment in all the countries remain stable. Our Turkish operations also serve largely global markets, currently executing projects in Australia, Burkina Faso, Morocco, among others. Hence, we do not anticipate a very large -scale backlash at this moment. However, our Risk Committee has continuous diligent oversight to manage and mitigate any related concerns, if any.

Looking ahead, our strong consolidated order backlog at this quarter stands almost close to INR 750 crores, positions us confidently for sustained growth over the next few years. The ongoing capex at our Sangli facility will not only make it one of the largest coil factories in the world, but also potentially the most sustainable. We are actively pursuing an IGBC Gold or Platinum certification to underscore our commitment to sustainability.

At Mehru, the planned capex is on track and expected to deliver shortly about 45% additional capacity in the next 4 -5 months. Overall, our production capacity in Sangli will increase nearly 9-fold within the next 18 months, with robust order booking anticipated to commence within 6-9 months. Additionally, our inorganic growth strategy is advancing rapidly, with several strategic acquisition opportunities under careful evaluation. We remain disciplined and prudent, prioritizing accurate valuations, product alignment and strong cultural synergy. Lastly, as promoters, we have consciously and transparently decided to waive off our dividends, amounting to approximately INR 5 crores to conserve vital capital during this crucial investment cycle. We trust our recent results align with your expectations and remain committed to continual improvement in performance.

Once again, thank you for your steadfast belief, continued support and partnership. Together, we believe we are embarking on an exciting journey towards an even brighter future. Thank you. Jai Hind. Now I give the dais to Mr. Rajesh Jayaraman, our CFO.

Rajesh Jayaraman: Good evening, everyone. Thank you, Mr. Bharanidharan, for setting the tone so powerfully. And to our investors, thank you for being with us on this journey. It is just not the capital we value, but your belief, especially during the most distinct times. It is that trust which makes today's progress truly meaningful.

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FY25 has been a pivotal year for Quality Power. I am pleased to share that we closed the year with an 18 % growth in revenue, reaching INR 392 crores, and a 74 % growth in profit after tax INR 101 crores. These are not just numbers. They reflect the resilience of our people, the relevance of our products, and the strength of the strategy we have put into motion.

Our reserves have grown fourfold, and net debt has come down by 77 % putting us in a significantly stronger position to pursue growth without compromising financial discipline. Our cash and bank balances now stand at nearly INR 210 crores, giving us both confidence and optionality as we invest ahead.

Working capital was a core focus. Through tighter control on receivables and smarter inventory planning, we have strengthened operating cash flows, which are now robust enough to fund our capex internally without stretching the balance sheet. We have made disciplined investments this year. Sangli and Cochin are transforming into high -capacity, sustainable hubs. Mehru too is scaling, with a 45 % capacity expansion

ion expected to go live shortly. These

investments are strategic, not just in terms of growth, but in technology, debt, and global readiness.

To supplement our capital position, the promoters have extended an INR 125 crore soft credit line at a concessional rate, demonstrating alignment, trust, and long -term commitment to the company's growth cycle. Looking ahead, our goal remains clear to grow profitably, build predictably, and invest responsibly. The coming quarters will be focused on scaling operations to match the opportunity pipeline. And as always, we will continue to apply a disciplined lens to everything we do. Thank you again for your support and trust. Moderator, we can now open the floor for questions.

Moderator: Thank you. The first question is from the line of Agastya Dave from CAO Capital. Please go

ahead.

Agastya Dave: Sir, thank you very much for the opportunity. I have one request, sir. Can you re-release your results again? Because there are a number of line items, especially in the balance sheet, which at least I could not read them properly. They are not at all clear. Sir, kindly change the font and the format that you're using for printing these PDFs. Otherwise, it makes it very difficult to understand the results.

Sir, I have two questions. One is, again, I could be wrong here because of the lack of clarity on the printed results, but there seems to be a fairly substantial drop in margins and a fairly substantial jump in all the line items regarding the working capital. So, can you tell us what exactly happened there?

And the second question is, given the expansion that you guys are undertaking, once the expanded facilities are fully commissioned, what would be our peak revenue for the entire company based on that asset block?

Bharanidharan Pandyan: Good afternoon, Mr. Dave. This is Bharani here. Point taken on the fonts, we will definitely have a re-look at what you have just given us a comment. With regards to drop in margins, I believe one of the reasons why the comments are is primarily because the other operating

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income is not normally taken in the accounting standard as an operating income. In the other operating income in India and in Turkey, we have cash, which accrues deposit and interest, interest money on the deposits, what we have.

Apart from it, in Turkey, whatever the hedge call or whatever is the difference in dollar to Turkish Lira prices, which is normally hedged at the time of the contract, all the money comes, accounted into the other income, which is not normally taken as an operational income. We believe our margins are at this moment stable. And with regards to the working capital, I'll ask my colleague, Sarika, to reply on it.

Sarika Jadhav: Hello . Sir, our working capital increased because of the high sale in the last quarter and which also resulted into the increase in debtors. It also, due to the acquisitions of new Mehru Electrical, which is reflected in the 31st March 2025 figures and which was not there in the 31st March 2024 figures.

Agastya Dave: All right.

Bharanidharan Pandyan: So, Mr. Dave, you need to look at the balance sheet in conjunction that Mehru's numbers also add to almost INR 250 crores of total sales. So, when you look at the percentage on what is the last quarter revenue, you would have a fair idea.

Agastya Dave: Right. I guess I need to do the quarterly adjustments. Sir, and what about the peak revenue potential of the company post the expansion?

Bharanidharan Pandyan: Post the current expansion, what we have as Quality Power in the factory block, we believe we have facility to deliver almost close to INR 1,500 crores from the current factory. Mehru, we are anticipating we should peak out at about INR 450 to INR 500 crores. That is one of the reasons why within a month of we going in, w

e have already proposed a capex.

The order books are supporting. As I said, the company is already sitting on more than INR 350 crores of order book and which we have lost almost about INR 100, INR 150 crores in the last month because we were not able to commit deliveries. So, with the capex coming in, the smaller capex, we are moving out some of our operations to our warehouses around.

We are putting in a clean and lean team right now, which can deliver another INR 150 crores from the same plant. But obviously, we will require a larger facility. We are in lookout for that.

Agastya Dave: So, consolidated, both the entities put together post expansion would be closer to INR 2,000 crores ?

Bharanidharan Pandyan: I agree, sir. That would be our peak capacity at what we are right now.

Agastya Dave: Perfect, sir. Sir, any commentary on the margins going forward, especially post expansion?

Given the scale of the expansion, I am just wondering whether there would be some drag on the margins in the initial few months. Will you ramp up? How should we look at the margins going forward?

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Bharanidharan Pandyan: Interesting observation, Agastya . Yes, that is how the curve goes normally. We have already in the last few quarters started adding manpower, management, and people. We have started internally our own learning and training division because we anticipate we need more than

1,000 people walking into the new facility immediately. So, this will slightly drag down, but I believe the pricing power and the markets would support a lot of it. So, I do not think the drag would be too much.

Agastya Dave: And, sir, you have added all the fixed costs in terms of employees or you need to add more.

So, if I look at the quarterly numbers, I believe the employee cost is around INR 11 crores. So, annualized, that would be INR 44 crores. So, is that enough or would you be adding more?

Bharanidharan Pandyan: We would be adding more because the plant what we are expanding would be almost 9X our current capacity, which means that we would need more labor, more engineers in the workforce, but we cannot absorb everybody on one go. So, we are attempting to get about 100 to 200 people every quarter till we are able to reach and then progress forward because our current facilities also cannot handle more than that much of people working together.

Agastya Dave: At current labor prices, would your wage bill approach INR 100 crores then or would it cross it? Because, again, the expansion is so large, sir, it's difficult to get a proper estimate from where we are sitting. That is why I am asking.

Bharanidharan Pandyan: So, we anticipate our labor force would triple in the next 2 years. So, I would believe that would be a good statement.

Agastya Dave: It's a very useful statement, sir. Thank you very much, sir. And thank you for giving me the opportunity. All the best, sir. Very interesting business model. Thank you, sir.

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. The next question is from the line of Nemish Sundar from Elara Capital . Please go ahead.

Nemish Sundar: Yes. Thank you, sir. Sir, just a few questions. So, firstly, you had indicated that on the revenue front, you expect to grow at the HVDC FACTS market growth, which was expectedly around 40% to 50 %. So, do you maintain that growth for the next 1, 2 years?

Bharanidharan Pandyan: HVDC normally is a 3-year project timeline for us and the end customer has a 4-year project timeline. So, let's assume a large vendor for a HVDC project gets about 4 years on the contract and we are normally given a contract in about, say, 6 to 9 months from him getting the contract post -engineering. So, we would see some HVDC orders coming in , in the next few quarters.

One of the reasons why we are expanding the facility is to be able to execute

it next year. So,

all the HVDC orders, we would see a surge in the numbers by, I would say, third quarter this year. Because at this moment, we are not able to commit capacities, but there are a few orders in India we are likely to back.

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Nemish Sundar: And these orders would be for reactors or for any of the other offerings that you have currently?

Bharanidharan Pandyan: So, for HVDC, in India and most parts of the world, what we have qualified is reactors. We have also qualified for line traps. We have qualified for instrument transformers. We have qualified for medium -voltage oil -filled transformers for special applications, like zigzag -connected earthing transformers. So, we have four products that we go into the HVDC lines. We are also attempting to add more products in that same segment.

Nemish Sundar: Okay. Thanks, sir. And, sir, the current order book that you have on Me hru and Quality Power, so what would be the execution timeline for the order book?

Bharanidharan Pandyan: I would say approximately 15 months, give and take.

Nemish Sundar: Okay. And one last question, sir. What would be the split between Quality Power and Me hru revenue contribution as of now and in the next year, maybe?

Bharanidharan Pandyan: Mehru has a higher revenue at this moment. However, the margins of Quality Power are far higher. In the next few quarters, because of the order intake that has been changed and the push that we have had internally because of the margins, I believe Me hru also would deliver great margins. Not as higher as us, but far better than what they were delivering. And at a higher revenue base, that would come substantially higher.

Nemish Sundar: Okay. Thank you so much, sir. And all the best .

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. The next question is from the line of Yashovardhan Banka from Tiger Asset. Please go ahead.

Yashovardhan Banka: Thank you, sir. Sir, I just wanted to understand a bit more on the Nebeskie business model around it.

Bharanidharan Pandyan: So, Nebeskie is a company that we had invested about 3 years back. Nebeskie is working on creating a technology called Edge Automation or Edge Computing, where there is a computer, a small computer, which is fitted on every device. Basically, it is an IoT connected device where the device is able to understand what is going in and out of the data and based on the

learning of the data that is going in and out, it is able to create its own ML and intelligence. Now, we believe in the next 5 to 10 years, the substations that are in this world would slowly become personless. It's like self-driving cars, the substations where you have about four or five people manning a substation. There is a shortage of people in places like Australia or say in Germany or Europe for manning the substations.

So, in these unmanned substations, all these high voltage equipment need to discuss, talk and communicate with the people, including during maintenance. So, the manufacturers would like to connect to the device or our equipment and talk to them. All this is possible only through IoT, which as you are aware is already an ongoing market.

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But along with IoT, there is also cyber security, which comes into picture. That means you cannot directly connect it. And if there is a network shutdown, the device needs to learn based on historic data and take decisions itself. That is a product that these smart kids are developing. We believe that these will be useful to us in the near future. And that's why we are investing in the technology and they are in a technology development space to do their bread and butter, to pay for the stuff, they sell energy management solutions.

But basically on the energy management s

olutions, what they are doing is they are collecting data. And based on data, they are training their data models. So, that is the business they are currently doing. But the development is a different process. So, it's basically an R&D expenditure from our portion for our future.

Yashovardhan Banka: Okay, got it. So, is this related to something in the outage that recently happened in Spain?

Bharanidharan Pandyan: The outage that happened in Spain and Portugal is because of the same problem we have been talking about in India, that the renewable energy grids cannot be connected by the traditional method to the normal networks, AC networks. It needs to have HVDC and FACTS, even though Spain has a huge amount of asset, but still not enough. This is a disaster that is waiting to happen in most parts of the world. That is why the orders for HVDC and FACTS equipments are speaking across.

Now, last, I think in March of 2025, UK, which is a small country with about 6 crore population, released the HVDC orders for £59 billion or INR 6,50,000 crores. So, this only tells you that those utilities have realized what is happening. And these are the problems that even India started facing in some locations in Rajasthan where the trippings have become far too common. It just doesn't get highlighted in our media as trippings like what it has done in Europe.

Yashovardhan Banka: Understood, sir. Understood. And just one last question before I fall back on the line. So, I wanted to understand what is the internal focus on the domestic demand?

Bharanidharan Pandyan: Yash, in domestic demand, we have a Make in India clause. So, a lot of orders have to come to us, ideally for all the government contracts. We are likely to focus on HVDC and FACTS in India. But as I said, we have developed about 100 countries, markets, utilities. The boom and bust cycle is normally 5, 7, 10 years. But after that, you need to go and explore new markets. So, we would ideally like to keep 50% domestic and 50% global. And that's why the new capacities, whatever is coming in, we believe we should be able to reach its full potential very soon.

Yashovardhan Banka: Amazing, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Naman Parmar from Niveshaay Investments. . Please go ahead.

Naman Parmar: Good afternoon, sir. Thank you so much for the opportunity. I want to know how much the coil product is being consumed in the revenue?

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Bharanidharan Pandyan: Coil products are, I think, more or less about INR 160 crores at this moment.

Naman Parmar: Okay, INR 160. And any lead time is there in the coil product currently?

Bharanidharan Pandyan: For large HVDC and FACTS projects, we are quoting for FACTS between 12 and 15. For HVDC, 2 to 3 years.

Naman Parmar: 2 to 3 years. Okay. So, with the current capacity coming in for these all products, transformers and the coil product in the Sangli and the Cochin. So, how much revenue potential would be there after the capacity addition? Currently, it is 2,000 with both Mehru and the Quality Powers. With the capacity coming in, how much revenue you can do it?

Bharanidharan Pandyan: As I just committed to Mr. Aditya earlier, about INR 1,500 plus minus crores.

Naman Parmar: Okay. After the new capacity comes, the INR 1,500 you can.

Bharanidharan Pandyan: Yes. We are already close to our max capacity at the coil products business.

Naman Parmar: Okay. And on the order book side, overall your order book is around INR 750 crores. So, what's the bid pipeline for them? For both Mehru and the Quality Power?

Bharanidharan Pandyan: The bid pipeline for Quality Power as on last month is excess of INR 1,000 crores. And for Mehru is excess of INR 400 crores.

Naman Parmar: Okay. And lastly, on the margin side, if you see on the broad level

, your margin has also

impacted even though your stand-alone parent company has done very good. But if we see on the console level, the margin has fallen. So, what will be the reason for that? And what will be the sustainable margin going forward that you have guided in the process that you will be able to maintain 19 % to 20 %? So, you will maintain over that?

Bharanidharan Pandyan: One second, Mr. Rajesh, will direct, yes.

Rajesh Jayaraman: Yes. Console level, as was answered by Mr. Bharani in the start of the meet, what happens is that the other income effect doesn't form part of gross margin. It becomes in the net margin.

So, typically, when you see in the consol level, the gross margin is a bit lower than the stand-alone. So, we have this, our Turkish subsidiary, Mr. Bharanidharan, at the start of the meeting, first question addressed. So, that's where the difference is. So overall, the net profit is more or less the same.

Naman Parmar: Okay. So, what do you expect for the future? What will be the sustainable?

Bharanidharan Pandyan: So, with Mehru coming in, Mehru is coming at a lower margin, but we have a drastic improvement in the margins and the bids and the orders that have come in. We believe the blended would still be upwards of 16 %, 17%. We would ideally like to target 20 %, but I believe whatever the improvements we do, we will see an improvement in margin on Mehru. Our margins are more or less sustainable. So, the blended margins is what would be about 17%, 18% is what I would say.

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Naman Parmar: Okay.

Moderator: The next question is from the line of Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia: Hi, sir. Congratulations on fabulous results. Just for some clarity, what is your typical bid pipeline win ratio?

Bharanidharan Pandyan: It depends on the sector. On HVDC, I would say it's 2 in out of 10. In FACTS, it's right now 6 or 7 out of 10. For Mehru, if they want to take in, it is almost 100 % at this moment. It is how much capacity we can deliver from that factory.

Viraj Mahadevia: Understood.

Bharanidharan Pandyan: And that is why a lot of the customers are right now writing long-term contracts. We have announced two long-term contracts, one with Fin grid, that is Finland utility, which signed a 3-year contract with us. Recently, again, a global utility from Israel signed a 4-year contract with us. So, the utilities, what they are doing is they are locking capacities with companies like us for 3 to 4 years so that their equipment can be secured.

Viraj Mahadevia: Understood. Typically, what is the order cycle? How long does it take from receiving an order in terms of your production cycles to deliver it?

Bharanidharan Pandyan: It depends on the value of the order. HVDC order is north of INR 50 crores. It can go between INR 50 and INR 150. FACTS orders can be between INR 20 and INR 50.

Viraj Mahadevia: I meant in terms of timeline. How long does it take to execute an order?

Bharanidharan Pandyan: HVDC order is normally about 2 to 3 years where you bill every month. A FACTS order is about 12 to 15 months.

Viraj Mahadevia: Okay. Lastly, if I may, with these capacities coming online, you mentioned that there is an expansion later this year and then the big Sangli expansion is second half of next year. Is that correct?

Bharanidharan Pandyan: Correct. So, we are adding additional capacity in our Cochin factory that will be able to cater to the medium voltage markets. But for the HVDC and FACTS, we will be taking orders from about 6 months' time because the factory will be online by second half of next year.

Viraj Mahadevia: Understood. All the best.

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. The next question is from the line of Rushabh from RBSA Investment Manager, LLP. Please go ahead.

Rusha

bh: Sir, currently we are facing a supply shortage in many of our products as we understand. Just want to understand, when do you see the demand supply normalizing over how many years?

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Bharanidharan Pandyan: Rushabh, I think you are very invested in the electrical sector. So, you have caught the secret. Yes, we are having shortages. Some of the products, the shortages are in decades. Some of the products, the shortages are in 6 months' time. Mostly, we are finding shortages whenever it is related to high voltage, which is 220 kV and above.

So, to give you an idea, insulators, which used to be about 2 months, is now being quoted 1 year. Equipment, let's say even a FACTS equipment, what we used to sell in about 4 or 5 months, we are quoting 15 to 18 months nowadays. But as soon as you go down to high voltage, say 400 kV or 765 kV, it moves on to years now. Most of the European factories, on an average, are closed for 6 to 7 years. And Europe is normally the hub for all high voltage electrical equipments.

Rushabh: Okay. So, you book for next 6 to 7 years is what your understanding is?

Bharanidharan Pandyan: That is why you are seeing the boom in the Indian Class A, Tier A market because all the capacities are going abroad.

Rushabh: And you mentioned about this INR 2,000 crore revenue target. So, over how many years can you execute that?

Bharanidharan Pandyan: We are assuming that if all things go good, we should be home safe in about 4 years.

Rushabh: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Praveen Motwani from BOI. Please go ahead.

Praveen Motwani: Yes. Hi. Sir, thanks for this opportunity. Firstly, sir, congrats on the good set of numbers. Sir, just two clarifications I want. Sir, FY25 revenue is INR 392 crores. So, sir, on the existing capacity that you have, how much revenue we can do? Sorry, you have already mentioned, but I have missed out somehow.

Bharanidharan Pandyan: Praveen, thank you for your belief on us. You have been a very supportive investor. I wish to thank you and your team for that. The current capacity is what we are sitting on. The coil products is stretched. With Mehru, we are able to create some additional capacities with our small capacity addition that we are having in Cochin. We believe next year our internal budgets are north of INR 700 crores.

Praveen Motwani: So, existing facility can reach to INR 700 crores of revenue?

Bharanidharan Pandyan: Not existing facility. The budget for next year for the company is north of INR 700 crores in revenue. And by next year, most of the capacities would come online, which means we can dream bigger.

Praveen Motwani: Okay. And you are saying after the capex is completed, you will achieve the revenue of INR 2,000 crores at a peak level, correct?

Bharanidharan Pandyan: Correct.

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Praveen Motwani: Okay. So, this INR 2,000 includes both your stand-alone that is Quality and the Mehru?

Bharanidharan Pandyan: Correct. And this does not include any other acquisitions that we may pursue.

Praveen Motwani: Okay. Got it. And sir, the last question is what explains this increase in the other income in this quarter that you have reported?

Bharanidharan Pandyan: So, the increase in other income is directly proportional to Turkish operations of ours, not Indian operations. We have more than INR 100 crores in cash. I think it is more than INR 150 crores. So, that cash will deliver us some interest. I believe that will be a part of the interest income. But apart from this income, whenever there is an inflation of almost 27% officially in Turkey, so when your contracts are being signed, all the contracts are in dollars, your supplier is paid in dollars.

But, you know, the contract cu

rrency is lira because the government has banned dollars in that country for foreign contracts. But we get an exchange-linked Turkish lira. So, whatever is the difference of the exchange-linked Turkish lira is paid to us as other income or as an exchange bill. So, that is treated as other income that is nothing but an operational income due to our ongoing activities.

To also clarify, out of our cash, about INR 70 to INR 75 crores is the cash and cash equivalent that is currently in Turkey and not more. So, out of that, you would see almost close to INR 50-INR 60 crores as other income. That much money cannot be delivered by, you know, a simple cash in hand.

Praveen Motwani: Got it. Got it. Thank you. And all the best.

Moderator: Thank you. The next question is from the line of Art hik Satya, an Individual Investor. Please

go ahead.

Arthik Satya: Thank you for the opportunity. On the bookkeeping side, I had a question. Our EPS is shown as 9.11. But for the PAT and the number of shares that we have, it comes around 13.75. So, if I am missing something or would you like to give us something on the controlling asset and non-controlling asset side?

Sarika Jadhav: Yes. Sir, you are telling about 7,27, 00,000 number of shares, yes?

Arthik Satya: Yes. 7,27, 00,000. Yes.

Sarika Jadhav: Yes. So, that is the weighted average number of shares because we have the issue allotted during the month of February. So, for 38 days, that weighted average number of newly issued shares of 52,94,100, which comes to around 5,51,000 number of shares. So, that is included in 7,27, 00,000 number of shares. That is as per India side segment.

Arthik Satya: Yes. But still, the diluted EPS calculation, I am not clear. 9.11. 9.10, if I am not wrong. Can you. Is it something to do with the controlling stake in the subsidiary of Turkey or something like that?

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Sarika Jadhav: Yes, sir.

Rajesh Jayaraman: It is a combination of both. But what we'll do, we will again check once again and come back to you. But you are correct. It is a combination of two. Controlling non-controlling interest also and also the pro rata or weighted average. It's a combination of both.

Arthik Satya: But ideally, if you are declaring the complete PAT of your Turkey subsidiary, then the EPS calculation should be also on the complete side of the PAT. So, I can get more clarity on that.

Rajesh Jayaraman: Yes. I will give you clarity. But we have to keep in mind, it is the main competitive Quality Power. Okay. I have got your point. I will check and revert on this question. Yes.

Arthik Satya: Right. Right. And second question is, any guidelines for the year FY25? How much of top line could we achieve?

Bharanidharan Pandyan: Satya, I just declared about INR 700 crores, north of INR 700 crores.

Arthik Satya: That is your pipeline, if I am not wrong.

Bharanidharan Pandyan: No, no, no. That is our target that our revenue should be north of INR 700 crores. So, the band is between INR 700 and INR 850 crores is our target band on the revenue. The order book as of right now is INR 750 crores. At this moment, which is 2 months into the year, we still have about 10 more months to book orders. It is the first quarter of our booking orders. So, I believe we will show a very high order book every quarter.

Arthik Satya: This is without any further acquisitions, right? If at all you go ahead with any other acquisitions.

Bharanidharan Pandyan: It is without any further acquisitions, whatever we plan will be a bonus on top of it.

Arthik Satya: Right. Great. Thanks. Thanks. All the best.

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. The next question is from the line of Sanjan Yadav, an individual investor.

Sanjan Yadav: Yes, sir. My question is, who are other companies which are making coil products in

India?

Bharanidharan Pandyan: For HVDC and FACTS application, we are the only company making coil products in India. 220 kV and above, we are the only company that is making these products in India. That can be checked by Power Grid, Adani and Sterlite, who are the HVDC and FACTS operators in this country.

Sanjan Yadav: Okay, sir. And you mentioned that our order pipeline is north of INR 1,000 crores. So we will get completed INR 1,000 crores plus, it will come to us only, sir?

Bharanidharan Pandyan: Our port pipeline is INR 1,000 crores, sir, at this current moment. We believe a good section of it should come to us.

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Sanjan Yadav: Okay. And sir, can you bifurcate the revenue in terms of what the contribution from coil products, transformers and power quality solutions?

Bharanidharan Pandyan: Our current focus is only coil products where there is a huge peak demand. Our transformer products are miniscule. Our power quality is at this moment about 40 %-45% of our total revenue.

Sanjan Yadav: Okay. And you want to take it to 20 %-25% as you mentioned in last call too?

Bharanidharan Pandyan: Correct, sir. As we grow on our power products and manufacturing business, our solutions business would slowly start going down as a percentage even though they would have a growth.

Sanjan Yadav: Okay, sir. And margins in coil products are how much, sir?

Bharanidharan Pandyan : Sir, it is already displayed. What are the margins? One second. Roughly north of 20 %-22%, sir, or higher.

Sanjan Yadav: Okay. Okay. Thank you, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Yashovardhan Banka from Tiger Asset.

Please go ahead.

Yashovardhan Banka: Thank you, sir. So just wanted to get an update on the STATCOM Energy acquisition and if we are going through.

Bharanidharan Pandyan : Sir, we have a certain what we say process and acquisition including sometimes we may request the promoters to have a share swap in a few years where we normally intend to buy 100% of the company over a few years. So we have had discussions which are determinant both to us and the company. So even though it 's a good company, it did not fit in the investment philosophy of how we normally do a takeover. So we have decided to mutually call it off.

Yashovardhan Banka: Okay. Got it. And just one more question I wanted to understand. What is your average client acquisition timeline?

Bharanidharan Pandyan : We do not have an average customer acquisition. Most of the customers who are already there have been acquired on a utility space. As I said, there are 100 utilities more or less which control the world and we are more or less approved in most of these. It is how much capacity we can deliver to these guys as and when they are having projects.

So to give you an India, in India suddenly there is peak. There is also England is peak, Netherlands is peaking on HVDC. So how much capacity we can give compared to the size of projects. So sometimes one customer is able to keep your factory full for 5 years or 10 years , it's that kind of business in HVDC.

Yashovardhan Banka: Understood. So if I understood this correctly, for the year, for FY26 and moving ahead, are we projecting our margins to be sustainable around 15 % to 16%? Is that right?

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Bharanidharan Pandyan : I believe so. That is what we are forecasting.

Yashovardhan Banka: Thank you.

Moderator: Thank you. The next question is from the line of Jainam Doshi from Kriis Portfolio. Please go ahead.

Jainam Doshi: Yes. Thank you for the opportunity. Like we are currently paying around 10 % to 11% taxes on a consolidated basis. So can you explain the reason for the lower tax rate?

Sarika Jadhav: Hello. Yes, sir. Our for

eign subsidiary is basically a technology company and which is the certified R&D center and they are doing the research and development expenses. So for that, their country is offering some taxation benefits and that 's why the total on consolidated basis, the tax expense is lower.

Bharanidharan Pandyan : Okay. So for all our Indian subsidiaries, we have the same level of tax rate of about 27% give and take . The Turkish company, because of the projects we undertake and the investments we do, has almost close to nil tax rate. It's basically an R&D benefit which the government of India removed a few years back, but that government continues to have.

Jainam Doshi: Okay. Okay. Got it. And second question is pertaining to the R&D budget which we are targeting moving ahead and due to the benefit which we are getting due to the R&D expenses which we incur in Turkey, how long it will be available to us and when we start paying normalized taxes in Turkey?

Bharanidharan Pandyan : For our historical memory, sir, in the last 10 years, I think we have been using the benefit. What we say, I cannot comment upon what the government policies would change . But I'm sure R&D is very crucial to most European countries for development of technologies. We have developed great technologies there including SCADA, SVC, STATCOMS, and the government supports that initiative.

They have far more programs on R&D and actually a lot more funding on R&D in those parts of the world. So I believe that in the near future, I don't think any probability of change in policies.

Jainam Doshi: Okay. And what would be our R&D budget which we are targeting?

Bharanidharan Pandyan : In India, because we do not have any R&D budget per se where there is a benefit to it, most of the R&D what we do gets into your P&L. Most of the expenses are used in our P&L and we don't capitalize it separately.

Jainam Doshi: Okay. Okay. Got it. Thank you for the detailed explanation.

Bharanidharan Pandyan : Thank you.

Moderator: Thank you. The next question is from the line of Harshit Sachdeva from Columbus Capital.

Please go ahead.

Harshit Sachdeva: Oh, hi. Great set of numbers have been following the company since Q3. I'm sorry if you've been hearing this too much but these are the kind of times we live in. About Turkey, I mean, you've already mentioned it in the opening remarks as well but just wanted to clarify what are the conversations you're having and I hope that the backlash is only limited to social media rhetoric and nothing gets affected on ground. Because like you said, there are a lot of businesses other than QP as well operating for India.

And on follow-up on that would be like any bifurcation of numbers for the Turkey operations? Like how much does it contribute to revenue profitability? I mean, you mentioned tax before this. So just a bit of clarity on that because that's the environment.

Bharanidharan Pandyan: Point taken, Harshit. I can clarify two things to you. What we say, the first is we are the only company in Turkey making SVCs and STATCOMs. We are the only company. So the industrial market of Turkey does not have options other than us unless they go to Chinese. As a local company, they are preferred in 90% of the contracts which they bid in. That is point one.

From what we have had discussions with our partners there and our employees, the backlash from Turkey is not so much. The social media of Turkey was with a couple of anchors but in the country, it is still not covered in the news media. In India, there has been a backlash against us including one of our anchor investors who decided to exit because of our Turkish heritage.

But however, from an Indian operation, we are not exposed much to the Turkish market in such a way that what we say the Turkish

guys cancel our contracts. Our total offers at this moment to them is less than INR 5 crores out of a INR 1,000 crore s pipeline that we have. So the impact is technically at this moment negligible unless the Turkish government decides to, you know, again support something against what we say Indian investments in Turkey. But then we are not alone in that country.

Harshit Sachdeva: Cool. Thank you so much, sir

Moderator: Thank you. The next question is from the line of Deepankar from CCV -IM. Please go ahead.

Deepankar: Thank you for the opportunity, sir. In the document, you have mentioned funding in organic growth through unidentified acquisition. Could you please provide some color on the type of companies or technologies you are targeting for future acquisitions? Like, are they based on the geographical regions or what?

Bharanidharan Pandyan: Sir, we believe 50% organic growth and 50% inorganic growth historically is what we have been doing also. The acquisition normally we do, we do not do it for expansion of geography or expansion of markets. These are stuff that we could do cheaper with our own cells. What we do is for acquisition of technology so that we increase our bouquet of offering in the HVDC FACTS and critical power transmission segments.

So there are some interesting companies that we are evaluating, including battery energy storage, on the best part electronics, on component levels, on high voltage manufacturing. We

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are evaluating a lot of companies at this moment with us. We have formed a mini committee under our director, Mr. Raj Iyer, who used to be on the board of ABB Switzerland and GE Paris. He has run factories even in China. He was president of ABB Japan for some time. So we are evaluating one by one.

But as I said, culture, price and technology should fit in our portfolio before we make an acquisition. One of the reasons why we funded as promoters our own capex is primarily because we wanted to keep the free cash and the free profits for further inorganic growth rather than putting all our money into the capex.

Deepankar: Okay. And sir, I believe 25 %-30% of your revenue comes from the international market. So can you please provide the country -wide revenue segregation and do you expect any change in it moving forward?

Bharanidharan Pandyan: It keeps changing every year because the size of some of these projects can be quite large. So to give you an idea, a couple of years back, America was our biggest market. Last year, Europe was our biggest market. This year, I believe, Middle East and Australia is our biggest market. Maybe next year, we are looking at India being our biggest market. So it depends on the project size and volume. Based on some of these large projects, our revenues are miniscule. So one or two large projects can tilt a company anyways.

Deepankar: And sir, last question. How does the high proportion of international sales impact your overall margin profile compared to domestic sales?

Bharanidharan Pandyan : Our margins across markets are similar. It is not a special price for domestic or a different price for global because we have to keep in mind that in global markets, in some places, let's say LATAM or say Southeast Asia, we may also face Chinese pressure. So the margins are more or less similar. We have recently got a 1-year blanket with a utility of Hong Kong where we fought the Chinese in similar margins.

So from margin profile, it is not different. But from a sustainability profile of a company where we intend to grow over a period of 10 years, more markets, more large utilities means that every time we have an inorganic acquisition, our cost of customer acquisition is zero. We have a sales channel that can do. Some products sell in certain regions and do not sell in other regions. So we need to have a spread of

regions.

Deepankar: Okay, sir. Thank you, sir. I'll get back in queue.

Bharanidharan Pandyan : Thank you, Deepankar.

Moderator: Thank you. The next question is from the line of Yashovardhan Banka from Tiger Ass et.

Please go ahead.

Yashovardhan Banka: Thanks again, sir. So just for my clarity and sorry for coming back again. So the margins that we are adding for that is around 15 % to 16% is excluding the income that is shown in other income from Endoks is that correct?

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Bharanidharan Pandyan : That is excluding the other income of interest from them. Other than interest, all the other income is nothing but operational income for us. Those will start getting cleared up into income, I believe, in the next 18 to 24 months because the inflation is coming under control in Turkey.

And the IAS 29, which is the IFRS equivalent of reporting, needs the country to be in 100% hyperinflation for 3 years to be able to go into that module. Once they clean up that, I believe it will go into operational income from our reporting parameters.

Yashovardhan Banka: Got it. And, sir, what are the margins from Endoks ?

Bharanidharan Pandyan : They are into high -end power electronic products, as I said, SVC, STATCOMs, and Power Quality . They have been traditionally around 25% plus, but this year we are looking at about 20% to 22% primarily because of inflation -related costs at that market.

Yashovardhan Banka: Okay. But sustainable moving ahead, say, 2, 3 years?

Bharanidharan Pandyan : Historically, it has always been about 20%, 25%.

Yashovardhan Banka: Got it. Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Mihir from Prithvi Finmar t. Please go ahead.

Mihir: Thank you for the opportunity. I'm sorry to repeat the question again. Like, can you please give some clarity in simple language regarding the reporting principle that you are following for the Turkish operation in the other income?

Bharanidharan Pandyan : See, I have about INR 75 crore in cash, between INR 70 and INR 75, that cash and cash equity, including FDs. Okay. That generates approximately about INR 12 crores give and take as interest and investment income. Anything over that is an operational income. When I say operational income, all the electrical equipment vendors across the globe, including in Asia, all are LM . If I buy copper, aluminum, steel and oil in rupees, the rupees is hedged to a dollar. Like, basically, I need to pay in dollar equivalent. All are LM. Same way, when they have to buy equipment in Turkey, to any vendor, they have to pay in dollars. Okay.

When the country went into hyperinflation, most countries tend to ensure that no foreign currency contracts are signed, because that means forex outgo. So, they sign a contract in Turkish lira, but they write a countervailing contract equivalent to so much dollars. So, at the end of the contract, because, you know, even my supplier is also equivalent to the dollars, my customer is also equivalent to the dollars.

So, your margin as a percentage is normally fixed, what we call as a hedge, say, plain vanilla option hedge. Okay. But whether I make profit or loss is immaterial. If the currency goes upward or downward, in the contract, the customer pays equivalent of that. That's all. So, the margins are always protected.

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Mihir: Okay. Got it. That's it . Thank you so much.

Bharanidharan Pandyan : Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Bharanidharan Pandyan : Hello. We have covered all the key developments over the past quarter and outlined our outlook as we move forward in this journey. Our focus, as I reiterated, remains firmly on

execution of the numbers that have been committed, innovation on a technology front, and creating long-term value for our investors.

If any of you have any further questions or would like to meet the management, please feel free to reach out to our IR, Churchgate Partners. And we look similarly to have a continued engagement with you guys in the next few quarters. Thank you and good day.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect the line.

Call: Aug 2025

14th August, 2025

ISIN: INE0SII01026

Dear Sir/ Ma'am,

Subject: - Submission of the Transcript of Q1 FY 26 Earnings Conference Call held on 08th August 2025.

Pursuant to Regulation 30 and 46(2)(oa) read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Q1 FY26 Earnings Conference Call that was organized with the Analysts/Investors on Friday, August 08, 2025 at 12.30 P.M. (IST) on Unaudited Standalone and Consolidated Financial Results of the Company for the first quarter ended June 30, 2025.

The aforementioned transcript of the 'Q1 FY26 Earnings Conference Call' is also uploaded on the Company's website i.e. www.qualitypower.com.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking You,

Yours faithfully,

For QUALITY POWER ELECTRICAL EQUIPMENTS LIMITED

Deepak Ramchandra Suryavanshi
Company Secretary and Compliance Officer
ICSI Membership No.: A27641 To,
National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai – 400051

NSE Symbol: QPOWER To,
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street,
Fort, Mumbai – 400001

BSE Scrip Code: 544367
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"Quality Power Electrical Equipments Limited
Q1 FY 26 Earnings Conference Call"
August 08, 2025

MANAGEMENT : MR. BHARANIDHARAN PANDYAN – JOINT MANAGING
DIRECTOR – QUALITY POWER ELECTRICAL
EQUIPMENTS LIMITED

M R. RAJESH JAYARAMAN – CHIEF FINANCIAL
OFFICER – QUALITY POWER ELECTRICAL
EQUIPMENTS LIMITED
M S. SARIKA JADHAV – SENIOR VICE PRESIDENT
FINANCE – QUALITY POWER ELECTRICAL
EQUIPMENTS LIMITED
M R. SACHIN SHETTI – VICE PRESIDENT FINANCE –
QUALITY POWER ELECTRICAL EQUIPMENTS LIMITED

MODERATOR : MR. SIDDARTH BHAMRE – ASIT C. MEHTA
INVESTMENT INTERMEDIATE

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2026 Earnings Conference Call of
Quality Power Electrical Equipments Limited, hosted by Asit C. Mehta Investment

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Intermediate. As a reminder, all participant lines will be in the listen-only mode and there will
be an opportunity for you to ask questions after the presentation concludes. Should you need
assistance during this conference call, please signal an operator by pressing star then zero on
your touch-tone phone. Please note that this conference is being recorded.

I would now hand the conference over to Mr. Siddharth Bhamre from Asit C. Mehta Investment
Intermediate. Thank you, and over to you, sir.

Siddharth Bhamre: Thank you. Good afternoon, everyone. I am Siddharth Bhamre, Head-Institutional Research at
Asit C Mehta Investment Intermediates Limited. It gives us immense pleasure at Asit C. Mehta
to host this conference call for Q1 FY 2026 for Quality Power Electrical Equipments Limited.

I would also like to state the fact that our group company, Pantomath Capital Advisors Private
Limited, was the merchant banker for the IPO of Quality Power. It is the largest issue done by
a single merchant banker till date in India. This quarter, Quality Power on a standalone basis
has delivered an excellent set of numbers. Also, the group companies have witnessed heightened
execution.

Let me now introduce you to management from Quality Power on today's Q1 FY 2026 con call.
We have Mr. Bharanidharan Pandyan, Joint Managing Director; Mr. Rajesh Jayaraman, CFO;
Ms. Sarika Jadhav, Senior VP Finance, and Mr. Sachin Shetti, VP Finance.

Over to you, Bharanidharan.

Bharanidharan Pandyan: Thank you, Siddharth. Good afternoon, ladies and gentlemen. On behalf of the board and the
management team, I thank you all for joining us today and for your continued trust in the
company. We are pleased to report another quarter of consistent performance.

The sector we operate, that is high voltage electrical equipment and power quality solutions, is
witnessing a structural long-term demand surge driven by grid modernization, renewable energy
integration, and digital infrastructure. This momentum is intensifying globally. It is important
to note that this demand is now constrained by supply, especially for technical advanced
products like ours. This is creating a shift towards a supply-driven environment.

Our traditional coil products group under Quality Power delivered a record high margin of 34%,
and Endoks delivered a margin of 27% with an exponential increase in revenue growth. Mehru,
the recent entrant in the family, also has an increase of 45% this quarter over the last year's
operating margins.

This quarter also saw us sign a binding term sheet for an acquisition of Sukrut Electric through
a joint venture with Yash Highvoltage Limited. This great gem is again a value buy and allows
us access to hundreds of transformer manufacturers in India and abroad for our instrument
transformer and composite product lines.

Over the last several years, we have made conscious, sustained investments in technology,
global approval, and manufacturing quality. Today, that work is translating into opportunities
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of scale and strategic importance. We are now approved suppliers of HVDC and STATCOM
products with all the leading global companies, including the Chinese OEMs.

This opens up doors not just to immediate orders but to long-term participation in global grid

stability projects. Further, we are on track for key HVDC order announcements in the near term. These projects are at the highest end of technical complexity and signify a growing confidence in our capabilities.

Our qualifications for such projects reflect our technological achievements. This quarter's numbers highlight our gradual shift from participating in the market to playing a more defining role in it. Our order pipeline remains strong with healthy visibility across sectors and geographies.

While we

remain optimistic, we are mindful of ongoing supply chain fluctuations and are planning accordingly. We remain committed to transparent communication, capital discipline, and long-term value creation.

Thank you once again, all the investors, for being a part of this journey. I now invite our CFO, Mr. Jayaraman, to share his thoughts with this distinguished gathering. Jai Hind.

Rajesh Jayaraman: Thank you, Bharanidharan. Good afternoon, everyone. It's a pleasure to share this quarter's highlights. We have seen strong top-line growth. Consolidated revenue rose from INR80 crores to INR194 crores, more than doubling year on year. This reflects sustained demand across product lines and strong execution across entities.

On profitability, Quality Power stand-alone delivered a historic EBITDA margin of 34%, our highest ever. Endoks maintained a healthy margin of 27%, driven by operating discipline and a solid product pipeline. Mehru's margin stands at 9.5%. But importantly, profitability has improved by 47% in its first full quarter post acquisition, showing our integration strategy is on track. We expect further improvement as synergies play out. The higher consolidated expenditure is due to Mehru's consolidation.

Core cost structures at Quality Power and Endoks remain stable and efficient. Cash flows remain strong, enabling growth investment without impacting profitability. On PAT, the quarter-on-quarter moderation is due to a one-time forex gain in the previous quarter.

Adjusted for PAT, underlying profitability remains healthy and growing across businesses.

Looking ahead, with new additions like Sukrut and continued group-level consolidation, we are confident of meeting our revenue and earnings guidance for the year.

I would also like to note a minor correction yesterday's limited review profit loss account. The controlling interest profits of Q1 FY 2025 were reported as INR31.12 crores. The correct figure is INR19.37 crores. The increase in debt this quarter stems from a temporary promoter support as INR70 crores interest-free stock loans for proposed acquisitions, which also raise net assets.

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This is purely a strategy with no operational impact. Group debt stands at INR13 crores against cash and cash equivalents of INR250 crores. Thank you for your trust and support. Now, I open the floor for discussion.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Pritesh Chheda from Lucky. Please go ahead.

Pritesh Chheda: Sir, can you share the revenue for Mehru and revenue for Endoks for the quarter 1?

Bharanidharan Pandyan: Good morning, Pritesh ji Thank you for always being with us. The numbers for Endoks is INR91.91 crores in sales. And Mehru is INR61.5 crores in sales. For electrical equipment, it's INR41.8 crores in sales. And projects, which is our subsidiary, which is related party transactions, is about INR4 crores in sales. And capacity utilization at Mehru at this moment is close to 95%. But they are scaling up every month as the new ovens for the addition is coming over.

Pritesh Chheda: So Mehru capacity utilization is 95%?

Bharanidharan Pandyan: At this moment, but they are scaling every month because they have ordered new ovens. They have got into warehouses, put in a lot more effort into what we say, into expanding the factory capacity. So that will come up in the next few quarters. You will see their capacity utilization is always around 95% because of the order book. Even with the expanded capacities.

Pritesh Chheda: Mehru, you guys mentioned that it's 9.5% EBITDA margin. What will be the Endoks EBITDA margin?

Bharanidharan Pandyan: The Endoks EBITDA margin is about 27% profit before tax.

Bharanidharan Pandyan: And for Quality Power, which is the coil product is about 34% for HVDC and FACTS, where we are expanding the factory.

P

ritesh Chheda: Okay. Now from the capacity utilization perspective, even Quality is at a high capacity utilization, right?

Bharanidharan Pandyan: Correct, sir.

Pritesh Chheda: Correct. And Mehru, based on whatever ovens and all that you are adding, so let's say this INR60

crores is 90% capacity utilization. So what kind of capacity and a business size will we see in Mehru as we progress ahead with whatever capacity expansion that you have planned?

Bharanidharan Pandyan: We are anticipating that the numbers may improve by about 20% to 30% in the next quarter for Mehru.

Pritesh Chheda: And if you take a slightly longer opinion over the next two years based on the capacity that you are adding in Mehru, or sorry, the capacity which will get commercialized in Mehru, what kind of business size will Mehru reach to?

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Bharanidharan Pandyan: The maximum capacity that the current factory can deliver is about INR450 crores to INR500 crores, depending on the pricing advantages. Our current focus is to bring them to the mid-teens margin. That has been our guidance. That is where our focus is at this moment as management.

Pritesh Chheda: So, at INR110 crores to INR125 crores per quarter and 18% margin is what you mentioned in Mehru, right?

Bharanidharan Pandyan: At this moment, our current focus is to bring them to around 15%.

Pritesh Chheda: And when do you see this happening? Is it two quarters from now or four quarters from now?

Bharanidharan Pandyan: Ideally, we are attempting in the next four quarters.

Pritesh Chheda: Okay. Okay. And my last question is, on the order backlog of INR775 crores that you guys have mentioned, can you give quality power backlog in this Mehru and Endoks, the split?

Bharanidharan Pandyan: Mehru is about INR350 crores. Quality Power is about, I think, INR250 crores and the balance is Endoks.

Pritesh Chheda: And execution timeline?

Bharanidharan Pandyan: Most of the execution is about 12 to 15 months.

Pritesh Chheda: Okay. And what is the progress on your new site and when should we see it up and running?

Bharanidharan Pandyan: We are ahead of schedule, sir. A lot of people are being put in. We are working with the best companies in the country. We are slightly ahead of schedule at this moment.

Pritesh Chheda: Okay. Thank you very much, Bharanidharan, and all the best.

Bharanidharan Pandyan: Thank you, Pritesh sir.

Moderator: Our next question is from the line of Nemish Sundar from Elara Capital. Please go ahead.

Nemish Sundar: Yes. Thank you for the opportunity. Just wanted to expand on the previous capacity-related question a bit. So I want to understand, is the capacity hindering our ability to get new large orders, especially in the HVDC, given the capacities are coming up?

Bharanidharan Pandyan: I believe it is not hindering us, but we are not able to take the entire HVDC order. So let's assume our HVDC order is, say, 100 rupees. We are only able to eat 30 or 40 rupees because that is what we are able to deliver and not more than that.

When I say 30 or 40 rupees, it is just not my own factory. It is also the current set of supply chain. That is why we are also putting a CPC factory, what you typically call an electrical magnet wire. We are also putting across a huge backward integration that would have an advantage, not only of capacity supply, but small improvement in operating margins also.

Nemish Sundar: So by when could you expect to cater to, let's say, more than 50% to 60% or 70% of the HVDC order that you are getting?

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Bharanidharan Pandyan: You would see some orders as we guided sometime in the H2 of this year. We will be delivering. Even recently we won a very prestigious order from Pagre along with partnership with Hitachi. We won the 500 kV HVDC smoothing coil. Each

coil is about 250 megawatts. This is one of the world's largest coils. This opens up not only agreements with Pagre, but also domestic supply as being the only guys who can supply this part of the world.

Nemish Sundar: Okay. And sir, is there any impact of the tariff situation on your exports to US?

Bharanidharan Pandyan: At this moment, as you are aware, tariffs are changing every week. So the orders and the projects of ours are already predetermined, pre-linked. So I would not see an impact in the next 12 to 15 months.

After 15 months, we need to see how the geopolitics comes in. However, as I said, right now it's a capacity allocation. If the Americans don't want it, we can send the capacity to anybody.

So we just announced a large order intake from Middle East. That is for the UAE transmission company. So customers, because we sell in over 100 countries, we are not short of customers.

Nemish Sundar: Okay. Thanks, sir. And could you just give your revenue guidance for the year?

Bharanidharan Pandyan: We had given guidance of between INR700 crores and INR800 crores conservatively at the beginning of the year.

Nemish Sundar: This is including all your subsidiaries, including the new acquisition also?

Bharanidharan Pandyan: Sukrut would not be consolidated. It would be an associated company because it's going under a joint venture. So I believe it would not come in the main P&L, but would come as investments if I'm correct.

Nemish Sundar: Okay. Thank you. Thanks a lot, sir. I'll get back in the queue.

Moderator: Thank you. Our next question is from the line of Rahul Agarwal from Aventus Capital. Please go ahead.

Rahul Agarwal: Thanks a lot for giving me this opportunity. Sir so the first question that I had was when I was looking at the recent concalls, I just wanted to classify the numbers for the bid success ratios that we have for HVDC and FACTS, if you could just tell me for domestic and international.

Bharanidharan Pandyan: So Rahul, in the domestic, we are the only people. So it is how much deliveries we can give would depend on whether it is 100% or 80%. So, because a lot of tenders are coming simultaneously every month, our supply chains are not able to take it. It's just not our factory.

It's also the supply chain. So, we are working together to be able to take 100% in India. Globally, we are still at a favorable stage by the end of next year when our entire factory is up and running.

At full-swing, I think we would not make so much. Right now, our hit and win ratio is not because of pricing. It is on deliveries.

Rahul Agarwal: Okay, understood sir. So the next question that I had was that in the documents that are there, the public documents for QP, we were a little confused to understand the peers and your clients.

So the same names were mentioned Hitachi, Siemens, all of the companies that you said were Quality Power Electrical Equipments Limited

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mentioned as clients and peers. So can you just clarify how this relationship works between us and them?

Bharanidharan Pandyan: In high-technology businesses, all of us are customers, suppliers, competitors, partners and peers. So in our FACTS business, we buy components from Hitachi, Siemens and GE. In their FACTS and HVDC business, they buy components from our facilities, because these are not overlapping components and overlapping supply chains. So we are a supplier to all the three big guys that you mentioned across the world.

Bharanidharan Pandyan: But we are also in competing them in certain businesses. We are partnering them in certain businesses and we also buy from them in certain businesses.

Rahul Agarwal: Understood. So there is no, especially in the part where we are competing with them, there is no threat of sort of them making those same products later on the line and eating the market share for us. Is there any threat for us?

Bharanidharan Pandyan: It is n

ot determined by the middlemen in between. When I say middlemen, it is like companies like Quality Power and others. It is determined by the utility at the end of the day. So something like we are now working with TRANSCO in Abu Dhabi. We are working with Transca Craftnet in Sweden, FinGrid in Finland.

So those are the guys who approve the company and the people in between us just component and solution providers. So we are approved in over 100 countries. The technology is well proven. The moat is normally between 5 and 10 years.

So competition would still take between 5 and 7 years even with the best people across the world, because there is so many utilities. Even in India, if you see a transmission utility, we have three large players, Power Grid being the largest, Adani and Sterlite, and the new ones coming in for the HVDC line. So all these, they will have to approve you.

Rahul Agarwal: Okay, understood. And just one last thing, could you just tell us the capex number? Like the amount of capex that is being done? I know the capacity number. I just wanted to know the capex amount.

Bharanidharan Pandyan: I believe it should be around INR125 crores at post-IPO. That is what. A lot of money has been spent pre-IPO also. A lot of the equipment that we bought, about INR20-27 crores of equipment that we bought during the IPO, is also being used for the same project, so overall around INR125 crores.

Moderator: Thank you. Our next question is from the line of Dev Gulwani from CARE PMS. Please go ahead.

Dev Gulwani: Good morning. Thank you for the opportunity. My first question is what is the market size of products while making HVDC substations? So how much percentage of our products contribute?

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Bharanidharan Pandyan: At this moment, we deliver three key product lines in HVDC. That is reactors, various types of reactors, instrument transformers, and special purpose medium voltage transformers like zigzag-connected earthing transformer. These are the three product lines, which we do.

In the components lines with all the transformers and HVDC, we have now components from Sukrut that get into those transformers. That is as accessories. At this current moment, we are sitting on these four different opportunity size. In a normal HVDC project, we believe the opportunity size for us is about INR200 crores per order.

Dev Gulwani: Okay. And what is the competitive edge of our products that we are getting so many orders?

How are we different from others?

Bharanidharan Pandyan: I believe we have, given our peers and global competition; we have two guys in Europe. For the high voltage, we are the only guys in this part of the world. So, obviously, whatever comes or the demand comes in, the first preference is given to us. Because we are local, we are able to serve it better and we have proven ourselves in over 100 geographies. It is only when we are not able to deliver them on the time that we require that it is one normally outside the country.

Dev Gulwani: And last question, how much percentage of order book consists from India?

Bharanidharan Pandyan: At the current moment, we should be about 50/50 or maybe 60/40, 60% being export, 40% being domestic.

Moderator: Thank you. Our next question is from the line of Nishita from Sapphire Capital. Please go ahead.

Nishita: Hello. So, congratulations on a very good set of numbers. I would just like to know whether you have any new acquisition plans like you had mentioned in Q3 FY 2025 that you are in talks of potential acquisition of Statcom Energy. So what is the update on that?

Bharanidharan Pandyan: Nishita, good question. So the Statcon deal has been called off in what we say about three, four months back. It's been mutually called off. With regards to other acquisitions, I believe, yes, we are normally hungry for acquisitions based on technology and pricing

g apart from the culture that

the company brings along. We are in talks with a few. Nothing concluded as of yet. You would see some small debt that we have put into the company for certain bids. As and when it happens, I'm sure the markets will know about it.

Nishita: Okay. Also, I just wanted to know that from the new global coil factory that you built in Sangli, how much revenue do you expect to generate from that factory?

Bharanidharan Pandyan: The facility is quite large. The facility can also make, apart from coils, a lot more products, including mid-sized power transformers. So, the peak revenue from the facility is expected to be between INR1,500 crores and INR2,000 crores, depending on the pricing policies that we may have. At this moment, our focus is to get the facility immediately on, staff the facility, and get the raw material aligned. Our focus, instead of numbers, is more on execution at this moment.

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Nishita: Okay. Perfect. And in the margin guidance for FY 2026 of 15% to 16%, are we still on the same line?

Bharanidharan Pandyan: I believe so. If you look at most of the margins that the parent companies are delivering, I think, pre-Mehru, we are still at very, very high numbers. I think closer to 30% console. It's only with Mehru coming down, we have been pushed on the numbers. But as soon as Mehru starts increasing, I believe the average would also start pushing. So we are still in the guidance. No bad news from that side.

Moderator: Thank you. Our next question is from the line of Sanjay Jain from Intellect Capital Fund. Please go ahead.

Sanjay Jain: Hello. Good afternoon, sir. Thank you for the opportunity. My question is from the transformer side. So historically, we have seen that the transformer's capacity utilization of Quality Power was on the lower side. And with Mehru coming in, so how does this help? Can you give us a visibility on how does this help with the orders? As in if the synergy is going to work out or how are we going to use the existing capacity that we have of transformers?

Bharanidharan Pandyan: So Sanjay, to clarify, transformers and instrument transformers are two different product lines. Transformers are used to convert energy from high voltage to low voltage, what we normally call a distribution of power to be able to feed power to utilities or houses, whereas instrument transformers are used to measure electricity. So these are much smaller transformers, but still at the same high voltage and more complex, technically speaking.

Now, instrument transformers are totally different business. Line has nothing to do with transformers, even though all transformers use instrument transformers. A. B, we have been making transformers, non-standard custom designed transformers for the past 25 years. Sometimes we worry about the overcapacity coming across the world, so we have been also trying to slowly reduce our dependence on transformers. However, we still do deliver transformers to some of our key customers and we still continue to export some transformers.

The new factory, we will be able to take a little bit more transformer orders. In the current factory, our coil products have been delivering almost 34% margins. We are more focused on high profit businesses because the factory is fungible on product lines.

Moderator: Thank you. Our next question is from the line of Viraj Mahadevia from MoneyGrow. Please go ahead. Viraj sir, please go ahead.

Viraj Mahadevi: Hi, sir. Congratulations on stable and upward results. Can you give us some color as to why you did a joint deal to acquire Sukrut with Yash Voltage, the thought process behind that, as opposed to acquiring it outside?

Bharanidharan Pandyan: So, Viraj, that is a very, very tricky question, so I will answer it like this. So, we put a factory - the first factory in England in 2010 and we had to close

it down in 2017. And one of the key

learnings when we ran the factory in England was the management bandwidth.

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Now, as we are growing rapidly, we want to preserve the management bandwidth. We were approached by the management of Sukrut, a German company. We had negotiated a good deal, but transformer manufacturers are even though strategically important, a very large customer, a growing business, is not in the vicinity of our current sales and strategic team.

So, we did not want to open up another front in war. So, Yash Highvoltage, which was already establishing themselves in the US, Europe, and already had a large set of customers in India, seemed like a natural partner. So what our intention to do together is to use the brand and legacy of 70 years of Sukrut to be able to consolidate more companies in the transformer component and create it as a board-level company.

So, that is why right from day one, it is taken as a board-level company and this is primarily to ensure that we don't lose focus on HVDC and FACTS, which is high-growth, high-profit business.

Viraj Mahadevia: Understood. So, this business is like such for you, mainly run by Yash Highvoltage, is that right?

Bharanidharan Pandyan: I would say that we have access to technology, marketing, customer base, and also internally their customers happen to our customers to our instrument and composite products. But Yash would bring a significant advantage of customer connect. So, from a customer side of things, I would say Yash definitely would need to take the front end.

Viraj Mahadevia: Understood, Sir. Second question is regarding your raw material security. Can you give us a sense us to your raw material basket, whether it comes largely from India, from Europe, US, or China? Are there any, sort of certain market dependencies?

Bharanidharan Pandyan: So, our raw material is traditionally being 100% India. We make our own special cables and our vendor works with our own machinery. However, we are not able to scale up that factory, because we are typically the only guys in this part of the world who make those kind of equipments.

So, we are spending our own money in developing that facility where we should be almost delivering 50% of our needs from that facility. A. B, now for global orders, we are also looking at importing from China, primarily because the Indian orders do not allow Chinese origin raw material.

So, what we are trying to do is we are trying to use the Indian raw material for Indian projects and global raw material for global projects. At this moment, we do not foresee a problem on cable so much, but we see a huge problem on porcelain or what we call as insulators.

Viraj Mahadevia: Understood. And is there a reason you choose to source from China for global orders versus elsewhere or India? Is it purely just pricing and product availability?

Bharanidharan Pandyan: The Chinese are actually more expensive when you compare the freight, import duties and everything. It is just availability at this moment. We simply pass it on to the customer.

Moderator: Thank you. Our next question is from the line of Akshay from AK Investment. Please go ahead.

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Akshay: Yes. Thanks for giving me the opportunity. Sir, our order book currently is INR775 crores. So, can you please guide us how much consolidated order inflow are we expecting in FY 2026 and what would be our order book at the end of FY 2026?

Bharanidharan Pandyan: Akshay, ideally, we would like to have about one year of order book forward cover, because more than one year, the metal prices swing too much for our likes and also the raw material visibility starts diminishing. Ideally, we would like to be having about one year to 14 months of order book. That is what, as a management is

a guidance to the sales team. At this moment, we are very comfortable on that.

You would see that we started the quarter with INR750 crores of order book. Now, we have done about INR194 crores in sales and we still increase order book by INR25 crores. With some of the HVDC orders that we are planning in the H2, I think we should be comfortable. We have already guided that we may have another additional INR500 crores of orders by the end of the year.

Akshay: Sure, Sir. And Sir, my second question is more on the fundamentals, right? Currently, there is a huge shortage of transformers, especially in the European markets. There is a very huge replacement demand in the US and European markets. So, as per your perspective, how do you see this market evolving in the next 5 to 10 years? Is this a temporary demand or is this a structural demand? It will evolve over the 5 to 10 years?

Bharanidharan Pandyan: I would say at 400 kV and above, we are seeing a demand of at least a decade, at least a decade. That is 400 kV and above. 132 kV and below, I think the capacity that is coming in is so shocking across the world that we keep our fingers crossed. And because we operate our transformer businesses around that voltage, we have been very conservative on that. However, on the transformer play, where there is anyway demand, irrespective of what the supply is, we have already had one hand with Sukrut, where Sukrut has only two or three peers in India and about 10 peers across the world.

We will contribute, at full contribution, about 1% of the transformer value from the component space, which itself is a big business. So, with Yash, we intend to consolidate more transformer component companies under Sukrut.

Akshay: Okay. Yes so, we are more on the high voltage demand, especially above the 400 kV, right?

Bharanidharan Pandyan: Correct. That is where we see that the demand, because to enter the 400 kV, you still need five or seven or 10 years of experience. So, the utilities normally would not allow new entrants into 400 or 765 kV without that experience, irrespective of demand, because the cost of shutdown is too high, unlike a 11 kV or a 33 kV or IDT transformer. So, at that voltage, even if people develop right now, by the time they come in, it will be seven-eight years.

Moderator: Thank you. Our next question is from the line of Hitesh Randhawa from CAGR Quest Capital. Please go ahead.

Hitesh Randhawa: Hi, sir. My question is on the lines of accounting as far as other income is concerned. I think in the last quarter, we said that out of INR53 crores of other income, around about INR40 crores Quality Power Electrical Equipments Limited
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were attributable to hyperinflation accounting actually in Turkey. So, in this quarter, how much of other income is attributable to that?

Bharanidharan Pandyan: I will ask the CFO Mr. Rajesh to answer that, please.

Rajesh Jayaraman: Yes. Thank you. Now, it is now other income hyperinflation in this quarter is coming down drastically just not that. Other income basically is interest and other things. So, practically, it is a very minimum. We got that in the earlier quarters.

Bharanidharan Pandyan: Hitesh, this hyperinflation formula or whatever we call as a forward hedge is based on the inflation rate in Turkey. As the inflation rate is reducing there, automatically, the other income goes into traditional income, operating income. At this quarter, I think the other income is only INR2 crores to INR3 crores, rest of coming in into operational. Because inflation is softening in that part of the world.

Hitesh Randhawa: Right, sir. So, my, sorry to stretch this a bit further. So, what is the exact amount this quarter? And other point being, could you please elaborate on why would this flow into operating income? Because these are hyperinflation related adjustments. So, once Turkey is out of hyperinflation, then should

n't this just kind of go out of other income? That's it? And it shouldn't be or it wouldn't be part of our operating income in that case? So, the extra benefit, because this is kind of an extra benefit, right? So, that should go away, right?

Bharanidharan Pandyan: Hitesh, there is accounting. As an engineer, I can only answer this, accounting entries don't create profits and balance sheets. Profits are created by sales and purchase. Okay. That doesn't change. However, what changes is that let's assume if I do a forward hedge or what we say, I have to account for what we say hedge call, where we have to have a dollar hedge against a depreciation. Now, what happens over the course of a contract, you lose money because you know, the inflation is 60%.

So 60% goes off in your operating income and the 60% comes in one quarter as a hyperinflation adjustment. So, what happens that adjustment comes into other income in my operating, I would operate at 3% margin. But if your inflation is only sitting at about say 10%-20%, then what happens is you do not lose so much in operation. So, your hedge call is not so profitable. But eventually, when you hedge, you have technically what we say, close your profit at the time of the order.

Hitesh Randhawa: Right. Okay, sir. Thanks for that. And sir, as far as the capacity is concerned, I think E5 in Sangli, Cochin and Mehru, all of these kind of should most probably go live by November 2025.

So, my question is incrementally, how much of potential peak revenue would these three facilities add actually by going live in November 2025?

Bharanidharan Pandyan: So, Sangli is not going live in November 2025. Sangli will go down as per the guidance that is given in Q2 of what we say next year. Cochin will go live. It's a small incremental capacity.

Mehru is giving an incremental capacity. At this current moment, we would like to stick to the guidance of INR700 crores to INR800 crores. With the next quarter, we would give you any change in guidance if required.

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Moderator: Thank you. Our next question is from the line of Yashovardhan Banka from Tiger Assets. Please go ahead.

Yashovardhan Banka: So, I wanted to understand a bit more on Nebeskie, sir, because you increased our stake in the same.

Bharanidharan Pandyan: Yes, I think as a returning customer, I should give you the first preference of normally starting because you are there in every earning call. Thank you for believing in us. So, Nebeskie, as I told you, is in the IoT and embedded space.

Now, in Sukrut, where we bought in the transformer components business, now to develop the next generation of transformer components where every component is connected because a transformer, the core and copper is not connected. That is, iron and steel cannot be connected. It is the accessories in the transformer which are normally connected, which means that they need to go from an analog to a digital transformation to be able to be ready for the next generation grids.

Now, Sukrut as a team does not have the access to that, whereas Nebeskie in an embedded IoT network with a kind of edge computing data space can help them get there. So, this becomes our in-house product lab technology center for digitization of all the high voltage equipments that we are doing. Nebeskie is also working with Mehru for creating a separate device, again for digitization of analog to digital signals.

They are also internally working with us for some other R&D projects. So, we use them for critical R&D projects to be able to create technologies, especially on IoT software and embedded systems. That is why we decided to increase it slow and steadily.

Yashovardhan Banka: Understood. So, the developments are moving well, right?

Bharanidharan Pandyan: Yes.

Yashovardhan Banka: Okay. So, the second question is regarding our best applications,

which you mentioned in the

last call. So, I think we have executed two 5 megawatts projects where we are supplying a few on the EMS, BMS side. So, if you can just touch upon that a bit more and the progress as well.

Bharanidharan Pandyan: So, we have already developed two projects on BESS, not as an EPC. We are a component manufacturer in BESS. So, we have some sort of EMS and power conversion already deployed for two projects.

Maybe in a year, year and a half, we may qualify for most of the tenders in that part of the world.

But as I said, these are two 5 megawatts or 4 megawatts ones, not at the gigawatt level. At the gigawatt level, we are scouting for acquisitions which we can bring in because there is a new policy change in India where the EMS has to be totally domestic from Indian origin sources.

The software has to be integrated into grid. I am sure even the power conversion would come up. This would be a large play. We have one hand and one leg in it already with the software and hardware through Endoks. How do we indigenize it? How do we bring it to scale is a part

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of execution strategy our M&A team is looking at and we are deliberating at every board meeting.

Moderator: Thank you. Our next question is from the line of Sahil Garg from CCV Emerging Opportunities Fund. Please go ahead.

Sahil Garg: Hi, sir. Good afternoon. Sir, I have only one question. So, what kind of EBITDA margins and PAT margins we are expecting on a consolidated basis for the given estimated revenue of INR700 crores to INR800 crores for FY 2026? Why I am asking this question is because when a company grows both organically and inorganically, so it is easy to estimate the top line, but it is difficult to estimate the bottom-line. So, that is why I am asking.

Bharanidharan Pandyan: I will answer your question, Mr. Garg. If you look at even without Mehru, I will just for a sake

remove Mehru. Last quarter our numbers were INR61 crores. INR194 crores minus INR61 crores, we are still about INR130 crores organically. We are expanding organically 9x. We are also bullish on technologies with our own current set of numbers and technologies. But the acquisitions what we are doing when you see a blended margins can go reducing, but at the magnitude level, our PAT will continue to increase significantly, because these are businesses that we are buying in for the next two, three years.

Like as I just told you, Mehru we got a 47% increase in margins in one single quarter. Now, a business of say about INR300 crores give and take, if I am able to improve another say 50%, 60% from where they are, my acquisition is paid for.

Bharanidharan Pandyan: So, that is the kind of value that we normally bring into companies.

Sahil Garg: Sir, can you also put the number to the statement on a consolidated level?

Bharanidharan Pandyan: At this moment, the companies that we currently operate, we have given a guidance of high teens. That is the guidance at this moment. As I said earlier in the second quarter, high teens between 17% and 20%

Moderator: Thank you. Our next question is from the line of Nilabja Dey from Ashmore Research. Please go ahead.

Nilabja Dey: Good afternoon, sir. Congratulations on a very good number. Sir, my question is that given that usually we have seen that margins are higher on the export site and you have a subsidiary in Turkey and now, after this particular new deal has been signed, I think the tariff situation in that area is more or less stabilized. So, why are you scaling up or focusing more on the export site or you are more on the domestic sites?

Also, in terms of the premium equipments, why are the demands are more? Because as we understand from some of the cable conductors, they are saying that surprisingly premium products are using better margin in India. And they are getting decent margin from the

standard

products. Can you just throw some lights on this, specifically since you are on the power equipment sides?

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Bharanidharan Pandyan: So, Mr. Dev, with regards to exports or domestic, we have worked the past 15 years in developing customers in over 100 countries. We do not want to just give away the customer and the market share that we have developed just because the Indian market is booming. The margins in India and globally are similar and not different.

There may be a small advantage when you export because of what we say the reduction in finance cost or some duty drawbacks and nothing more. With regards to what we say the supply, what we call, when we say from an Indian market, in the Indian markets and advantages, you get paid faster because you are not waiting 90 days end of the month receiving at the site. So, there is not much of a difference in margins.

However, the demand I can just tell you, if you take a simple piece of data, a normal search data on a Google search takes you about 0.3 watt hour of data. If you use an AI agent for doing the same search, it takes you 2.7 watt hour of data which is 9 times increase. Now, we would say how many people ChatGPT use, but I would say how many people use Samsung phone because every photograph is now digitally enhanced through AI.

As you are doing quant trading, there are driverless cars which are continuously using AI. So, the surge in demand of AI and AI technologies would also mean 9 times to 10 times increase in power consumption. Even if you look at an EV charger, EV charger which used to be now, a good charger would start at 1250 kilowatt, whereas the average house in Bombay has about 3 kilowatt of power.

Now, imagine 10% or 20% of the houses going into EV in the next 5 years, the entire distribution and transmission system is designed to deliver at about 5%-6% growth per year, not 5 times, 6 times in 2-3 years. So, that is a structural mismatch that we have. In the demand side, from I would say on a distribution side, say at sub 33 kV, there is not much of a moat on technology or branding.

So, there can be a lot more players. Even so, the market gets bigger, the competition also catches up. However, in the transmission side, when I say 220, 400, 765 kV, the moat of that 5 or 10 years means that nobody wants to enter because the rewards are after 7 or 10 years. So, that becomes the basic supply-demand mismatch. And as we are going forward, we see that even getting worse. Now, you asked about global demand and Indian demand.

I think the last con call I pointed out, one HVDC order, frame contract in England, awarded in March is 59 billion pounds, okay, which is about 6,25,000 crores, one single framework contract. If you look at, say, a power grid contract in India, it is typically about 10,000, 20,000 crores. So, even if you have five contracts, it is only 100,000 crores, compared to six times higher for one single contract in England.

So, the global markets are even larger than the Indian markets. Even though we are gung-ho about India, we also want to ensure that we have 50% of our hands and legs in the other part of the world, that we have created over time.

Moderator: Thank you. Our next question is from the line of Aniket Jain from YES Securities. Please go ahead.

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Aniket Jain: Hi, sir. I wanted to check if there is any service intensity in the components of products you are designing. Are you planning to do any kind of EPC business?

Moderator: Aniket, sir, sorry to interrupt. Aniket, sir, your voice is breaking.

Aniket Jain: I wanted to check if there is any service intensity in the components of products that you are supplying, and are you also doing any EPC business as well, along with supply of those components?

Bharanidh

aran Pandyan: Yes. So, on the service side, no. Most of our equipment's do not require service. Either it operates or it does not operate. We sometimes do get pulled into a service contract where we are used to commission our own equipments and nothing more.

Aniket Jain: Okay, sir. And so what is the typical replacement cycle for these components that you are supplying? Can those be replaced after 10 years, 15 years, or is it slightly shorter?

Bharanidharan Pandyan: Ideally, my customers would not want to replace it for 30 years.

Aniket Jain: Okay, got it.

Bharanidharan Pandyan: That is the kind of reliability that is put in.

Aniket Jain: That you have put in. Got it. And second question would be, how is the competition from China and the international markets, for example, in Europe or US, and who are the main competitors that you are mainly dealing with?

Bharanidharan Pandyan: The Chinese competition has been there for a very long time. We have been fighting them outside the country also for a very long time. Even today morning, we got a INR34.5 crores order against the Chinese in Abu Dhabi with similar margins. So I do not think that we fear Chinese competition from a price standpoint. But yes, Chinese have one advantage on scale, which we are building internally with others also. So I believe in next year, we should be apples to apples with the Chinese.

Moderator: Thank you. Our next question is from the line of Naman Parmar from Niveshaay Investments. Please go ahead.

Naman Parmar: Yes, good afternoon, sir. Thank you so much for the opportunity. So firstly, I wanted to understand on the bookkeeping. There is a slight error. I think in financial results, you have shown a INR177 crores of revenue and control. And in presentation, it's showing INR194 crores. So what's the correct number?

Bharanidharan Pandyan: My colleague, Sarika, will answer the question.

Sarika Jadhav : That INR177 crores is the revenue from operation. And our total revenue is INR194 crores.

Naman Parmar: Okay, you are including the other income also.

Sarika Jadhav : Other income. Yes, sir.

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Naman Parmar: Yes. So what will be the bifurcation in other income? How much will be interest income and hyperinflation part?

Sarika Jadhav : Hyperinflationary part is only INR2 crores to INR3 crores. And other is interest income only.

Naman Parmar: Okay. And currently, how much cash is there in the Turkey plant?

Bharanidharan Pandyan: Last quarter, it was around INR75 crores. Just one second.

Sarika Jadhav : Yes. Now it is INR72 crores, sir.

Naman Parmar: Okay. Okay, I understand. And on the business side, so how much percentage of revenue would be coming from the major 3, 4 products? Like how much is from the coil reactors and transformers?

Bharanidharan Pandyan: Quality power is basically coil products. Mehru is instant transformer products. Endoks is power quality products. If you look at it, I think the numbers are clear for you.

Naman Parmar: Yes, understood. And what will be the PAT of the all 3? Mehru, Endoks and Sukrut?

Bharanidharan Pandyan: The PAT is already guided, sir. We have given for different companies. We have given PAT forecasting also on the margin side. Even I have just reiterated sometime before.

Naman Parmar: No, no, no. On the future not, I am telling you. For the current quarter, what will be the PAT of the Mehru, Endoks?

Bharanidharan Pandyan: In the current quarter PAT of which consolidated level?

Naman Parmar: No, no. For Mehru, for Endoks, like you mentioned the revenue.

Bharanidharan Pandyan: The PAT for electrical equipment is INR10.9 crores. Along with projects is about INR11.4 crores. Endoks is INR21.8 crores and Mehru is INR4.2 crores.

Naman Parmar: Okay. And Sukrut has ended the year with how much revenue or PAT in FY 2025?

Bharanidharan Pandyan: Sukrut, I believe this year they will be

doing about INR24 crores to INR26 crores. That is the number that we have been projected. At this moment, they are not at cash loss.

Moderator: Our next question is from the line of Raj Vyas from TM Investment Technologies Pvt. Ltd. Please go ahead.

Raj Vyas: Congratulations on a good set of numbers, sir. So, as I can see we have the order backlog of INR775 crores. So if you can give me the bifurcation for Mehru and Quality Power. And what will be the execution timeline for completing all these orders?

Bharanidharan Pandyan: Good afternoon, Vyas. I have already answered that question earlier. INR350 crores Mehru, INR250 crores Quality Power. Rest is Endoks. And the delivery would be between 12 and 15 months.

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Raj Vyas: Okay. And I might have missed that. So other than this, we have, as you have mentioned that we are in international market and we cater to more than 120 plus countries. So, what is the dependency on each and every or what is the highest dependency on countries that you can provide? And earlier as well, in the last con call, you have mentioned that we are in the ongoing project and bid with Finland, Brazil, Canada. So what is the progress with respect to those bids if you can provide some details?

Bharanidharan Pandyan: We are project and country agnostic for us. Everything is one market, one margin. In the recent past week, we have had orders from the US, Abu Dhabi. We have orders from Finland. We have more incoming orders from, say, the Middle East. We see some good traction in Southeast Asia, Australia.

So we are country agnostic, what we say. Company, we go as a project. And as I said, depending on our relationship with the customer, we are at this moment having a capacity allocation. We also see a lot of domestic demand, especially on the STATCOM markets where we cannot ignore the customers.

Raj Vyas: If my memory serves me right, in the earlier con calls that we have had, so you have mentioned that the dependency is not more than 5% to 7%. Is that right?

Bharanidharan Pandyan: Correct. The biggest market would not be more than 5%, compared to the Indian market where I would say at this moment we have set a 40% kind of revenue in India.

Raj Vyas: And also, you have mentioned that there is no impact of tariffs. But we can see that from FY 2024 to FY 2025, the dependence in America has significantly dropped from 20% to 25% to just 1-2%. But you have said that it all depends upon the execution and for that after the...

Bharanidharan Pandyan: I think you have misunderstood the dependency. I believe that we have no problems on the tariffs for the next 12 months because the projects which are supposed to be awarded to us will be awarded. Because those are weighed with our technical bids cannot be changed.

That is point one. Point two, we keep changing markets every year depending on the scale of projects. So if we have some major HVDC orders in India this year, we may have India as a big customer this year.

Next year, if we get a huge contract, say South Korea, we may have South Korea as a big market.

So because we are starting with a smaller base, so you would see the flavor of the country changing every year at this moment. But traditionally, at the end of two, three years, we would say India would continue to deliver 40%, 50% and 50% globally.

And those markets would change depending on the size and type of the project. Now, if you get a very large order for an oil-cooled equipment in America and in Abu Dhabi, we do not have further capacity to sell in Europe. So, it depends a lot on how much capacity you can deliver.

Bharanidharan Pandyan: But as we speak, we are negotiating larger contracts in the US market. The customers do not seem to be worried so much on the tariffs. They are more worried about delivery. If you see the big beautiful bill that Mr. Trump had given

, the energy subsidies are closing in 2027, which

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means most of the renewable energy projects need to be commissioned by 2027 and the subsidies go off. So, in the US, they are ready to give an airlift equipment. It is only how much

delivery you can give to them.

Moderator: The next question is from the line of Aditya Agarwal from FinAvenue. Please go ahead.

Aditya Agarwal: Thank you so much for the opportunity. Sir, I just wanted to ask, the kind of work or the kind of product that we are making, so how difficult will it be for an established player in the HVDC market like GE, TND or Hitachi to open up a new vertical because we are receiving orders from them. So, to open up a new business vertical and deliver the same products for getting it in-house. So, just wanted to know about this.

Bharanidharan Pandyan: So, nothing is impossible, Mr. Agarwal. If anybody is intending to do it, yes, they can do it. I believe the timeline for them to do that would be 5 to 7 years, not because technology is not available in the world. They can always find technology. But they should have to wait that 5 or 7 years for them to enter the market based on market qualification. Point one.

Point two, by then we would have consolidated the market share with the capacity, people and what we are envisaging. We will be one of the lowest cost producers in the world. So, eventually when the competition kicks in, you still have a lot of margin to sacrifice for volume.

Aditya Agarwal: Okay. And, sir, what will be, like, according to us, what is the exact total addressable market for us? And, I mean, on our prospectus, it is mentioned something. But in the Google, the industry growth is somewhat different for different HVDCs. In different sources, it is showing difference. So, can you just guide, what is the absolute TAM that you are projecting and the kind of industry growth for next three to five years, the overall industry growth?

Bharanidharan Pandyan: So, Mr. Agarwal, we are not a one product, one location company. We are a multi-product, multi-location company, say, in the likes of, say, CG Power or, I wouldn't compare myself with Hitachi, but I would say we are multi-product, multi-technology. We go from embedded power electronics in Turkey to, say, components in Pune, to say, instrument transformers in Delhi, to coil products and transformers in Sangli.

Having said that, if I talk about the largest growth prospect of HVDC and FACTS, when we had to go to SEBI, the regulation says that we need to use a research agency from India, and most of the research has to be sourced from peer-reviewed research in India, because HVDC and FACTS is such a closed market, there's not much of peer-reviewed A-class data that was available. But if you look at the Google data of, say, HVDC order of, say, UK, or you put HVDC and TenneT, you would see multi-billion-dollar orders coming in.

If you look at the volume of data, the HVDC market was about \$8 billion or \$11 billion last year, as per the research report. I just told you, in England, they released an order for \$59 billion in one single year. So, the data is, at this moment, not technically proper, available online. But I would say that you can do an industry check with the users in the market. That would be typically for Power Grid, Adanis of the world.

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Aditya Agarwal: Okay, sir. Okay. And the kind of growth in the industry domain, are we still projecting that 60% to 70% growth, which was mentioned earlier? I mean, the HVDC and FACTS side for the next three to five years?

Bharanidharan Pandyan: I believe our order book is already reflecting that kind of growth because for all renewable energy interconnections in this country and most parts of the world, FACTS is now compulsory, which mean

s no new renewable plant is delivered without a FACTS interconnection. And in the FACTS interconnection, which can be SVC or STATCOM or this, we have our components in it already. And we are approved and we are creating capacity to deliver.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we will take the last question. Saurabh Garg from Pranshi Investments. Please go ahead.

Saurabh Garg: Yes. Congratulations on a good set of numbers. I just want to inquire on the consolidated shape. Employee benefit expenses have risen a lot. So what is the full year projection for this? And what will be the hand call for this quarter? And are we going to increase it as our capacity expands?

Sarika Jadhav: Sir, our current employee benefit expenses on consolidated basis is INR25 crores.

Saurabh Garg: They have risen a lot compared to the last quarter ended on March 25. So what is the full year projection for that?

Bharanidharan Pandyan: Sir, the employee benefit expenses increased because we had to include Mehru in it. Without Mehru, our employee benefit expenses are only about INR12 crores. Sorry, Mehru was INR12 crores that came as an incremental into our employee benefit. Our employee benefit has more or less been stagnant.

Bharanidharan Pandyan: It's just that when we acquire companies, these things come into our P&L.

Saurabh Garg: Okay. So as our capacity expands, so are we looking to expand or increase our headcount also? And what would be the full year projection for this employee benefit expenses that are we looking at?

Bharanidharan Pandyan: Very difficult to answer that question at this moment. But, yes, we have started recruiting people across divisions, across companies.

Bharanidharan Pandyan: As number of people grow up in Sangli, because the plant is such a huge plant, we may require another 600, 700 people at various levels and capacities coming up in the next year. And they need to be ideally taken before the plant opens so that we can train them. So we would see a small spike in employee benefit analysis. That is in Endoks and Quality Power. Mehru, I believe it will be stable.

Bharanidharan Pandyan: So it will not be much of a difference. I would say that INR25 crores of what was there last year would be, say, about INR30 crores or INR32 crores this year.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Siddarth Bhamre from Asit C Mehta Investment Intermediates.

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Siddarth Bhamre: Thank you to all the participants for participating in this con call. And also, once again, we would like to thank Management of Quality Power to give us this opportunity to host con call on their behalf. Thank you.

Moderator: Thank you. On behalf of Asit C Mehta Investment Intermediates, that concludes this conference. Thank you for joining us. And you may now disconnect your line.

Notes:

1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings
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Quality Power Electrical Equipments Limited

Call: Nov 2025

19th November 2025

ISIN: INE0SII01026

Dear Sir/ Ma'am,

Subject: - Submission of the Transcript of Q2 FY26 Earnings Conference Call held on 13th November 2025.

Pursuant to Regulation 30 and 46(2)(oa) read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Q2 FY26 Earnings Conference Call that was organized with the Analysts/Investors on Thursday, November 13, 2025 at 12.30 P.M. (IST) on Unaudited Standalone and Consolidated Financial Results of the Company for the second quarter ended September 30, 2025.

The aforementioned transcript of the 'Q2 FY26 Earnings Conference Call' is also uploaded on the Company's website i.e. www.qualitypower.com.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking You,

Yours faithfully,

For QUALITY POWER ELECTRICAL EQUIPMENTS LIMITED

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BSE Scrip Code: 544367
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Q2 FY26 Earnings Conference Call"
November 13, 2025

MANAGEMENT : MR. RAJESH JAYARAMAN – CHIEF FINANCIAL

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MODERATOR : MR. SIDDARTH BHAMRE – ASIT C. MEHTA
INVESTMENT INTERMEDIARIES

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Moderator: Ladies and gentlemen, good day and welcome to the Quality Power Electrical Equipments Limited Q2 FY26 Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone.

I now hand the conference over to Mr. Siddarth Bhamre from Asit C. Mehta Investment. Thank you and over to you, sir.

Siddarth Bhamre: Thank you. Good afternoon, everyone. Thank you for joining Q2 FY26 Earnings Call of Quality Power Electrical Equipments Limited. I would like to thank management of Quality Power to give this opportunity to Asit C. Mehta Investment Intermediates Limited, a Pantomath group of companies, to host this call.

Quality Power's revenue growth demonstrates healthy growth momentum and to dwell more on the results, I am pleased to invite companies' management. Today, we have with us Chief Financial Officer, Mr. Rajesh Jayaraman; Chief Business Officer, Mr. Sanjog Mhatre; Senior Vice President Finance Mrs. Sarika Jadhav and Joint Managing Director Mr. Bharanidharan Pandyan. Over to you, Bharani.

Bharanidharan Pandyan: Thank you, Siddarth, and good afternoon, ladies and gentlemen. Thank you for joining us for the Q2 and H1 financial year 2026 results call. The high-voltage electrical equipment industry continues to experience strong sustained demand across global markets, driven by the energy transition, renewable energy integration, and grid modernization. These structural tailwinds are creating a multi-year opportunity cycle, and Quality Power is well-positioned at the core of the transformation.

At the same time, we are operating in an environment marked by supply chain constraints. The industry is witnessing delays in critical inputs. HVDC magnet wires now require BIS license, which has slowed import approval since the Indian capacity is already booked out for the next year, while insulators and bushings remain tight in global supply. Despite these challenges, our teams have delivered with remarkable precision and consistency.

I want to place on record my appreciation for the agility and commitment in ensuring customer deliveries and project continuity. In Q2, we achieved consolidated total revenues of INR 218.9 crores, representing 112% growth year-on-year, and maintained strong profitability with a consolidated EBITDA margins of about 22.5%.

While short-term supply disruptions may influence quarterly trends, we remain fully confident and committed of achieving our annual guidance and growth sustainably.

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Our order book stands at around INR 830 crores, maintained with discipline to protect margins and execution quality. We are seeing a very strong quotation pipeline across utilities, renewable developers, data centers, and industrial users, reflecting the growing global preference for our technology.

We are now entering a phase of major capacity enhancement and technology expansion designed to make Quality Power not only one of the largest, but also one of the most advanced

manufacturers in our segment. Mehru continues its strong growth momentum, and with the new lines being commissioned, is on track to become both the largest and most cost-competitive producer in its category.

In short, we are navigating short-term challenges with resilience, while building long-term

strength through technology, scale, and operational excellence. I thank our employees, partners, and investors for your continued trust and belief in our journey. I now invite our Chief Business Officer, Mr. Sanjog Mhatre, to speak about our business outlook. Thank you. Jai Hind.

Sanjog Mhatre: Thank you, Mr. Bharanidharan Pandyan. Good afternoon, ladies and gentlemen. It's a pleasure communicating with you this wonderful afternoon. Our order book remains strong, and so does our tender pipeline across companies and geographies, providing solid visibility across all of our major business lines.

The demand environment for high-voltage equipment continues to be extremely robust, particularly from utilities investing in transmission expansion, grid strengthening, and renewable integration. During the quarter, we achieved historic order wins in the HVDC segment, including high-voltage smoothing reactors from Rihand-Dadri LCC HVDC project, which is one of India's most critical transmission corridors, and converter reactors for a VSC HVDC project in a G20 nation.

These represent landmark achievements and reaffirm our global engineering capability. We also secured multiple orders globally for STATCOM and FACTS applications, further strengthening our leadership in power quality systems. On the GIS front, we have entered into a strategic partnership with Hyosung to bring gas insulated instrument transformer technology to India.

This partnership positions Mehru at the forefront of the fast-growing GIS market as utilities and industries transition from AIS to GIS substations for enhanced reliability and compactness.

This collaboration also presents significant global export opportunities as we evolve into a key technology provider in this space. Internationally, we secured large FACTS orders in Sweden for a steel facilities grid stabilization project, a strong endorsement of our technological expertise and European market presence. We continue to receive encouraging traction from the U.S. market despite the tariff pressures.

While global component availability remains challenging, considering the geopolitical sensitivities that are ongoing, our teams have managed planning and execution with exceptional agility and focus. The immediate elections after Diwali and the Chhath Pujas have also meant the suppliers have had little issues with labor, which again may impact supply chain this quarter. We are doing our best to ensure the same is minimized to our best efforts.

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Looking ahead, we remain optimistic. The pipeline across HVDC, FACTS, GIS and high-voltage utility products continues to expand, supported by the global energy transition wave, the accelerating grid investments. With disciplined execution, technology depth and a strong balance sheet, Quality Power is well positioned to capture the next phase of global growth.

Thank you, and over to you, our CFO, Mr. Rajesh Jayaraman, please.

Rajesh Jayaraman: Thank you, Sanjog. Good afternoon, everyone. I would like to present a concise summary of our financial results for the second quarter and first half of financial year 2026. For the quarter, consolidated revenue stood at INR 218.9 crores, a growth of 112% year-on-year and 13% sequentially. Growth has been broad-based across FACTS, HVDC and high-voltage power quality segments, supported by strong international demand and disciplined execution.

EBITDA stood at INR 49.4 crores, up over 200% year-on-year with margins at 22.5%, reflecting healthy operating leverage and cost efficiency. PBT was INR 44.3 crores and PAT stood at INR 35.2 crores, maintaining profitability in line with expectations. In the first half, revenue reached INR 413 crores, up 126% year-on-year with EBITDA at INR 97.7 crores, a 67% rise and gross margin maintained at 40%.

What is encouraging is that we have already exceeded last year

's total revenue within the first 6

months of financial year 2026. Mehru has delivered a significant improvement in operational margins this quarter to about 12%, driven by higher capacity utilization, product mix optimization and operational discipline. With new capacities and global orders, we expect further strengthening in both volume and profitability.

Across the group, we are consciously investing in manpower, systems and infrastructure to prepare for next phase of growth. While these initiatives have a short-term impact on margins, they are strategic investments aimed at building scale, enhancing automation and pursuing us for sustained performance in the coming years. On the inorganic front, our plans remain firmly on track.

We are extremely disciplined on valuation and return of capital, ensuring every opportunity

aligns with our long-term shareholder value approach. With private market valuations in India running high, we are also actively evaluating global opportunities that align with the philosophy of technological depth, cultural fit, and prudent valuation.

We hope to share positive developments on this front soon. Our order book stands at INR 830 crores, providing clear revenue visibility and our guidance for the year remains on track. With a strong balance sheet, prudent capital allocation and disciplined execution, Quality Power is well-positioned for the next phase of growth and value creation. Thank you. Now I open the floor for discussion.

Moderator: Thank you very much, sir. We will now begin with the question and answer session. Our first question come from the line of Sudarshan Padmanabhan. Please go ahead, sir.

Sudarshan Padmanabhan: Yes. Thank you for taking my question. Sir, my question is to understand a little bit more on Mehru's profitability. How is it being delivered and how do we see the profitability there? You
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know second is, we have this arrangement with Hyosung , for the you know gas insulated switch. So when do we see the start of the sales on that side and how do we see the margins in GIS?

Bharanidharan Pandyan: Sudarshan, I'm sorry, your voice was very low. However, what I'm given to understand is you're looking to the margin profile of Mehru improvement and the markets of GIS. So coming from the product itself, I believe, has a lot of scope for margin improvement at high voltage segment, especially at 220 kV and above, considering the lack of competition not only in India globally. We are currently constrained by capacity rather than the order book at that division, and our order book there is in excess of INR 375 crores as on date. The GIS and the global markets are some of the product mixes we are trying to introduce to be able to leap up the value chain of the company. The GIS is between INR 200 crores to INR 300 crores import substitution product, which is currently being developed by Mehru in collaboration with Hyosung.

The plant has already been audited. We believe that globally the markets are between INR 2,000 crores to INR 3,000 crores for this product, again with less than half a dozen competitors outside of China. So, this, along with some of the international orders that we even won a couple of weeks back in Denmark, for the grids in Denmark, where the prices are far better than the domestic markets and with the changing order book, we remain positive on the outlook of Mehru's margin expansion. The order book expansion is already constrained by capacity at this moment.

Sudarshan Padmanabhan: Sure, sir. And when do we expect the commercial supply to start? I mean, that should happen in the next couple of quarters on the GIS side?

Bharanidharan Pandyan: These are R&D products, Sudarshan, cannot we have like a D-day because it's a development story. We are going ahead with a 220, 400 and 765 kV level of development. We have stages
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ernally. We have guided the market by a year. We should be able to have a commercial product on the market. If there is something sooner, we shall let the community know.

Sudarshan Padmanabhan: Sure, sir. And, sir with the scale-up happening on Mehru as well as the newer divisions, how do you see the working capital for the next year, the next two year to three years, not necessarily in the next near term?

Rajesh Jayaraman : Yes, we are generating good profit when we are self-sufficient. So I don't see at the moment any incremental working capital at the moment.

Bharanidharan Pandyan: I would also like to add, Sudarshan that we are already sitting out of cash in all the companies. There can be a little bit of working capital challenges at the divisional level, but as a group, we are sitting on excess of INR 200 crores of cash. So, we are almost zero debt when you look at the net debt.

Sudarshan Padmanabhan: Sure. No, I understand that, but I was just trying to understand, if we generate more cash, we will obviously deploy that cash into the business. So working capital days in that sense, I mean, how would it move? And if we are able to curtail it, obviously the growth, I mean, given that there is a huge demand, we can keep investing into the business as we see a long runway, of course. That was the thought process.

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Rajesh Jayaraman: And with Sudarshan, the working capital will remain more or less the same only. So it is stable only constant. So, no change.

Sudarshan Padmanabhan: Sure, thanks a lot. Yes, I'll join back.

Moderator: Thank you so much. Our next question comes from the line of Nemish Sundar from Elara Capital. Please go ahead, sir.

Nemish Sundar: Yes. Hi, sir. Thank you for the opportunity and congrats on a very strong set of results for this quarter. Sir, just wanted to know, could you give the revenue and the PAT split for the Quality Power, Endoks and Mehru? And the order book also, if possible?

Bharanidharan Pandyan: I think, I don't have the exact numbers, but I think the Mehru is in slightly excess of INR 375 crores. Quality Power is, if I'm not wrong, around INR 285 crores or INR 290 crores. And the rest would be Endoks. In the next few quarters, we will also be consolidating Sukrut.

Nemish Sundar: This is just for the order book, right, sir?

Bharanidharan Pandyan: This is for the order book.

Nemish Sundar: Okay. And the revenue, if possible?

Bharanidharan Pandyan: The revenue, I think if you look at the individual revenue of Quality Power, it is already stated in the balance sheet. My colleague, Sarika, can you please just check?

Sarika Jadhav: Our revenue for the six months ended is INR 92 crores for the standalone parent company. Sir our Mehru's revenue is INR 78 crores for the quarter and our Endoks revenue is INR 73 crores for the quarter.

Nemish Sundar: Okay. Thank you. And could you highlight the order pipeline for the remaining half of year, you're expecting any major orders in the second half of the year? Like Q1 and Q2 have been strong, so any more orders can be rushed out of there?

Bharanidharan Pandyan: The fourth pipeline is very strong across all the divisions. It depends on the region which they are bidding the order flow will go in. In India, we see normally most of the orders coming in for the first quarter of April. In the European market, it is normally the third quarter. And in the US market, it is normally the first quarter again, January quarter in the US market. So, we do not have a problem at this moment that a core profile where we do not seem confident. So, we will be exceedingly taking more orders.

Nemish Sundar: Okay. Thanks, sir. And all the best.

Moderator: Thank you, sir. Our next question comes from Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Sir, is it possible for you to give some kind of guid

ance in terms of short and medium term

revenues? And you mentioned something about some margin pressure and in the near term due to supply chain issues and capacity expansion. But at the same time, you are doing a lot of this Quality Power Electrical Equipments Limited

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backward integration. If you can just give us a flavor as to what kind of cost initiative that you can take? These are the two questions that I have?

Bharanidharan Pandyan: On the long-term or what is the short and medium-term, we have already guided the market to between INR 700 crores to INR 800 crores in revenue and about 20% in margins. If you look at the current revenue statements, we are about INR 413 crores six months. So, we can see that the guidance is there.

The margins are also at excess of 20%. So, we do not see a problem that way. What we are just guiding the market is that the Chhath Puja holidays may impact some of the local supply chain at our vendor profile, which is guiding to the market, but we do not see any alarming positions at any point.

Our Turkish subsidiaries are not impacted by that, neither some of our other ventures that are coming in. Given on the product profile, if you go to the earnings presentation that we have uploaded today morning on the website, we have given a comprehensive technology overview company, guiding you what all product segments that we are operating in and what all technology segments we are operating in.

It gives you a highlight that we are just not HVDC or a FACTS player. We also operate in HV, median and also the GIS market. So some of the reasons why we are also venturing on the backward integration is because of scale at which we are coming in next year with the new facilities. It is more than 9x of our current capacity.

We are trying to ensure that we are not relying fully on outward supply chain. So, that is the only reason why we are doing. We have also added more than 140 or 150 people in the last quarter, to be able to what we say, ramp-up and train them for when we shift to the new facilities.

These are some small incremental costs. As our revenue starts going up, I think this would get stabilized. So, at this moment, we do not see a problem with the margin guidance of about 20%.

Our current guidance is between 700 and 800. If we decide to surprise, we will let you know in the third quarter. And guidance after that, we should be able to give you some good pictures in the third quarter presentation, once we have a steady order book. Our order pipeline is quite heavy on the tender pipe. And most of the things are around that December, January phase. And that is when we can give you better guidance for the next year.

Sanjaya Satapathy: Understood. Thanks a lot, sir. And you are not looking to revise your revenue guidance of INR 800 crores, considering that you have already done a huge first half?

Bharanidharan Pandyan: At this moment, we are fixed. As I said, Q3 will tell you where we are exactly. Because we would like to stick to our guidance, whatever is given. And our first focus is to ensure we execute that guidance before we surprise the market.

Sanjaya Satapathy: Got it. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Abhijeet Singh from Systematix. Please go ahead.

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Abhijeet Singh: Thank you for the opportunity, sir. And good to see such great results. Also very, very strong recovery in earnings margin. Very positive.

Sir, so first question is on Mehru's margin profile. Now, we have done an exceptional job moving from 8.2 to 9.5 in Q1 and 12 in this quarter, as far as the EBITDA margin is concerned. And, sir, you mentioned that this is partly due to higher capacity utilization, improved mix and operational efficiency.

Now sir going forward, in subsequent quarters, how do we s

ee the margin profile for Mehru?

And what are the key factors that would drive it? Because as far as I understand, you are already running at about peak capacity utilization levels for Mehru. Now, we are expanding, we are putting in cost, fixed cost also. So how will Mehru margin look from here, from the range of 12%? That's my first question?

Rajesh Jayaraman: Yes, every month our capacity is increasing. Order book is also increasing. And it is going up and increasing. So the margin should be around 15%.

Bharanidharan Pandyan: Abhijeet, I would like to add that the guidance given for Mehru, at least the internal target, what we have is to bring them to the 15% level before we scale up to the next level. The next year guidance will be focused on how much of GIS that we are able to pull through the system and the export markets. The export markets take time. We had gotten to Israel far easier in the first quarter.

In the last quarter, we got into markets like Denmark. And Denmark is one of the Western European markets, very tough to get in and still we are able to pull through. We are also expecting some FACTS and HVDC-related orders even for Mehru. We are also developing some products like surge capacitors for GIS. Again, a new product portfolio. If you can see the portfolio matrix in this presentation, it gives you an idea of what we are working on and what would give us a future. And the current focus is to bring them to the 15%.

Abhijeet Singh: Understood, sir. And sir, I mean, just repeating the previous participant's query on this commercialization of GIS instrument, transform a business. Sir, I could not get to part, like, do we expect that to commercialize by Q2 FY27? Is that what you said?

Bharanidharan Pandyan: Our guidance was when we had signed the collaboration is that we try to bring the product within one year, what we say for the product profile. Now, once we bring the product, the product is normally, it has to pass all the tests and qualifications and then we go to the market. Now, the market acceptability and the speed at which it is able to accept it would actually be a variable here.

But Hyosung is a \$17 billion conglomerate. They are one of the largest GIS manufacturers in the world. Including in India, they have a lion share of the market. We are trying to piggyback on their market share to be able to ensure that the customer is receiving the product faster rather than putting hurdles on the incoming barriers. And the make in India would help us, what we say, push it through in the Indian context, at least.

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Abhijeet Singh: Right. So, sir, is it that we are first trying to penetrate into the domestic market for GIS instrument transformers? And then subsequently, maybe we would look to, for international geographies as well. Is that the strategy, like, at least for the start?

Bharanidharan Pandyan: It is quite funny, but normally when you develop a high voltage electrical equipment, you don't run to India. Because India, the regulatory parameters and the mode of the utilities is so large that it would take us a few years to even get into a 220 kV or a 400 kV level. And what we are trying to develop is a 765 kV.

So, what we intend to do is, we try to first smuggle ourselves into Africa, then LATAM, and then get into some places in Europe before coming to India. But in this case, GIS is also bought a lot by industries now. Because GIS technology reduces the footprint of a substation by five times.

And as more and more substations are coming up, or because of the power, you can generate

more power, but you cannot generate more space in urban centers or in a lot of other locations, even fraction. That is where the GIS is coming in, and there the mode is much lower. So, when you bring a high voltage product, you have to be very careful on mode. Hyosung being a global

company, we would also look at some global opportunities initially before we actually go into, say, utilities like Power Grid.

Moderator: Thank you, sir. Our next question comes from the line of Akshay from AK Investment. Please go ahead.

Akshay: Yes. Okay, sir. My first question is that you have already given the guidance of INR 750 crores to INR 800 crores for this financial year. So, for the long term, over the next four to five years, what should be the sustainable top-line growth rate we can expect as an investor, and what is the EBITDA margins that we should expect over the next four to five years?

Sanjog Mhatre : Thank you, Mr. Akshay. The EBITDA margins should be to the range of 20%. The higher terms have not been indicated yet. We'll come back to you on that part after the due considerations.

Thank you.

Akshay: Okay, sir.

Bharanidharan Pandyan: Akshay, I would like to add that when we give a guidance, we would like to get orders in hand and availability of orders in hand. I believe as an investor, thank you as an anchor to supporting us. We should be able to give a kind of guidance in the Q4 of this year. Once we have the through orders and the clearances, and we see a visibility, we would like to always stick to our guidance. That's the discipline we would like to start the relationship with the market.

Akshay: Yes, fair enough, sir. And, sir, my second question is currently we have an order book of around INR 830 crores. So what is our current order pipeline over all our subsidiaries? And what are the order inflows we are expecting over the next one to two years? As we are saying that we have a very huge market and we are anticipating very strong demand for all our products?

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Bharanidharan Pandyan: So, Akshay, the demand for the electrical equipments is very high, but also the delivery of the electrical equipments. So when you start opening up the floodgates of our order, you end up in LDs, like what my colleagues in Nehru did in the recent past. They lost more than INR 2.5 crores in one single order in LDs, because most of the high voltage substations are eventually owned by large utilities.

And there are penalties on late deliveries, apart from blacklisting if you end up after a certain more time. So, we need to be very careful when we are opening up the floodgate of orders.

Opening up a floodgate of orders is normally not so difficult. A couple of percentage points in margin, if you reduce the cost, you would typically get a lot more volume than we are already getting in.

As I said, we would like our order book not more than a year's time. Most of our orders are fixed cost orders. We do not want to take a much longer term where our margins are; A, under pressure; and B, our supply chain is also at a risk. So by Q4, once we have closed our order and positions for the next year, we will give you guidance for the next year. That's why we are holding on to the guidance, but we see aggressive growth going there. That's why we are building the facilities.

Akshay: Okay, sir. Thank you so much, sir, and all the best for the future.

Moderator: Thank you, sir. Our next question comes from the line of Viraj Mahadevia from Moneygrow India. Please go ahead.

Viraj Mahadevia: Hi, sir. Very excited about your company's performance and the future journey ahead. A couple of quick questions, when you refer to the 20% margin, are you referring to PAT margin or EBITDA? Yes, that's just minor clarification?

Rajesh Jayaraman : It is EBITDA.

Viraj Mahadevia: Yes. Okay. And for the international orders, do you participate in tenders, or do you actually have BD personnel stationed in the various markets, particularly larger markets like Europe, who go and interact with the utilities, et cetera or are you a known enough force where you just participate in tender and you have limited overseas staff?

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haranidharan Pandyan: So, Viraj, we do not have tender-based request. Normally, we supply to the large EPC or companies like Hitachi, Siemens, GE, Schneider, the ARAMCO kind of customers. So, these are not tenders per se. A. B, we have already approved in over 120 countries. A lot of spadework has been done over the last decade where we have gone and got approvals across utilities. So, we are approved in, say, Denmark. And that is how we were able to pull our friends from Mehru inside. Same way in Finland, we were approved. That's why we blanket for three years. And we got shunt reactors in Finland. We are approved in large utilities in the US. So, that

spadework has, in larger markets, already been done. What we are trying to do is, in the same marketplace, we are trying to add more product range in the high voltage and the power electronics segments.

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Viraj Mahadevia: I understood. And, sir, if, obviously, order book permitting and you said you'd give more clarity on it in the next six months or a few months, do you think you can do a INR 2,000 to INR 3,000 crores top line by FY30 once all your capacities are online, assuming the tailwinds continue in the sector? Is that within the realm of possibility?

Bharanidharan Pandyan: Viraj, that's a long shot question. I would not like to speculate. However, what I can tell you is that tailwinds at the high voltage, especially for HVDC and FACTS is going to be there for at least five years, if not more. That I am not speculating. Whether are we attempting an aggressive growth pattern? Yes, we believe in it.

We are putting into it. Most of the expansion will be funded by the profit or soft loan of 20 years. So, we are putting where the money is, what we are talking and committing. Our growth is not only organic, it is also inorganic. We are also looking at some exciting opportunities in the industry, in the sector.

As my colleague Mr. Jayaraman had indicated, the valuation sometimes, the market valuations tend to mirror the public market valuations and companies become very, very expensive. So, one of the reasons why we are toning down our aggression on that side. However, we will have some good news, we believe, next one or two quarters on this side. So, are we in the same trajectory? Yes, but I would not speculate more than that.

Viraj Mahadevia: Okay, thank you. All the very best.

Moderator: Our next question comes from the line of Paras Kulkarni from Ignara Capital. Please go ahead.

Paras Kulkarni: Yes, so I wanted to touch upon the gross margin. If I see on a year-on-year basis, they have fallen comparatively. So, what factors do you attribute to that first of all, that's my first question?

Sarika Jadhav: Hello, sir, our gross margin has increased. And there is just up and down in the material cost for the short term.

Sanjog Mhatre: Okay. Secondly, touching upon the previous call, if you remember, sir had guided that, we have a replacement cycle of 30 years directly for some of our products. So, you know, how do we see the top line growth after, say, let's after five, six years down the line? Because, you know, once this grid modernization, et cetera takes place, so would we be in a situation to, you know, continue this kind of growth?

Bharanidharan Pandyan : So, Paras, the story is a good question. Two things, even though the equipment takes 30 years to fail or the design life is 30 years, but also the manufacturing life cycle is one year. So, what customers do is at the end of five to seven years, they start buying spares, because if something goes wrong for a year, you cannot have a great shutdown. So, does not mean that spares are not a part of our business, point one.

Point two, in the last five years, we have been building a lot of 220 kV and 400 kV lines in our country, talking about our country. Now, the 220 kV lines are bei

ng upgraded to 400 and 400

being upgraded to 765, primarily because the amount of power to be transmitted has increased.

So, even though the equipment has a design life of 30 years, the way our country and most of

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the developing world is growing is ensuring that every 10 to 15 years, there is an entire ecosystem. The entire lines are being changed or upgraded. So, that is happening.

If there are other large markets in Europe and America, the grids are World War II, most of it.

So, these kinds of grids and sites, it will take 50 or 70 years to replace, not two or three years, because these are massive grids. So, if you look at a country like America, by geography, I think they are more than twice or thrice if you take Alaska along with America from the volume perspective.

So, when you have to put a transmission infrastructure, they have to take three times more in timelines. So, I do not think the transmission infrastructure is going anywhere in the next decade or so. There can be some small demand cycles up and down on the medium voltage segment in terms of energy generation or consumption.

However, whatever generation we do, we still need to transmit effective, whether it is a nuclear reactor, renewable or non-renewable. And with the more and more being produced, the transmission infrastructure is no longer able to take care of it. So, that is why the upgradation is happening, even the grids which have been installed five years back.

Paras Kulkarni: Okay, understood. And if I, you know, squeeze in just one more question, especially touching down upon the gross margin side again. So, do we see any kind of improvement or volatility going ahead given the fact that, you know, the silver and copper prices are volatile and, you know, have increased considerably in the last one or two quarters? Just one clarification.

Bharanidharan Pandyan : So, copper and aluminum going up and down is a part and parcel of this business, because, you know, one quarter it goes up and the next quarter it goes down. So, the cyclicity is normal and it is normally factored in. What is also of due consideration is that the raw material supply chain in this country is locked already for two years.

When I say raw material, anything, be it insulators, be it CTC cables, be it all critical components. So, what is happening is people are importing raw materials, including us. So, when you import it, you not only have the cost of the raw material in dollars, you also end up paying import duty and freight on it, along with the new regulatory requirements of BIS. So, these are short-term impacts, I would say, in a quarter-on-quarter basis. But a lot of stuff is also happening, including us. We are reverse integrating wherever we feel is going to be bottlenecks. The HVDC magnet wire capacity, we should be able to have the first stage of capacity, feeling about demand by Q3 of next year.

So, we are also trying to minimize. Maybe one or two quarters we may get hit, but once we go in-house, we may again start improving on it. Again, the copper and aluminum prices, as you know, is linked not only to the LME, it is also linked to the dollar. And the dollar is also linked to geopolitical situation. Reasons why we try to hedge it is, A, increasing our export shares, so that a lot of imports is also hedged by exports. And also trying to ensure our order book is never more than 12 months, in such a way that our hit is not prolonged.

Paras Kulkarni: Okay, understood, best of luck for the future quarters.

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Bharanidharan Pandyan: Thank you, Paras.

Moderator: Thank you. Our next question comes from the line of Pritesh Chheda from Lucky. Please go ahead.

Pritesh Chheda: Sir in the INR 800 crores revenue, what is the assumption of Mehru in this

and what will be the

Utilization?

Bharanidharan Pandyan: Very good afternoon, sir. Mehru, we are anticipating slightly north of INR 300 crores.

Utilization of all our facilities is already at 100% and above.

Pritesh Chheda: So, in the INR 800 crores, Mehru is INR 300 crores.

Bharanidharan Pandyan: Between INR 700 crores and INR 800 crores, what we guided, Mehru is positioned to be about INR 300 crores plus.

Pritesh Chheda: Okay. And Mehru was supposed to have some capacity expansion, right? Because when you bought the asset, it was at a certain revenue possibility of INR 250 crores and there was some debottlenecking. So what happened there?

Bharanidharan Pandyan: So, the equipments have been ordered. Every month, the equipments are being installed. As we are trying to make more and more spaces, I think we should be able to get about 45% more capacity of the same facility by March.

But it is not 45% at the end of the March. It is not a Greenfield expansion. It is inside the expansion where we shifted a lot of operations to a warehouse, storage, and we are creating the storage spaces into factory. So, that is why we are seeing from last quarter, they had a number of, I think, close to INR 60 crores. So, this quarter, close to INR 79 crores. This is the incremental stock that is helping us. We could have done slightly better more if we had more raw materials.

Pritesh Chheda: So, basically, Q2 means the Mehru revenue is INR 79 crores and that is construed to be 100% capacity utilization or not construed as 100%?

Bharanidharan Pandyan: So, after that, again, as I said, we are adding capacity every month. So, as we keep on adding capacity, the capacity next month starts improving.

Pritesh Chheda: So, as of now, let us say it is 80 into Q2, so about INR 320 crores and that is why you put Mehru at INR 300 crores in FY 2026 and 100% and then you keep on adding capacity incrementally?

Bharanidharan Pandyan: Correct. And next we have the GIS also because in the same capacity, instead of adding more machines of the same AIS, we have also ordered machines GIS project. So, while we are excited about the amount of orders we are getting on the AIS segment, we should also not forget that the higher margins and higher entry barriers are also in the GIS segment. So, a portion of our factory, in spite of the revenue pressures, we have allocated for the GIS project.

Pritesh Chheda: This is also within Mehru?

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Bharanidharan Pandyan: Yes, the instrument transfer product line, we have more or less consolidated as a high-voltage level at Mehru. In the medium portion, we still do at quality power a little bit.

Pritesh Chheda: Okay. And I did not understand your comment on the overall margin change. From your presentation, it is like we see last three years numbers that you have put. FY 2024 was 20%, FY 2025 is 30%. I think there was some consolidation of Mehru here in FY 2025. Now, when you look at the first half, it is 25% and when someone is asking you on the guidance, you are saying 20%. So, I think the volatility is substantial. What should we comprehend from these variations in margin from year-to-year and your guidance?

Bharanidharan Pandyan: So, the guidance is on the total consolidated balance sheet rather than a division level. At Quality Power and Endoks, we have guided to 25% margins. We did not change from that. At Mehru, we are increasing the margins as we speak. You can see some improvements every quarter. Apart from it, we have Sukrut coming in again at a very low margin. So, when we start consolidating balance sheet and consolidating numbers, it may look very up and down. The correct way to look at it is a PAT or a PBT.

Pritesh Chheda: Maybe you want to give the PBT then. And when I am referring to your number, I was actually referring to your consolidated number only.

Bharanidharan Pandyan: At our

individual companies, which we have owned for more than five years, say Quality Power, Endoks and all, we are higher than 25% in all the companies.

Pritesh Chheda: Okay.

Bharanidharan Pandyan: Yes. Our intention for us in Mehru is also to bring them to the similar margin levels in about three to four years time. So, each company over a period of three to four years in the consolidation cycle will go into a high margin business. But when we buy companies, we don't normally get very large margin businesses. That's one of the reasons why we are guiding the market to a slightly lower margin. That's all.

Pritesh Chheda: So, just trying to understand a little bit, I can understand a standalone number, which is basically the coil product business, which is about 30% margin? There is 25% margin in H1. So, this 25% and your 20% comment, if you could just tell from that angle?

Bharanidharan Pandyan: Sir, I do not think there is a problem with our standard businesses. Those businesses will continue to operate. What we are giving is a consolidated number of 20% and not individual standalone business of 20%.

Pritesh Chheda: Yes. But your H1 is 25%. So, I am just trying to understand what is that 25%, and nothing else?

Bharanidharan Pandyan: Yes. So, our intention is always to keep it slightly conservative.

Pritesh Chheda: Okay. Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Yashovardhan Banka from Tiger Assets. Please go ahead.

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Yashovardhan Banka: Sir, on the export front, from which side are we facing maximum tailwinds like from which country if you can just specify?

Bharanidharan Pandyan: If you look at the amount of tenders that we are bidding, it is in the US for some of our product lines. Europe is where we are getting the maximum amount of orders, Europe and Australia. Indian market is there. But as I said, in Indian markets, we have problems with regards to geopolitics.

As we cannot use a lot of Chinese material in the Indian markets because of regulations, which means that even though there are orders that is available, you do not have the supply chain to execute on time. So, we would see the growth markets to be Europe, Australia, Middle East, and Southeast Asia. Next would come India. And if all the tariffs and all the negativity around it goes up then the US would be the number one market.

Yashovardhan Banka: Understood. And secondly, what is that one risk that we are very aware and cautious about moving from here?

Bharanidharan Pandyan: Always it what keep us awake in the night is Chinese, because Chinese are not working on margins. They are working on global domination. So, when you as a profit-making enterprise are fighting Chinese at a global level, who are not focused on profit rather than volume, your biggest threat as a profit-making enterprise is those kind of guys.

One of the reasons why we expanded capacity, why we went backward integration is to be getting closer to the Chinese of being the cheapest producer across the world. And if we are able to achieve that at some point, including the technology, I think we are in safe hands. We are not worried about the domestic competition or the European or American. We always assume that we need to be the fittest against the Chinese.

Yashovardhan Banka: Understood. Okay. That's all, sir. Congratulations and all the best.

Moderator: Thank you, sir. Our next question comes from the line of Akshay Tiwari from Asit C Mehta

Investment. Please go ahead.

Akshay Tiwari: Hi, sir. Thank you for the opportunity. Sir, when I look at the consolidated balance sheet, in the trade receivable, there has been increase from INR 136 crores in FY25 to INR 207 crores. That's a substantial increase. So just wanted to understand why has there been such an increase in the trade receivables. Also just wanted some color on the n

oncurrent assets and current assets

because there has been increase on those front as well?

Sarika Jadhav: Sir, can you repeat your question.

Akshay Tiwari: Yes. So when I look at the consolidated balance sheet, trade receivables has gone up from INR 136 crores to INR 207 crores. So just wanted to understand?

Sarika Jadhav: Creditors?

Akshay Tiwari: No, trade receivables?

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Sarika Jadhav: Trade receivables?

Akshay Tiwari: Yes.

Sarika Jadhav: So sir, as sales has been increased, so trade receivables have been increased overall the subsidiary level.

Akshay Tiwari: Okay. Any particular business that has attributed to such an increase?

Rajesh Jayaraman: No, it is both Quality Power and our subsidiary and both subsidiaries. It is all put three together based on incremental sales and the receivables also has increased.

Akshay Tiwari: Okay. So in the long term, do we expect it to normalize? Or will it be at such a level?

Sarika Jadhav: Sir, in the future, we will remain at the same level for the net current assets.

Bharanidharan Pandyan : Akshay, the trade receivables are fluctuating based on what kind of customer we are handling in which subsidiary. So with private customers, it's normally cash and carry with some of the larger utilities or larger steel projects, what our colleagues in Endok taken, you have the 10% or 15% retention money till the end of commissioning. So that sometimes increases pipes volume. However, our discipline internally, including at Mehru that we have enforced right now is 60 days end of the month or 99% of the customers.

Moderator: All right. So I see there is a connectivity issue. We'll move over to the next participant. Our next participant comes from the line of Kushal K. Please go ahead.

Kushal K: Yes. Thank you. Thanks for the opportunity. Last quarter, we mentioned that there was some interest, which there was a minor correction in the limited review of the profit and loss account and 1Q profits controlling interest, which were reported to be INR 31 crores, but the correct figure was INR 19.37 crores. Can you please clarify on this point about last quarter because your updated numbers do not reflect the INR 19 crores number as well for Q2? I mean the Q2, the Q1 numbers are still in the 30s range?.

Sarika Jadhav: Sir, we will check and come back to you for this issue, sir.

Kushal K: Okay. Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Pritesh Chheda from Lucky. Please go ahead.

Pritesh Chheda: So, just from growth perspective, so we'll have capacities which will come this year and next year via Mehru for our growth. And when should the coil factory become operational?

Bharanidharan Pandyan: Sir, the public guidance at the moment is end of second quarter in 2026, June 2026.

Pritesh Chheda: Okay. So it will get operational and then you will have the buildup of orders. Or will you have a buildup of orders before that?

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Bharanidharan Pandyan: We would start at the beginning of second quarter. We would start taking the orders in because the table for time for getting the raw materials is about two to three months, which means that it would allow us the time to settle. So we presume that Q2 of next year is when we open the floodgates of orders for the capacity.

Pritesh Chheda: And we will see commercial revenue booking for that from Q2, as soon as you start the executing the cycle?

Bharanidharan Pandyan: The cycle time is about six to nine months, so I believe end of the year.

Pritesh Chheda: Okay. And will there be a situation where there can be some pre-committed orders or pre-committed customer for this factory?

Bharanidharan Pandyan: Currently no.

Pritesh Chheda: But is there a possibility?

Bharanidharan Pandyan: At the rele

vant time, once the factory is ready, then we can talk about capacity allocations to certain customers. At this moment, we would like to skew more towards demand and supply before we talk partnerships to critical customers.

Pritesh Chheda: Okay. And my last question is, until the coil factory comes up, and your lot of growth is linked to Mehru, so what kind of sale capacity, incremental capacity addition over and above this 300, you mentioned 45%, right? So basically another INR 150 crores, INR 200 crores of value of capacity gets added in Mehru. Is that correct?

Bharanidharan Pandyan: I agree, sir. Between INR 450 crores, INR 500 crores would be the max capacity at Mehru, once the capex and opex is done at this point.

Pritesh Chheda: Okay. And between your IPO and now, you have done one acquisition in a new product line called a transformer accessory, which I can see from your presentation. So that particular piece of business, what can it add to your revenue?

Bharanidharan Pandyan: So we would not be fully consolidating them because it's more of a JV with Yash High voltage, so it's about 50% of what they do. The current revenues of this year is anticipated to be about INR 28 crores at Sukrut, which is minor from that perspective of a larger balance sheet. But what did they bring together is about in excess of 1,000 customers in the transformer business. We have certain product lines inside which we are developing, including magnet wires and stuff like that. Once our internal demand is fulfilled in about two or three years' time, at that time, this customer base of transformer would help us push through these magnet wires also into the other categories. So what we have actually bought is the customers.

The numbers, what would even if it goes down to say 3x or 4x in the next three or four years, still at the parent level, this would be a smaller consolidation. But what is more important strategically for us is the access to customers, a new set of customers.

Pritesh Chheda: Okay. Got it, sir. Thank you, sir.

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Moderator: Thank you. Our next question comes from the line of Akshay Tiwari from Asit C Mehta Investment. Please go ahead.

Akshay Tiwari: Thank you again for the opportunity. So I just wanted to understand that in the longer run, in the Mehru business there will be GIS as well as instrument transformers. What shall be the mix of GIS and instrument transformers in the Mehru subsidiary, maybe by FY 2027 or maybe by FY 2028?

Bharanidharan Pandyan: Akshay, a very forward-looking question. We are excited about the birth of the GIS product line. However, it will be too early for us to tell you that it will be 50-50 or 30-40. A, the market acceptability of the product in such a quick period is something that we would wish for.

However, the mix of a product for us in a factory is derived by which product has the highest profitability. To give you a kind of a limelight, we can make a 220 kV power transformer in our current factory, the new one that is coming up.

The question is whether a transformer allows us a 25%-27% margin, or should I give it to what we say a product which takes a better margin. So whether GIS or AIS will have a larger capacity allocation in 2027-2028, I think will be purely driven by the market forces. A, that does not mean that we will not invest in strategy. I would still say that, yes, there will be a lot more focus on GIS. Got it.

Akshay Tiwari: Yes. Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Paras Kulkarni from Ignara Capital. Please go ahead.

Paras Kulkarni: Yes. Hi. Thanks for the follow-up opportunity. I just wanted to get a clarification on the capacity utilization. May I know the capacity utilization at a consolidated level as of 2Q? That is my first question?

Bharanidharan Pandyan: 100%, my dear friend. Every day we ar

e trying to find some corner in the factory where we can install machine, add people and facilities. So we have turned every location where we could find every factory. So any incremental capacity is not being left around.

Paras Kulkarni: Okay. And sir, when do we expect our current order backlog to be completed?

Bharanidharan Pandyan: As I guided earlier that our order book is normally not more than 12 months time is what your active interest is.

Paras Kulkarni: Okay. So by 2Q in FY 2027, we expect the current order backlog you know?

Bharanidharan Pandyan: If not 100%, at least 95%.

Paras Kulkarni: Okay. Understood. Thanks.

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Moderator: Thank you so much. Ladies and gentlemen, as there are no further questions from the participants, on behalf of Quality Power Electrical Equipments Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

10th February 2026

ISIN: INE0SII01026

Dear Sir/Madam,

Sub.: Submission of the Transcript of Q3 FY26 Earnings Conference Call held on 05th February 2026.

Pursuant to Regulation 30 and 46(2)(oa) read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Q3 FY26 Earnings Conference Call that was organized with the Analysts/Investors on Thursday, February 05, 2026 at 10.00 A.M. (IST) on Unaudited Standalone and Consolidated Financial Results of the Company for the third quarter ended December 31, 2025.

The aforementioned transcript of the 'Q3 FY26 Earnings Conference Call' is also uploaded on the Company's website, i.e. www.qualitypower.com.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours faithfully,
For Quality Power Electrical Equipments Limited

Deepak Ramchandra Suryavanshi
Company Secretary & Compliance Officer
ICSI Membership No.: A27641
Place: Sangli To,
National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai – 400051

NSE Symbol: QPOWER To,
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street,
Fort, Mumbai – 400001

BSE Scrip Code: 544367
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Q3 FY26 Earnings Conference Call"
February 05, 2026

MANAGEMENT : MR. BHARANIDHARAN PANDYAN – JOINT MANAGING
DIRECTOR – QUALITY POWER ELECTRICAL
EQUIPMENTS LIMITED
M R. RAJESH JAYARAMAN – CHIEF FINANCIAL

OFFICER – QUALITY POWER ELECTRICAL
EQUIPMENTS LIMITED
M R. SANJOG MHATRE – CHIEF EXECUTIVE OFFICER –
QUALITY POWER ELECTRICAL EQUIPMENTS LIMITED
M RS. SARIKA JADHAV – SENIOR VICE PRESIDENT
FINANCE – QUALITY POWER ELECTRICAL
EQUIPMENTS LIMITED

MODERATOR : MR. SIDDARTH BHAMRE – ASIT C. MEHTA
INVESTMENT INTERMEDIATE

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Moderator: Ladies and gentlemen, good day and welcome to the Quality Power Electrical Equipments Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddarth Bhamre, Head of Research, Asit C Mehta. Thank you and over to you sir.

Siddarth Bhamre: Thank you. Good morning everyone. On behalf of Asit C Mehta, a Pantomath Group company, I welcome you all to this con call where Quality Power management will apprise us on fantastic set of numbers Q3 FY26.

And for this today on call we have Mr. Bharanidharan Pandyan, Joint Managing Director who is joining this call from Chicago US, what a time to be in US, I would say. Also Mr. Rajesh Jayaraman, Chief Financial Officer, Mr. Sanjog Matre, Chief Business Officer who is now been elevated to Chief Executive Officer, our greetings for that to you Sanjog. And Mrs. Sarika Jadhav, Senior VP Finance. Over to you Bharani.

Bharanidharan Pandyan: Good morning ladies and gentlemen. Thank you for joining us this morning for our Q3 and 9M End Financial Year 2026 Earnings Call. The quarter gone by has been an important one for the company. We delivered a healthy operating performance broadly in line with the direction we had communicated to the market earlier.

Execution improved meaningfully across organizations driven by better advanced planning of critical materials, tighter project governance and disciplined cost management on the ground. Our teams remained sharply focused on delivering customer timelines and margin protection and I am pleased to note that this focus has helped us sustain profitability despite a dynamic and often unpredictable operating environment.

During the quarter we successfully executed multiple large value orders through our Turkish operation. As this also coincided with their financial year end the timing led to a noticeable uplift in quarterly revenues. As a promoter and long-term steward of the company it is critical for me that we walk the talk.

I am therefore particularly satisfied that the guidance provided both on the top line and the bottom line has been largely met for the year. The standout achievement has been Mehru's performance with an EBITDA margin of 16.4%, fully aligned with the commitments we had made to our stakeholders earlier this year.

On the strategic front we took an important step by completing the acquisition of 50% stake in Sukrut Electric Company Private Limited converting into a joint venture of the company along with Yash Highvoltage Limited. Sukrut operates in electrical component manufacturing and brings in highly complimentary capabilities to our ecosystem.

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When combined with our instrument transformer and our upcoming magnet wire capacities, Sukrut enhances our access to the transformer manufacturing value chain across geographies. Equally important to note that we have welcomed a dynamic leadership team at Sukrut and we are encouraged by the early signs.

Following the financial handover, the company turned operationally positive in its very first month under the new management, something that has not been achieved over the past 5years.

This gives us confidence in both the business model and the leadership driving it forward. On the capacity expansion side we are making steady and tangible progress.

The Sangli Global coil factory construction timeline has been advanced in line with our earlier

communication and we are now targeting completion by June

2026 ahead of our earlier

schedule. Operational commissioning of course remains subject to regulatory approvals including the critical environmental clearance certification which we continue to actively engage upon.

In parallel the board also has approved an additional investment for setting up a Global Engineering and Technology center at Sangli. This facility will serve as a group wide hub for design engineering and product development, an investment that reflects our belief that sustainable growth in our industry must be anchored in deep engineering capability.

Expansion at Mehru is also progressing well with equipment being commissioned in a phased manner. The Cochin expansion is fully complete and we are evaluating the establishment of a instrument transformer manufacturing facility in Turkey through our group entities aimed at serving the European markets with greater proximity and responsiveness.

With the induction of new leadership across the group it also afforded me something rare and valuable, time to step back and learn. Earlier last month I spent time at the FLAME University as a part of the Next Orbit program. Going back to the classroom was both humbling and energizing.

The program helped me look at the organization from a wider lens beyond numbers and quarterly outcomes to reflect on what it truly means to run a scale a public global and a institution driven enterprise. Interactions with diverse cohort and a strong faculty sharpened my thought process around capital allocation, governance frameworks, sustainability, leadership depth and investor communication.

These learnings have directly influenced how we are shaping the next budget not merely as a financial exercise, but as a strategic roadmap for long term value creation. I would like to sincerely thank our employees for their commitment, our customers for their trust and most importantly our long-term investors for their continued confidence in us.

I now invite our new Chief Executive Officer Mr. Sanjog Mhatre to share the business updates. Thank you, Jai Hind.

Sanjog Mhatre: Thank you Mr. Pandyan. Good morning to all and thank you for joining us today. The strong results this quarter are a direct outcome of the commitment and execution strength of our Quality Power Electrical Equipments Limited

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teams. Despite more than 25 holidays during this quarter, our operations performed exceptionally well which reflects the resilience and focus of our workforce.

We have continued to strengthen our manpower particularly in areas aligned with expansion and new growth initiatives. Headcount additions are ongoing with new employees joining regularly. This increased capacity enhances operational stability, reliability and supports a strong one team culture anchored in well-defined processes.

I am also happy to share that our Cochin expansion is now fully operational strengthening the ability to serve coil-based products for the domestic markets more efficiently. Looking ahead we have set higher targets for order intake for the coming years. Budgeting activities are underway both internally and in close coordination with our group companies.

Demand has been particularly robust from the Middle East, Europe, United States and Australia reflecting both the strength of our product portfolio and our growing global footprint. Despite delivering record high execution levels during this period our order book has expanded meaningfully. We are currently in advanced discussions for potential orders exceeding INR 300 crores which we expect to close before the end of the financial year.

From a market perspective we continue to navigate global challenges including volatility in metal prices and supply chain constraints. While copper prices have been soaring up our exposure remains limited and does not materially impact Quality Power at this stage.

Aluminium prices are expected to be a lit

tle impactful however we are progressively adjusting our prices to manage this anticipated increase.

As part of the upcoming promising journey our first GIS trial product is targeted for market readiness by June or July of 2026 making an important milestone in our portfolio expansion. Positive indicator is that the increase in customer audits at our facilities particularly for HVDC and STATCOM projects. The growing frequency of these audits reflects increasing confidence from global customers and ensures that our operations remain system driven, compliant and process oriented.

To summarize therefore we are entering the next phase with stronger teams, clearer processes, higher targets and a disciplined one team approach. Positioning Quality Power group quite well to manage current challenges and support sustainable growth going forward. Thank you

for your time and continued trust.

I now hand over the call to our CFO Mr. Rajesh Jayaraman who will walk you through the financial highlights for this period. Thank you.

Rajesh Jayaraman: Thank you Bharani. Thank you Sanjog. Good morning everyone. I will briefly summarize the financial performance for the quarter ended 31st December 2025 covering both our standalone and consolidated results based on total income. Overall the quarter reflects healthy growth in income and profitability driven by better execution, operating leverage and disciplined cost management.

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Starting with the standalone business, total income for the quarter stood at INR 592 million registering a quarter-on-quarter growth of about 9% and year-on-year growth of around 63%. The growth was primarily driven by higher execution and billing during the quarter while other income remained stable indicating that growth was largely operational. EBITDA increased to around INR 204 million reflecting a substantial growth over the previous quarter and a strong improvement almost doubled over last year. EBITDA margin improved to about 35% supported by better absorption of fixed cost and controlled operating expenses.

Profit before tax stood at INR 194 million growing by about 12% sequentially and almost doubling on an year-on-year basis. Profit after tax was INR 146 million reflecting a similar improvement supported by strong operating performance and a stable tax structure. Moving on to consolidated results, total income for the quarter stood at INR 2,843 million representing a quarter-on-quarter growth of about 30% and more than 250% increase compared to the same quarter last year aided by scale up in consolidated operations, robust order execution, improved capacity utilization and higher operating scale.

Consolidated EBITDA increased to around INR 793 million showing a strong sequential improvement with EBITDA margin improving to about 28%. This was supported by operating leverage and disciplined control over fixed costs. Profit before tax stood at INR 743 million growing by over 65% sequentially and profit after tax increased to INR 628 million reflecting a strong improvement driven by higher operating profitability.

Consolidation of financial Sukrut Electric Company Private Limited will happen from this quarter Q4 FY2026 onwards. Looking ahead we remain confident in the business outlook, supported by a healthy order pipeline and improved execution capabilities.

As revenues continue to scale we expect operating leverage to support margin stability with potential for gradual improvement. Our focus will remain on disciplined growth, cost efficiency and capital prudence to drive consistent value creation for the stakeholders. Thank you.

We will now be happy to take your questions.

Moderator: Thank you very much sir. The first question comes from the line of Shaleen Kumar with UBS. Please go ahead.

Shaleen Kumar: Congratulations to the management. Very, very strong performance and pretty good set of

numbers. So, you know, some of the basic question which I want to understand. Like we see margin is improving in Mehru, but just to understand one thing like in that category can we see the margin coming back coming to the level of the company or is that category is something where we should see something like a mid-teen kind of a margin or there is a scope for margin further improvement?

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Bharanidharan Pandyan: Good morning, Shaleen. We have margin for improvement in Mehru. I believe we should be in hope for a higher teen margin if the commodity prices remain stable. However, Mehru is also the place where we have new capacity coming in and we have some new geographies that we need to explore. So it's between margin and growth.

I believe we will take a chance as long as the overall guidance of 20% - 22% is being met. We may sacrifice some margin for larger growth because right now the focus is to make Mehru a global brand. That is what the Board is also putting across a new facility, the exploring a new facility in Turkey. So, overall I think if it's just margin we can push more margin, but we are also pushing growth. That's where it is.

Shaleen Kumar: Got it. Thank you. So, Bharani, then my next question is on your Sangli capacity. So you know we have a capacity coming I believe by starting from June 2026. So just want to

understand like what would be our next process like will the new facility require qualification from the customers or because we already have existing facility it doesn't need that? When will we start you know booking orders on that? So if you can just walk us through what would be your next step probably you know post from now till maybe next 6 to 9 months etcetera?

Bharanidharan Pandyan: So once we have an operational facility the customer audits would start on the HVDC. There would be at least about 40 - 50 different audits. Global customers depending on the projects we would schedule those guys coming in. Initially it would be Power Grid, Adani, Sterlites of the world in India along with EPC providers of HVDC like Hitachi, Siemens and GE.

So we believe that would be the first quarter focus including ISO and the NABL laboratories. With that I think on the order book front, I think at Quality Power, right now we are at about INR 280 plus crores or INR 290 plus crores in order book and we are expecting another INR 200 crores to INR 250 crores in the next 3 to 4 weeks.

So we are at about INR 500 crores which is about 3x what we closed last year in revenue. So going forward we would focus lot more on execution and from here till June of, we think we have another 4 - 5 months more to pick up more orders. I think orders at this moment is not the worry, it is how we are able to execute get the audits and the approvals faster from the authorities the bureaucracy that is basically.

Shaleen Kumar: Got it. Sure. This question is bound to come, so rather I ask. So Bharani, your guidance I was listening to last time, you were sticking to 20%. But given your performance has been so good, how should we think about for this this year, you know, margin now?

Bharanidharan Pandyan: I think as we committed last time we would improve upon the guidance. I think you can take about 22% as a floor and with an upward bias that we would try to achieve. We have some small changes in numbers that may happen because of Mehru copper and aluminium at Quality Power, but I think we shall, we are comfortable with an upward bias of over 22%.

Shaleen Kumar: Basically 22 plus, plus you say?

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Bharanidharan Pandyan: Correct. So assuming there is no more surprises on the copper and aluminium front from today.

Shaleen Kumar: Yes, fair enough. Like, given where the commodity prices are ri

ght now. Right. So yes. Got it.

No that's very, very healthy.

Bharanidharan Pandyan: So, from a company perspective to give you individual numbers, EBITDA margins at Quality Power the coil product factory is 34%. At Endoks level it's about 30% and at Mehru level it's about 16.4%. So that's how that number comes to 22%. So the larger hit larger margins are being delivered from the coil product factory at this moment.

Shaleen Kumar: Got it. No thank you, thank you so much. Best of luck. I'll join back the queue.

Moderator: Thank you. The next question comes from the line of Praveen Motwani with Bank of India Mutual Funds. Please go ahead.

Praveen Motwani: Yes. Hi, team. Thanks for this opportunity. Sir. firstly congrats on the great set of numbers across the parameters. Sir, just wanted to understand from you that with increasing adoption of, you know, grid scale battery energy storage system for renewable integration, does that any challenges the requirement of HVDC or FACTSET projects going forward? What's your view on this sir?

Bharanidharan Pandyan: I would like to rephrase this question again, Praveen. So when we put batteries, do we put it at the generation end or at the receiving end? If I may ask according to you. So we put the batteries closer to where we generate the solar power or the place where we distribute the solar power?

Praveen Motwani: Generation end.

Bharanidharan Pandyan: So then how are we going to transmit that power from generation to distribution?

Praveen Motwani: Okay. So according to you that is, yes understood.

Bharanidharan Pandyan: So, if I'm going to put all the batteries in Khavda, how does Bombay get power? And if I put all the batteries in Bombay how does the solar panels from Khavda reach Bombay? So having said it we have already done BESS projects. We are making our own EMS and converters in Turkey. We have about two or three projects old. We have our converters already on the field. BESS is a complimentary technology to HVDC FACTS and battery energy storage is at this moment a couple of hours maximum. What we say as a peak load sharing in the peak load times. When you have to really store energy for more than 8 or 10 hours we still don't have those kind of batteries.

And assuming bad weather for a couple of days there is no other option but to get conventional power sources. So interconnecting of transmission grids is a no brainer technologically. And if you look at some of the new projects that are coming up these are

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So even the Reliance new projects what they are talking is again excess of 30. I think it's close to 40 or 50 gigawatt. So AC transmission line typically is about a gigawatt in transmission whereas the HVDC in India we are talking 6 gigawatts. So the customer does not intend to putting 50 transmission lines at transmission voltages, they would rather do about five lines of HVDC. So I believe HVDC is there to stay.

I was here reading about the Power Grid earnings call last week I believe they have announced two more HVDCs coming up in the next year. But apart from the Indian HVDCs we have executed HVDCs in Korea, in Abu Dhabi, we are also executing something in Australia. So we see global opportunity as much larger than India even though in India we are the dominant and the only player at this moment.

Praveen Motwani: Got it. That was very helpful sir. And sir just to understand what portion of our order book is executable in the next 12 to 18 months?

Bharanidharan Pandyan: About 95%.

Praveen Motwani: 95%. Okay got it.

Bharanidharan Pandyan: 90% - 95% if everything goes okay because we would normally not like an order book of more than 12 to 15 months. I normally pick up orders only once a capacity comes online or we have a visible hold on the capacity otherwise we lose mon

ey on LDs or the metal prices give

us a very rude shock. So 12 months, 15 months I think has always been our traditionally a safe period for us.

Praveen Motwani: Got it. Thank you so much sir. That's it from my end.

Moderator: Thank you. The next question comes from the line of Aditya Trivedi with Nepean Capital,. Please go ahead.

Aditya Trivedi: Hi so is the new HVDC CTC magnet wire facility able to service demand for both VSC and LCC technologies given that different specifications of CTC are required for both?

Bharanidharan Pandyan: So for the coil products that is used for both VSC and LCC technology is the same with the same raw material. So I do not think that is a problem. This special HVDC wire is the first time that will be making in the country and I believe over a period of time we would also cascade or vertically move into the CTC cable facility for HVDC in the transformer manufacturing space. With Sukrut already giving us in excess of 200 to 300 global customers on transformer business globally we believe we will at some point also be able to sell it to competition.

Aditya Trivedi: Okay got it. And given the volatility in commodity prices how much of our existing order book of INR 895 crores is fixed price versus having price variation clauses?

Bharanidharan Pandyan: I don't have the numbers, but I think I can be reasonably sure that 98% is fixed prices. So it's very rarely because we do not have any government direct dealings unless it's Power Grid. So
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our numbers are already fixed at times when the gold prices or silver prices start shooting up, we also understand that copper and silver, copper and aluminium also start shooting up. So we start increasing prices 2% or 3% every week or sometimes every month. But when it suddenly increases by 30% in night it unexpected. That is when we get some shock, but then when we adjust the prices to a higher prices then the next quarter and the price goes down we make the money. So overall we are not worried about the margin expectation.

As I said some of the coil products where we are exposed on aluminium, we are doing 34% EBITDA margin we have scoped the aluminium price to the sales prices about 20% to 25% at this moment. So if anything it would be about 2%, 3% here and there. On Mehru the impact would be about 1% or 2% based on what the copper looks like at the current moment. So this is all at Endoks they are not worried, it's all power electronics copper doesn't hurt them.

Aditya Trivedi: Got it. And one last question from my end is on the OCF to EBITDA conversion that seems to got impacted this year. How do you see the cash conversion cycle going forward as you all ramp up on this new capacity?

Bharanidharan Pandyan: My apologies Aditya I don't understand the question I will have to route it to my CFO or VP Finance. Sarika or Mr. Rajesh can you please answer the question?

Rajesh Jayaraman: Can you please repeat the question we did not get it clearly.

Aditya Trivedi: Yes I'm saying the OCF to EBITDA ratio which was at 0.5 in FY25 has come down to 0.1 for H1 FY26 which means the your working capital has got stretched. So how do you see your net

working capital days going forward? Do you see that improving?

Sarika Jadhav: Sir our working capital limits we have optimum utilization during this quarter for the procurement of raw materials like conductors and insulators to support the business operations and requirements. That's why it's stretched during this quarter.

Bharanidharan Pandyan: Aditya what we have done is we have had a stock pile of all critical raw materials including insulators whichever was whichever we felt was very critical to the operational requirement.

So these are all in stock building on inventory. I think that is why you would see a slight enhancement. This is one of the reasons why we

didn't disappoint on the numbers because we stocked up. So once the demand supply in the inventory side or in the supply chain side improves I think we would reduce our inventory levels.

Aditya Trivedi: And what are your receivable days right now?

Bharanidharan Pandyan: Sarika you will have to answer that.

Sarika Jadhav: Sir our receivable days are normally 45 to 60 days.

Aditya Trivedi: Thank you. That's it from my end.

Sarika Jadhav: Thank you sir.

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Moderator: Thank you. The next question comes from the line of Kartik Kohli with Kotak Institutional Equities. Please go ahead.

Kartik Kohli: Hi sir. Thanks for taking my question. While obviously you have had a very good quarter I wanted to understand how these expansions that you're doing where what sort of top line do you see these contributing and what is the overall opportunity size in the market that you intend to capture with these?

And the more important part of all of this is more linked to your magnetic wire capacity because it's entirely for your own value chain. I wanted to understand from what all other areas of backward integration that you may be looking to secure your supply chains? That's my first question?

Bharanidharan Pandyan: So the backward integration is something that we are not very excited about. We are only doing it to ensure that such a large facility is able to run on it in critical times on for especially HVDC projects. So I do not foresee any further backward integration unless there is a huge shortage going forward.

With regards to the revenue potential I believe I do not have any published numbers, but my nearest competitor is a company called Trench Electric. This was earlier owned by Siemens currently owned by a clutch of private equity investors. On their last post in December their order backlog was about 1.5 billion dollars or euros.

So I think there is a lot of scope for growth what we say in that sphere between the coil and instrument transformer products. So instead of focusing on what is the kind of opportunities or the market that would be in I think we are more focused in getting the factory to about 70%, 75% capacity utilization over the next two or three years. I think that would generate enough cash and beat the estimates. The market is there the HVDC FACTS and other products side.

Kartik Kohli: Got it, sir. That's very helpful. My second question is more linked to your GIS product line.

Your partnership with the Korean company I wanted to understand firstly what sort of co-development benefit that you get here? Does it help you with qualification with customers does it get you market access far more quickly than any other player?

And more specifically is there a limitation to such an arrangement like does it limit you to certain geographies or you know certain set of customers is there any sort of limitation on that? Yes that will be my second question.

Bharanidharan Pandyan: So with when you develop high end technology especially at the transmission voltage say at about 400 KV 765 KV there is always a market resistance. The resistance come from end customers say in this case Power Grid or likes of Power Grid. Then would come the system integrators themselves. So in India there are four major system integrators Hyosung, GE these are the largest then Hitachi and Siemens. These guys get about 95 to 97% of the current market share and Hyosung being the market leader in high voltage.

So when we started developing this product line we were the first people in India but we had to also there was also support from the central government. The CEA has been very positive

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on this approach because this was very critical to the national security because all this stuff is coming from China or

Europe at this moment and this was critical to most of the substation going forward.

So the government had a positive view on it Power Grid had a positive view on it but we still had to have some partner who would put it at a 765 KV or 400 KV to begin with. Hyosung is a very large company it's has I think this year the revenue is in excess of \$17 billion. I think in the size of Hitachi. And they also have a globally large facilities for GIS across the world. So working with Hyosung also not only allows us the Indian market going forward but also the Korean and the American markets where we see a lot of traction and including Middle East. So it has a natural buy in. So whatever we sell to Hyosung, we do not have to pay any royalty but whatever we sell to the other customers we have a very small royalty which goes away in about five years' time.

So that is where it is. I think this a cost of development and when we are working with the green gas technology green gas testing protocols there is a lot of knowledge share that is happening with Hyosung hand holding and I believe it will be a successful partnership for some more products. We are also starting work on transient surge capacitors for GIS. We are also working with them to see if Sukrut can develop more components into the GIS ecosystem.

As GIS goes in I believe we have the first mover advantage on the products into it and we have also been approached by the other players in the market to be able to see whether we can also start deliver to them. So we are working with all the large players now in the ecosystem. Kartik Kohli: So just to quickly follow up. So you said there is a positive, like, view of you know government agencies PGCIL system integrators. So like are you seeing a positive push in terms of like they're actually come like asking for more such partnerships in place for other product and specifically from non with non-Chinese players which more specifically would you know end up being more Korean players at this point?

Bharanidharan Pandyan: There is a lot more opportunities in the power system but we are limiting ourselves to critical high technology items. So we do not intend to participate there but as we speak I am in the US and I believe we will have some more partnerships coming from this part of the world. So the non-Chinese critical technology items is a requirement across the world right now including Middle East, US, even parts of Europe now with all governments being protectionist to their own national security.

They require access to technology locally. So that is something that we are working upon and because given the access of technologies if you see we have put across our technologies that we own we become a credible player in technology transfer along with local partners or co-joint manufacturing. So we are exploring opportunities in that side.

Kartik Kohli: Got it sir. Thank you. I'll fall back in the queue.

Moderator: The next question comes from the line of Nemish Sundar with Elara Capital. Please go ahead.

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Nemish Sunder: Yes, hi thank you for the opportunity sir. Congratulations on a very strong set of numbers for the quarter. Sir my first question is I just wanted to understand on the recent EU and US trade deals that we have signed particularly for Mehru?

So could we see any additional new opportunities that we could gain from this? And also the Chinese relaxation that was provided the news of that recently, so for Mehru could we see any impact because what we heard is that would also be covering transformers. So could we see any new Chinese entrants coming and affecting the pricing?

Bharanidharan Pandyan: I will answer the first question with regards to the tariffs. I think we never had a problem with the tariffs because there was no competition in US, so everything had to be imported and most

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f us were sitting at similar tariff levels. What I have seen in the last two days I am in the US talking to customers it's not about the tariffs it's about the sentiment, like they prefer somebody with a lower tariff or lower cost than somebody with a higher tariff.

So I think the sentiments are positive towards India at this moment. So with regards to the next question on China I think it's a mere speculation. With regards to instrument transformers to Indian utilities I think the discussion you are referring to is power transformers not instrument transformers. Instrument transformers every customer every utility has a different certification tests, different specifications.

Even when the Chinese were there in full force before 2020 there was not a single tender which they participated. So I don't think the worry is at the Mehru end for the Chinese. On the HVDC side including pre 2020 the Chinese were not allowed primarily because the spare part requirement is about 40 years. If and when Chinese would be allowed they would be allowed in small categories in the AC transmission segment where we do not have much to contribute anyways at the transmission voltage level.

With regards to again the component business like Sukrut again we are not worried. Endoks

already faces Chinese competition in that part of the world and most of the global markets that we operate in we already face Chinese. So it is not something new to us it is not something that worries us. However the recent news I would only classify as speculation and nothing more.

Nimish Sunder: Okay fine. Very clear sir. And secondly on the you mentioned in the speech that some supply chain constraints were being faced so would you highlight if there is anything significant as of now in any particular area that we're facing or it's largely something that we it's in normal course of business and we can go through it?

Bharanidharan Pandyan: The insulators are still a cause of concern if you look at something like modern insulators you see their stock touching upper circuit every day. It just indicates that how big is the shortage in this part of the world. The Chinese insulators are again are not available for some of the critical projects in India. So again for the Indian projects and some projects in the US and Europe you are stuck to Indian vendors.

We do import some insulators now from China paying a larger price than what a Indian counterparts do. That is something that is very visible. Apart from it there is ongoing shortage

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of different commodities. So you work on one, the second one go would go in for a shortage.

This is because of the kind of peak cycle in manufacturing we are seeing across the sector.

This is something that I cannot predict right now that tomorrow we will have it. We stockpile it for a couple of months, but not more than a couple of months.

Nimish Sunder: Okay fine sir. And just one last bookkeeping question so could you provide the revenue split between Quality Power, Endoks and Mehru for the quarter?

Bharanidharan Pandyan: Quality Power Electrical Equipments and Projects the Indian companies put together is about 63 or 60 plus about INR 4.52 crores. Mehru is about INR 83 crores and Endoks is INR 149 crores give and take.

Nimish Sunder: Okay. Thank you so much sir and all the very best.

Bharanidharan Pandyan: Thank you.

Moderator: The next question comes from the line of Eshit Sheth with Anvil. Please go ahead.

Eshit Sheth: Hi, thank you for taking my question and congrats on very good set of numbers. Sir my question was with regards to the demand outlook. With what we've heard in the budget uh especially for data centers the tax incentives that government is providing. Does this give a meaningful push for HVDC in the medium term for us?

And the second question I had was when we look at uh what we've

highlighted in the

presentation with regards to capacity expansion uh possibly a greenfield facility for Mehru at Turkey. What is the rationale of doing it outside of India and not in India especially with the key management of Mehru based out of uh New Delhi? So if you could explain uh both these points?

Bharanidharan Pandyan: With regards to your first question on data center, I think anything if you are doing on data centers, the only cost of running a data center apart from people is energy. Some of the data centers in India that we are talking about hyperscale is already 1 gigawatt that is what Google said. We are also looking at some projects like Fermi in US where they're talking about 11 gigawatt in Texas.

And with tax breaks in India with cheaper renewable power, I believe we should also be in that scale in the next four-five years in India. So, when you talk about 10 or 11 gigawatt, this is like a city of Pune that needs to be fed to a data center 24/7. There is going to be lot of high power equipments that's being built, not just HVDC. It can be instrument transformers, wave traps, transformers. It's just a power ecosystem.

So, whether or not HVDC, I don't know, but whether there'll be a lot of AC transmission equipments, 100% yes. And but do I see anything happening in the next two years? I don't think so, because there has to be still some commitments like even the money is still not seen on the ground yet. But in the US, we see a lot of hyperscale data centers coming up. We are working on some few opportunities.

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We just executed a Microsoft hyperscale data center in Finland. So, in Europe we are working, in US we are hunting for opportunities. In India, as and when it comes in, we will get into it, that is the first point. The second point is on Mehru. So, for Mehru expansion, they had about 45% coming in, of which something is already reflected.

We had to start expanding for land and near the factory in Delhi, the land is not coming less than INR 25 - INR 30 crores an acre and at about 10 acres that we require, we require at least INR 300 crores only for the land, plus the building and the people. I don't think it's economic viable for that kind of a business. The only other option was to shift it 150 kilometers away from where they are, which means the management anyways would not be there 24/7. We had about 40 acres of land in Turkey and we had lot of cash sitting in our subsidiaries there, highly profitable subsidiary. And Turkey is also overnight to Germany, France on the road. We also have a support and service team there and which also enables a easier FAT, that what we call as factory acceptance test for European customers. So, we are exploring. The board has requested a market survey along with the details.

We will be in Turkey with a delegation going around talking to the customers. Even the Turkish local market seems significant; the prices are almost 30-35% higher than the Indian market. So, we are consolidating operations there and it would be cheaper for us to put a new capacity there because the cost of land and lot of money is already available, that's all. Instead of putting that kind of money in India.

Eshit Sheth: Yes. And what kind of greenfield facility, when we talk about setting up, a greenfield facility, what kind of capacity we're looking at for Mehru?

Bharanidharan Pandyan: The initial outlay for the test lab and other allied equipment including manufacturing is about 3-\$3.5 million, plus the building. So, we're working, I think the building would cost us about \$2-\$3 million. So, \$6 million is what we have an outlay. Since Mehru does not have all the cash on its book, so we also have cash on Endoks book and the land is there. We are using those opportunities. At I think about \$6 million, I think in about two to three years' time, I believe it should

be a \$25 to \$35 million facility with similar margins of between 15% and 20%.

Eshit Sheth: Understood. Okay. Thank you so much.

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. The next question comes from the line of Naman Parmar with Niveshaay Investments. Please go ahead.

Naman Parmar: Yes, good morning, sir. Thank you so much for the opportunity. Firstly, continuing with the other participant question that increasing the capacity in the Turkey. So, with the trade deal with the Europe and various US and other countries, don't you think the manufacturing facility increasing in the India will be very viable for us?

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Because manufacturing India is always very less costly as compared to the other part, even though you have rightly pointed about the cost of the land is very high in the Mehru. So any outlook on that?

Bharanidharan Pandyan: So, I will answer the question. So, if you look at high-voltage electrical equipment manufacturing, say a power transformer which you are very well aware, Hitachi operates in excess of 11 factories across the world, and the biggest factory for them for HVDC facts is Brazil, not in India or China. Same way GE operates multiple facilities.

So, the customer here is not really worried about prices. It's not the lowest cost of manufacturing which decides a buy decision. It is also access to the factory, the FAT. So, most European customers need a visa to enter India, whereas it's a domestic flight for them to fly inside EU. It's on road, their service teams can enter facilities within 3-4 hours from a direct flight from Istanbul in most parts of Western Europe.

And the deliveries are about six weeks, eight weeks inside the factory and another two-three days on road to most parts of Europe. India still is a mother facility. India would still have a lot of market for, say, something like the US, Australia and more larger markets. But I think European is also far more inward-looking market toward Indian companies. A European base would not hurt, A.

B, we also don't have the land in Mehru. So, if I have to invest in a land 150 kilometers away and then ship it to Europe, I think this is much cheaper, easier and the capital allocation is better because I have money sitting in one book, I have technology sitting in the other book and the customer is very close to where I am.

Naman Parmar: Understood. Secondly, on the capacity and revenue potential side. So existing capacity could handle around INR 1,500 crores of revenue, right? With the all new capacity that you are expected to come in the Quality Power, Mehru, Endoks, Sukrut and all, how much revenue potential could be for you?

Bharanidharan Pandyan: I would take a stepwise, my dear friend, instead of going and throwing some large numbers, I would go sequentially. A healthy growth every year is what I would want the company. I believe we will be taking an S-shaped curve, grow exponentially one year, stabilize the next,

again grow.

That would also help us build the teams internally, build the structures because not every year you can recruit 400-500 people and then, take another 500-800 people next year. So, we also need to internally stabilize for the next step of growth. So, that's what that's going to be the ecosystem. While all this is happening, we are also generating a lot of cash.

I think our net current assets is in close to INR 390-plus crores, and what we say, we would we would also attempt some acquisition in the near future if we find something attractive in our space. I think largely it's both organic and inorganic, that's where our growth potential is.

Naman Parmar: Okay. And lastly, on the other income side. So, if we see on the current quarter, your other income has fell significantly. So, how much cash you currently hold in the Turkey plant? Like, Quality Power Electric

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there was a very big translation gain used to happen in the earlier quarter, right? Due to hyperinflation in the Turkey. So, currently, what is the scenario for the Endoks and the other income?

Bharanidharan Pandyan: So, the Turkish, Lira has been more or less stable for the last three to four months, which is translating to zero forex gain or loss in in your hedge calls. So, it is going into operating income. So, the other income is slowly translating into operating income. More or less the EBITDA remains the same in percentages if you compare in the last three balance quarters.

Naman Parmar: Okay. Understood, yes. And lastly, if you can give a order book breakup for the all the three, Quality, Endoks, Mehru and Sukrut?

Bharanidharan Pandyan: Quality Power Electrical Equipments is about between INR 290 to INR 300 crores. Sukrut is about INR 4 to INR 5 crores with Mehru, I think is excess of INR 400 crores. Endoks, because they build a very high quarters, is about INR 150-INR 160 crores.

Of the new order intake that is likely to come in, about INR 200-plus crores for Quality Power, about INR 70-INR 80-INR 90 crores, for Endox and another about INR100-plus crores of Mehru. That's what we are seeing immediately in the next 45 days that we should be able to sign.

Naman Parmar: Okay, understood. And for Mehru, the margin that you have expanded in the current quarter of around 16%, so you expect that the margin could increase more from here also or it could be a sustainable for the Mehru?

Bharanidharan Pandyan: I think we would like to chase growth right now, because Mehru is a growth engine for us globally. So, we are comfortable with the guidance what we gave. We are comfortable with the margins what we have. So, even with low Mehru being lower, our overall margins are still under control. We would focus growth from Mehru at this moment, rather than margin expansion.

Naman Parmar: Okay, yes. Understood, yes. Thank you so much for answering.

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. The next question comes from the line of Shrenik Mehta with Indo Alps Wealth. Please go ahead.

Shrenik Mehta: Hi. Good morning. Just wanted to check a little bit of an idea about all the expansion that you're doing. So, if you just take the current expansion and if you just take, say, 75% capacity utilization, what could be the revenue that we could generate just based on current expansions?

Bharanidharan Pandyan: I believe it would be safe to say about close to INR 1,500 crores.

Shrenik Mehta: Okay. And my second question was more about these trade deals that have been signed, so there is also an inclusion of supply to Turkey that comes with the European deal. How do you see this impact, maybe from 2027 onwards?

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Bharanidharan Pandyan: So, the customer for our products have elastic budget. So, it's basically bought on brand and technology rather than what the prices are. So, as long as your factory is compliant, the technology is good, you have capacities, I think the tariffs really didn't matter. I don't think tariffs either impact us positively or negatively. So, I don't have any good news on that front. However, what I've seen in the last couple of days, it has a feel-good effect on the customer. He feels he saves something small. That small is big for them. So, I believe that's only a feel-good sentiment rather than really impacting the business sentiment. These are not commodities; these are high-end technical stuff.

So where the customer knows what he is buying, the price is not something that is going to

hinder what he decides what to buy. Just to give you an idea, say an F-35, Sukhoi, or a Rafale. I don't think it is on what is the price of F-35 or Sukhoi. The customer has made his decision what he wanted to buy and then bas

ed on what he had to buy, he negotiates with the vendor, that's how it goes in the sector.

Shrenik Mehta: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Shashank Jha with SB Capital. Please go ahead.

Shashank Jha: So, my question is regarding top line. Like, with the current capacity and the capacity coming, you can add up to INR 2,500 crores of revenue, as per your guidance shared in last concall. So, any plan on having new capex and what is the timeline you can give to achieve that revenue?

Bharanidharan Pandyan: So Shashank, we did not guide anything to INR 2,500 crores. We just said that this factory can go up to INR 1,500 crores. Our focus is to first deliver on this factory, focus on Mehru expansion, and focus on getting more throughput out of Endoks, increasing at least three times from Sukrut. I think we have a lot in our table for the next 12 to 24 months.

I believe that is going to keep us busy. We have land bank, we have cash. I think as and when there is a requirement of a capex, I don't think there is a problem. If the board approves and we feel it required as promoters, we would put in. I think next 24 months, I don't think we are we are even looking at that side.

Shashank Jha: So this 100% growth will be sustainable using the capacity we are having currently and going to have in some time? Because I don't see, like, I see it sustainable for at last two, three quarters.

Bharanidharan Pandyan: So I guided earlier that we would be having an S-shaped curve. So the next year once this year once we get the new factory coming in, we will have audits going in. And once the audits and the teams are fixed, I think you will see some hyper growth again after about 12 months' time.

Mehru, again they are incremental capacity, once the Turkey, if the board approves the Turkish facility, again it will be about 7, 8, 10 months of capex and then they would again start spiking. So, I think these would be coming as bullet quarters and again as I said, it's both Quality Power Electrical Equipments Limited

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inorganic and organic. While we target organic, we may also surprise markets with inorganic stuff.

Shashank Jha: Okay great. Sir, two more numbers I need from you. One is the sustainable EBITDA margin what can be? And second is tax rate. Like, your tax rate is varying a lot quarter-on- quarter. So can you give me some number what will be the tax around FY'28? I assume it will be something around 25%, but I just want to get some confirmation from you. And second is some numbers on EBITDA margin, which can be sustainable?

Bharanidharan Pandyan: We have already guided that 20% is your floor rate for the EBITDA margin for all your calculation and analysis. I think we would we would have a positive bias on 20%, that is point one. And the second the second question was you asked me was on tax rate. So, in India, the tax rate for both Mehru and Quality Power is about 25%.

At Sukrut, they have about INR 25 crores of losses that we will be able to recoup going forward from the old management. With regards to Endoks, we have a lot of R&D benefits in that country. So, it's effectively zero tax rate as and when we do the projects. So, we have paid close to zero tax rates over the past 15-16 years that we have owned them.

I believe that will continue till they change the policies in that country. That's one of the reasons why the effective tax rate looks lower, but it is because Endoks pays anywhere between 0 and 4% taxes.

Shashank Jha: So, sir, for my calculation, what can I assume? 20%? 22%? What should you give?

Bharanidharan Pandyan: About tax rate? Tax rate should be you can take it about 20%, assuming that even if we don't do any R&D in Turkey and there's only small R&D, you still would get it. But if you look at our DRHP as of last year, I think the numbers was between 5 and 6% of our revenue

es what we

were doing as a R&D budget. Again these are they are doing battery energy storage, STATCOMs, SVCs, high end of the stuff. So, that money needs to be continuously deployed to get an advantage on the technology side.

Shashank Jha: Okay. Great, sir. Got it. Thank you. All the best.

Bharanidharan Pandyan: Thank you, Shashank.

Moderator: Thank you. The next question comes from the line of Yash Dantewadia with Dante Equity Capital. Please go ahead.

Yash Dantewadia: Yes. Actually, I just missed one number. I had a choppy line. Could you just reiterate the order

flow for the next six to nine months?

Bharanidharan Pandyan: I don't know about six to nine months. Right now, we have about INR 890-plus crores of an order book and about INR 300-plus crores that we would likely to sign in the next few weeks that is stuff that we know. Otherwise, the pipeline is very healthy. As and when we get it, we will declare to the markets. So, right now we are covering more than one year of order book.
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Yash Dantewadia: Perfect. Just wanted to understand. This quarter, I think is the first time you've achieved a INR 300 crores run rate almost, the top line. From what I was able to understand and when I went through your guidance's before, you've been pretty conservative in giving guidance's and you've overachieved generally. So, going forward, do you think the current run rate is manageable, assuming you have, let's say, a three to four quarter of order book already in? That's my first question.

Second, your order execution and deliveries obviously sometimes are a little choppy and lumpy in nature because you might build in, have one quarter of very high deliveries. So, was this quarter one of those quarters or is this quarter a lumpy or not lumpy or sustainable or not sustainable? I hope you got the question.

Bharanidharan Pandyan: So, on the first question, I had already replied to Shashank that we plan to get an S-shaped curve, grow one year, then have a healthy growth the next year and then again start spiking in the next two-three years when the super cycle of the business is going around, that is point one.

With regards to lumpy quarters, yes, we will have lumpy quarters because if we're doing a lot of American business or Turkish business, December happens to be lumpy. If you're doing a European business, September happens to be a lumpy.

But more or less the guidance was between INR 700 and INR 800 crores. I think when you look at the guidance and what the numbers we delivered, I think more or less these were factored in. So, there is nothing new apart from the guidance that we had already given.

Yash Dantewadia: Right. But just trying to get this right.

Bharanidharan Pandyan: It's we're a very newly listed company. We cannot overcommit under deliver. So, I think going forward, we would like the way Voltamp, our peer, the transformer guys communicated. We listen to the calls, we do our own peer review. We would like to excite the market every time rather than disappoint.

Yash Dantewadia: No, that's perfect. Also, when we take orders in, let's say the INR 900 crores order book, do we use anything to hedge the commodity sort of input or do we place our orders immediately? How does that work?

Bharanidharan Pandyan: Unfortunately, both of us is not possible for us, because we really don't know when the customer is going to lift or when the project is online. But then we know what the deliveries are. The prices of the copper or aluminum is normally factored in as a part of that process. Sometimes you miss it, like in a super cycle like last week where the copper prices went haywire.

That quarter we may have an impact, but the same quarter we're also booking orders at that price. And the next quarter, the price is not sustainable, it goes down, so you book the profit the next quarter. So, unf

ortunately, we cannot if we get a clearance, we need to go ahead with the copper because we have to buy every day the metals.

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You cannot have your factory running empty because the copper price is higher. So, that's a part and parcel of the deal, but our margins allow us to take care of it. And we we've been there in the business for more than two and a half decades. I think we know how to manage these cycles. But yes, the super cycle of 30% in one week or something, it sometimes hurts immediately, but over a period of a year, it flats out.

Yash Dantewadia: But how many months of inventory do we generally maintain? You said we buy every day. Could you just help me understand at any given point of time, how many months are covered and factored in?

Bharanidharan Pandyan: So, we normally don't buy the what we say material in stock. It is mostly just-in-time based on order-based performance. But something like insulators, some long-lead cables, where we see suddenly a huge spike in deliveries, we are right now storing it, like stocking it from global sources, Indian sources, whatever capacity we have, because that that determines our sales in the next two quarters.

So, that's one of the reasons why we are stocking and the stock is related to only the most problematic items and not the ones which are not required. So, these are temporary measures that is taken to based on market situation. Otherwise, in a normal market, I don't think we have an inventory of more than 2 to 3% of our revenue.

Moderator: Thank you, sir. Mr. Yash, I would request you to please come back in the queue for further questions. The next question comes from the line of Prafful Agarwal with IIFL Capital Finance. Please go ahead.

Prafful Agarwal: Good morning, all. My question is what is the current capacity utilization and by when do you expect the recent capex to start meaningfully contributing to revenue and ROCE?

Bharanidharan Pandyan: So, our capacities are already stretched more than 100% at the current moment at all the businesses, Mehru, Quality Power, at the manufacturing stage. Sukrut has a lot to offer, Endoks we can take more. With regards to the capacity of Mehru, I think you would see some incremental numbers coming in from second quarter next year.

For us to start seeing some significance of the capex, we need to complete lot of audits. We need to also have the HVDC plant or the cable factory online. You would see some numbers trickling in from the third and fourth quarter of next year, you will see the uptick coming in. You would obviously see the order book shooting up every quarter, which would eventually be translated into numbers in the next few quarters.

As I said, with the current order book, we are already at about close to 300 booked, another 200-250 coming in in the next few weeks. This is about against INR 167 crores of last March, so we're already 3x and we could take more, provided we have capacity to deliver.

Prafful Agarwal: Okay, thanks.

Moderator: Ladies and gentlemen, this will be our last question. It's from the line of Dev Gulwani with Care PMS. Please go ahead.

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Dev Gulwani: Hi, thank you for the opportunity. So if I look at Endoks quarter and quarter growth, it is approximately 100%. And in last month call you mentioned new capacity expansion and commission in December 2025. So new capacity won't have contributed much, plus existing facility was also at 100% utilization. So what is the reason behind such high growth in Endoks?

Bharanidharan Pandyan: Endoks, you are confusing with what we are doing in. these are all different product lines. We are not one product, one location company. Each factory each location has a different product line and a different vertical. The capacity shortage has been

in our manufacturing vertical in

India, and Turkey where we are doing the power electronics portion we never had a problem with capacity. We had other issues on semiconductors earlier.

Now it is again high voltage components. December is the year end for them and this is where lots of large projects execute, like March for most of us. I think that is the story. And this is not something new. We had already factored in the growth. And that's why the guidance came it. So when we did about INR 360 and INR 370 cores last year. And we had guided to 800 plus cores based on the number that we had 12 months before. This is not unplanned.

Dev Gulwani: And last question, what will be the peak revenue from Mehru and Endoks after capacity expansion?

Bharanidharan Pandyan: Depends on copper prices my dear friend. If the copper keeps going high I don't need to do anything the prices increase 30% so. So, it's difficult to answer such questions but I would say that 45% of, I think about INR 450-INR 500 crores Mehru can when can go in at this current moment at the current capex. Going forward with what we look in Turkey and other parts of the world I think we will come over the next call.

Dev Gulwani: Okay. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. With that, we conclude today's conference call. On behalf of Asit C. Mehta, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

20th May 2026

ISIN: INE0SII01026

Dear Sir/Madam,

Sub.: Submission of the Transcript of Q4 FY26 Earnings Conference Call held on 14th May 2026.

Pursuant to Regulation 30 and 46(2)(oa) read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Q4 FY26 Earnings Conference Call that was organized with the Analysts/Investors on Thursday, May 14, 2026 at 12.00 P.M. (IST) on Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended March 31, 2026.

The aforementioned transcript of the 'Q4 FY26 Earnings Conference Call' is also uploaded on the Company's website i.e. www.qualitypower.com.

We request you to take the above on record and treat the same as compliance under the applicable provisions of the SEBI Listing Regulations.

Thanking you,

Yours faithfully,
For Quality Power Electrical Equipments Limited

Deepak Ramchandra Suryavanshi
Company Secretary & Compliance Officer
ICSI Membership No.: A27641
Place: Sangli To,
National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai – 400051

NSE Symbol: QPOWER To,
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street,
Fort, Mumbai – 400001

BSE Scrip Code: 544367
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Q4 FY26 Earnings Conference Call"
May 14, 2026

MANAGEMENT : MR. BHARANIDHARAN PANDYAN – JOINT MANAGING DIRECTOR

MR. SANJOG MHATRE – CHIEF EXECUTIVE OFFICER

MR. RAJESH JAYARAMAN – CHIEF FINANCIAL OFFICER

MRS. SARIKA JADHAV – SENIOR VICE PRESIDENT , FINANCE

MODERATOR : MR. SIDDARTH BHAMRE – ASIT C. MEHTA INVESTMENT INTERMEDIATES

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Moderator: Ladies and gentlemen, good day and welcome to the Quality Power Electrical Equipments Limited Q4 FY26 Earnings Conference Call hosted by Asit C. Mehta Investment Intermediates.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr Siddarth Bhamre from Asit C. Mehta Investment Intermediates. Thank you and over to you, sir.

Siddarth Bhamre: Thank you. Good afternoon, everyone. I once again thank all of you to join this conference call of Quality Power Electrical Equipments and we are discussing Q4 FY26 and FY26 numbers.

We, Asit C. Mehta Investment Intermediates Limited, we are a Pantomath Group of company and we would like to congratulate the entire team of Quality Power in achieving 1,000 plus crores of total income in FY26.

Also, we would request management to emphasize on this rise in other expenses due to accounting entry as per AS 29, which factored in impact of hyperinflation on the balance sheet of its Turkish subsidiary. So today on call, we have with us Mr. Bharanidharan Pandyan, who is Joint Managing Director, Mr. Sanjog Mhatre, CEO, Mr. Rajesh Jayaraman, CFO and Mrs. Sarika Jadhav, Senior Vice President, Finance. Over to you, Bharanidharan.

Bharanidharan Pandyan: Siddarth. Good afternoon, everybody and thank you for joining our earnings call. On behalf of the management team, I would like to thank our shareholders, customers, employees and partners for their continued trust and support. On a personal note today, on the 12th of May we lost Dr. Radhakrishnan Pillai my Professor of Strategy at SPJIMR. He taught us that competition is a science through both Arthashastra and Art of War. Two ideas from his classroom have stayed with me and they have shaped how we have built Quality Power as a small technology company competing against far larger global names.

From the Arthashastra, Chanakya's council that a smaller state does not engage the larger one where it is the strongest. It builds its capability patiently, chooses its ground and competes only when its preparation gives it an edge. From Sun Tzu, the principle that a better general wins the battle before it is fought by choosing the terrain and the timing, rather than fighting harder on somebody else's ground.

Much of what we have done at Quality Power have been guided by these two ideas. My gratitude to him and my condolences to his family. On the opportunity ahead, the global energy transition, HVDC, FACTS investments, renewable integration, grid modernization and power quality requirements continue to create long-term opportunities for our sector.

We see healthy engagement across utilities, renewables, industry applications and data center infrastructure across multiple operating markets. To begin the call, I would like to have a few housekeeping remarks. First, on the enabling resolution for fundraising placed before shareholders. This is a long-term growth capital enabler available to the company as and when required.

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It could support future expansion opportunities, including North America related growth initiatives or acquisitions, subject to a business plan and market comfort at an appropriate time.

The funds will be called as and when required and not necessarily immediately.

Second, on the alignment. In light of the proposed fundraising, the promoters in the management have collectively decided to forgo any incremental salary for the second consecutive year and

to forgo our share of dividend again this year. The intent is to preserve cash, strengthen the balance sheet and keep any future dilution as minimal as possible.

I would request that this not be read as a permanent posture or a forward-looking commitment beyond this context. It is a decision tied to the present fundraise. Third, a word on how we communicate on these calls. Our responsibility is not only to talk about the achievements, but equally to be open about risks, execution challenges and areas of caution that are often under-discussed in the normal course of business.

And finally on Siddarth question INR 25.7 crores hyperinflationary adjustment in Turkish subsidiary under IndAS 29. This, in all honesty, is the Duckworth-Lewis of our financial year.

We executed the plan, we hit the numbers we said we would hit, the cash came in, the orders shipped, the bank account looked exactly as we had planned and then a formula in the audit room kindly explained that on paper the scoreboard read INR 25.7 crores lighter.

The good news is that this is a non-cash adjustment. The operating performance of the business and the cash it has generated are unaffected. As engineers, we would have scored the match differently. As a listed company, we report what the standard requires us to report and we have disclosed it accordingly.

On our results briefly, we have crossed for the first time INR 1,000 crores in total revenue with an EBITDA of INR 236 crores, in spite of the write-off adjustment that we had just spoken about. Q4 was our highest ever quarter at about INR 310 crores in total revenue. At the start of the year, we had guided to a revenue band of roughly INR 800 crores with EBITDA in margins between early teens and to 20%.

We have closed the year above that range on revenue and at approximately 23.8% margins. This has been possible in difficult supply chain conditions and I want to thank my colleagues, our partners and our customers for helping us deliver better than the guidance we had set for ourselves.

On Q4 profitability, the quarter includes one-time provisions related to the new Labor Codes across our Indian operations and subsidiaries. Within the subsidiary, Mehru has delivered around 20% EBITDA margins this quarter, a meaningful contribution and a sign of how well the integration is settling in.

A note on comparability. This is the first quarter of Endoks in our consolidated numbers for our last quarter. For a cleaner read, please look at Endoks on a YoY basis rather than a QoQ basis, since Endoks follows a January-December financial year and while in its final quarter when last quarter was reported, the bases are not directly comparable. We enter FY27 with an order book of over INR 1,400 crores, about 1.4x last year's revenue.

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How we think about our growth and margin across our portfolio. We do not run Quality Power as a collection of independent businesses each chasing its own number. We run it as a team with a strategy. In any given year, the raw material environment in one product line or the customer mix in another will mean that one business needs support on growth while the other needs support on margin.

Because our businesses do not necessarily share the same customers and raw materials, we can lean on one another in strategies. One carries the margin in a year while the other carries the growth and the next year it can flip. This year, given the raw material environment in our high voltage product business, we chose to chase growth in our power electronics business, accepting some margin sacrifice to do so.

The window to build scale and customer references in power electronics is now. As we scale, margins will follow and as the group pursues its ambition in energy storage, component prices should continue to ease with increased v

olume of orders. That easing also makes our future entry into the Indian storage market more viable as electronic component costs come closer to Chinese prices at volume.

Meanwhile, the high voltage product portfolio holds the margin line for the group. That is a team at work. Beyond the numbers, we have been broadening this company beyond a traditional high voltage equipment manufacturer. The PCS or power conversion system for grid-scale energy storage is an example.

It has been developed in-house by our own R&D and engineering team, the result of investments over several years in power electronics design, testing capability and engineering depth. We are setting up a dedicated PCS factory for BESS application to commercialize it at scale. Our 1,725 KW PCS inverter design is also underway and we expect to bring it to the market over the next few quarters.

GIS is another example of the same pattern. A category we have invested in patiently and one we expect will over time deliver the same kind of compounding contribution that our earlier R&D-led products have delivered. At Mehru, the development of 765 kV product category is

the clearest signal that technology improvement is a way of life at Quality Power. It is how we operate. Whether it is a 765 kV step at Mehru, the in-house PCS or our GIS build-out, what you are seeing is the same underlying habit: investing in capability ahead of demand, trusting our own R&D, and moving the technology bar one step at a time. While all this is happening, we continue to scale businesses, our capacities across product lines and geographies. These are not separate projects. They are one effort, building a technology moat and a scale moat together. Technology earns us the right to participate in the most demanding tenders. Scale earns us the right to win them. Both remain our primary advantage in the market and we intend to keep investing in both. As the company grows in size and complexity, we are deepening our engagement with the academia and bringing in regular training from renowned external trainers and institutions.

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The objective is to build the next layer of managers and engineers within Quality Power who can take this organization forward into a larger, more global and more technology-intensive future. On the external environment, geopolitical conditions across several corridors continue to make an already congested supply chain more difficult. These are industry-wide realities, and we are managing them through vertical integration, as I described earlier.

As a closing remark, we remain focused on disciplined execution, technology leadership and long-term value creation. There is much that remains to be built and we are clear-eyed about it. With that, I hand over the call to Mr. Sanjog Mhatre our CEO, for the business overview, following which we shall be happy to take your questions. Thank you. Jai Hind.

Sanjog Mhatre: Thank you, Mr. Pandyan. Good noon to everyone joining us today and thank you for participating in our earnings call. The past quarter has been yet another important milestone in our growth journey. Despite a dynamic global business environment, we continued to demonstrate strong execution capabilities, operational discipline and growing customer confidence across international markets.

Over the last few years, Quality Power has evolved from a fast-growing engineering company into a more integrated, process-driven and globally competitive organization. One of the strongest indicators of the growth momentum is our historic order book position. Today, Quality Power has an order book exceeding INR 520 crores, while the overall group order book stands tall above INR 1,400 crores.

Our subsidiaries continue to perform strongly as well, with Mehru carrying an order book of approximately INR 430 crores and Endoks at nearly INR 450 crores. Importantly, during the last quarter alone, we have added over INR 600 crores of fresh orders, reflecting increasing customer confidence and strong market demand.

Our business pipeline remains highly encouraging as we currently pursue opportunities exceeding INR 1,100 crores for QP alone, including strong opportunities in FACTS systems, renewables and data center infrastructure. Demand visibility continues to remain robust across the Middle East, Europe, the United States and Australia, particularly in grid modernization, renewable integration, STATCOM applications and power quality solutions.

To support future growth, we continue investing in manufacturing infrastructure and technology capabilities. Our new factory is expected to commence operations around July-August 2026, alongside the commissioning of a new high-voltage test laboratory, which will significantly enhance our testing and execution capabilities too.

At Mehru, additional oven capacity is being added post-September 2026, along with the development of GIS manufacturing and testing infrastructure. The GIS product line is progressing well, with the first prototypes expected around July-August 2026. Endoks is also setting up a new BESS manufacturing facility based on in-house developed technology, underscoring our focus on innovation-led growth. Thus, we expect to launch the 1,725 KW PCS inverter within the next two quarters at Endoks, as Mr. Bharanidharan Pandyan just mentioned.

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Operationally, we continue to strengthen the organization through recruitment of skilled manpower across engineering, manufacturing, projects, and leadership functions. Recently, we conducted a vision meet at Panhala Fort, involving nearly 95 senior and middle management members from across the Quality Power Group. This strategic exercise aligned all group companies around a common long-term vision, mission, and growth roadmap. We believe one of the most encouraging developments today is that sustained growth,

operational discipline, and cross-functional collaboration are increasingly becoming part of our organizational culture across all levels. At the same time, the global environment continues to remain dynamic. Geopolitical tensions, logistics disruptions, commodity volatility, and supply chain constraints continue to impact industries globally.

We are currently facing certain execution challenges related to insulators and winding conductors. However, mitigation initiatives are already underway, including our own cable manufacturing initiatives that will improve supply reliability going forward. Importantly, as the global shifts are accelerating the movement towards diversified and resilient sourcing strategies, positioning India as a preferred global manufacturing and engineering destination, we believe Quality Power is well-positioned to benefit from these structural opportunities.

Going forward, our priorities remain clear: expanding our global market presence, strengthening manufacturing and execution capabilities and supply chain resilience, investing in technology and digital systems, building scalable leadership and organizational depth, maintaining disciplined and sustainable growth.

To conclude, therefore, we are entering the next phase with stronger teams, improving infrastructure, historically a record order book, growing global visibility, and a long-term commitment towards building a globally competitive, strong organization. Thank you once again for your continued trust and support.

I now hand over the call to our CFO, Mr. Rajesh Jayaraman, who will walk you through the financial highlights for the quarter.

Rajesh Jayaraman: Thank you, Bharani. Thank you, Sanjog. Good afternoon, everyone. It is a privilege to walk you through the financial highlights of what has happened, is an defining year for Quality Power.

FY26 has c

losed comfortably ahead of every guidance milestone we set for ourselves at the start of the year.

We had originally guided the market to approximately INR 800 crores of consolidated revenue, which we subsequently revised upward to INR 900 crores with an EBITDA margin aspiration of around 22%. I am pleased to confirm that we have closed the year at a consolidated revenue of INR 1,007 crores, a growth of nearly 157% YoY, with a full-year EBITDA margin of 23.5%, comfortably above the revised guidance.

This is the first time in our history that we have crossed the INR 1,000 crores revenue mark, and we have done so while simultaneously expanding profitability. Full-year EBITDA stands at INR 236 crores, up by 98%. Profit before tax at INR 216 crores, up by 93%, and PAT at INR 185

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crores, up by 85% YoY. Standalone performance was equally robust, with revenue of INR 227 crores and PAT of INR 55 crores.

A particular highlight has been the successful operational integration of Mehru Electrical and Mechanical Engineers, where margins have expanded to approximately 20% in Q4 and 15% within just one year of acquisition, supported by revenue stream expansion and deeper market penetration.

On the key business ratios, the trajectory is clearly improving across the board. Gross margin for FY26 stands at 43.7%, expanding to 47.7% in Q4, reflecting a richer product mix and a higher share of engineering content revenue. FY26 PBT margin has held firm at 21.5% and PAT margin at 18.4%. Return on equity has expanded materially. Finance costs remain contained at under 0.7% of revenue, and we continue to operate as an essentially debt-light enterprise with healthy interest coverage.

Earnings per share for the FY26 stands at INR 15.67 versus INR 9.10 in FY25. The order book exiting the year is in excess of INR 1,400 crores, approximately 1.4 times FY26 revenue, giving us strong forward visibility into FY27 and beyond. Now, allow me to address one important technical matter that materially affects the optics of our Q4 numbers. This is a nuanced accounting subject, and I would request your patient attention here so that there is absolutely no ambiguity. You will note that Q4 consolidated EBITDA margin appears at 19.1% against 27.9% in Q3, and Q4 PBT margin at 17.3% versus 26.1% in Q3.

This does not reflect any deterioration in underlying business performance, any cash cost, any operating shortfall, or any erosion of margins at the subsidiary level. Our Turkish step-down subsidiary, Endoks Energy, operates in an economy classified as hyperinflationary under Ind AS 29, which is financial reporting in hyperinflationary economies.

Under this standard, all non-monetary items on the subsidiary's balance sheet, such as property, plant and equipment, inventories, and equity, must be restated using a general price index to reflect the current measuring unit at the reporting date. Monetary items, such as cash, receivables, and payables, are not restated.

But because they lose purchasing power in a hyperinflationary environment, the net monetary

position naturally erodes in real terms during inflationary periods. And this purchasing power loss is recognized through the profit and loss account, in our case classified under other expense. For Q4 FY26 specifically, this restatement has resulted in a net monetary loss of approximately INR 25.7 crores. I would like analysts to clearly note four points. First, this is a purely accounting-driven, non-monetary, non-cash adjustment mandated by Ind AS 29. It does not flow into operating cash flow working capital, or any element of business performance. Second, the treatment is symmetric across quarters.

In earlier quarters of this year, similar conditions produced net monetary gains that were recognized under the same head. So QoQ optics

will continue to fluctuate purely on index movements, not on business reality. Third, Endok's underlying operating margins continue to
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remain north of 25%, and the business is delivering strongly on commercial milestones, including the new PCS facility at Nigde.

Fourth, and most importantly, normalized for this Ind AS 29 charge, our consolidated PAT for FY26 would have crossed INR 210 crores. I would strongly encourage analysts to model Endoks on an Ind AS 29 normalized basis when projecting forward, treating these monetary loss or gain entries as below-the-line non-operating items. Q4 figures additionally absorb one-time provisions related to the new Indian Labour Codes across our operations.

Beyond the headline numbers, the balance sheet continues to strengthen meaningfully.

Consolidated total assets stand at INR 1,112 crores against INR 814 crores a year ago, and total equity has expanded to INR 774 crores. Cash and bank balances stand at INR 248 crores, and capital work-in-progress has scaled to INR 73 crores, reflecting active deployment across the Sangli global coil manufacturing facility, the HVDC, PCS, CTC, magnet wire facility on track for Q3 FY27 commissioning. Mehru's INR 17.2 crores capex program for GIS and high-voltage testing equipment, and the new Endoks PCS facility at Nigde targeted for December 2026.

On capital allocation, the board has recommended a final dividend of INR 1 per share, with promoters voluntarily waiving their entitlement to conserve cash ahead of growth investments.

The board has also approved an enabling authorization to raise up to USD 75 million across permissible modes, strategic dry powder for international expansion, acquisitions, and technology investments. We exit FY26 stronger, deeper, and better positioned than ever before.

Thank you. Now I request the moderator to take on, and we are ready for question and answer.

Moderator: Thank you very much, sir. First question is from the line of Archit Shah from 360 One Capital. Please go ahead.

Archit Shah: Thank you for the opportunity, sir. This is Kunal. Just wanted to quickly, you know, understand about the BESS and the data center opportunity. We already got one large order on the BESS side. So how large this opportunity could be both on the BESS and the data center side over the next few years? And what are the key products, you know, that will go into this from our side?

Bharanidharan Pandyan: Good morning, Kunal. This is Bharani here. Talking about BESS, we have been consistently investing on this product line. The current order book at this moment stands at about US\$31 million. And we are expecting that we close another 30 to 50 million US dollars by the end of the year. Which means at about US\$80 million, we will be the largest PCS manufacturing company in our country, where the scale also helps us to increase significantly.

The reason why we have put the PCS factory in Turkey is because we have a better price realization in Turkey compared to India. To compete in India, we need to have cheaper prices, and that can only happen when we get semiconductors at a discount. So, we believe this year we should be targeting anywhere between US\$60 and US\$80 million in order, and it's a billion-dollar opportunity really to be realistic.

With regards to data center, we started with Microsoft in Finland last year. I think this time we have again got one of the big threes in the pocket in the US. It was I think a INR 49 crores order
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that we bagged a couple of weeks back. I was in the US last week. I believe we should get a couple of projects or more in the next few quarters. There is a demand for eco-reactor for every large data center tie-up that is coming up in that part of the world.

It's a part of spec where the current

problem we are having is, we are already booked out on deliveries. Most of these data centers come at a 6-7 months kind of a timeline. We are already

booked out on HVDC and other projects, as my colleague Mr. Sanjog said.

We are almost north of INR 500 crores on the current order book. It's only when we take into the new facility we will be able to take more orders. But I believe the market size for just data center integration for reactors in the US market is about INR 1,500 crores per year.

Archit Shah: My next question sir, is on the Sangli plant. So now the commissioning we are targeting is around July, right?

Bharanidharan Pandyan : July end, August is what we are guiding in. The people have written back, the guys who had shortage of gas and operating problems during the start of the conflict. But I think we are at full swing. We are anticipating trial productions to start at that time. Yes.

Archit Shah: And sir thirdly, I don't know, maybe the line was bad. I'm not sure if you mentioned about the guidance for the year. If not, can you talk about the guidance for the year on top line and margins?

Bharanidharan Pandyan : The guidance would be, as of now, we have given the market an S-curve where this year we stabilize, where we have a lot of people that we will be taking across organizations, because a lot of factories are coming in. The guidance is around 15% and 20%. With regards to our traditional product line, I think we are happy with the margins where we are. Maybe a couple of points here and there because of the conflict and the related price increases.

With regards to BESS, I need to make it clear, whatever is the battery pass-through at this moment is about 2% or 3%. On the converter side, it's about 10% or 12%. As we scale up, we anticipate the 10% or 12% to be at about 17%-18% for the inverter. The batteries are being passed through the balance sheet because we are building the containers where the battery and the PCS go all together. As I said, this is a volume game.

The more that we are able to bring in the semiconductors, I think we will get cheaper. So, it's an investment mode at this moment. Otherwise, I think we should be happy at about 15%-20% more than what earnings what we are right now.

Moderator: Next question is from the line of Nemish Sundar from Elara Capital.

Nemish Sundar: Sir, just expanding a bit on the BESS. So you highlighted the opportunity pipeline. So just wanted to understand who will be our competitors here? Like, will we be competing with certain local players or would be competing with certain MNCs like ABB, Siemens, and Hitachi who are also supplying there? Or what would be the competitive landscape of BESS in the domestic and global?

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Bharanidharan Pandyan: Good morning, Nimesh. The BESS is dominated by Chinese in most parts of the world. But fortunately, you have software and service support that helps you in Europe, which keeps the Chinese away. Also in the US and Australia, where they are not much preferred. In India, currently, only the EMS needs to be domesticated with a domestic supply. The power electronics, they still do not have a large manufacturing base and is currently being imported. But with regards to, competition, I would say Chinese would be the largest competition. GE is a large player, but it is at a very high level on the pricing front. Our focus at this moment, is to bring in that US\$70 to US\$80 million of order this year and then grow into a billion dollar opportunity in the next few years. The competition will always be Chinese is where we are seeing as an Asian company. We are not competing GE in this product line yet because we are upstarts in the market.

Nemish Sundar: Okay, sir. On the data centers, we already got an order and you said we received another order. So on the current facility and the new facility, would we be in

a position to cater to multiple data center orders as we scale up forward in India and globally?

Bharanidharan Pandyan: So, Nimesh, you have visited the facility. You know the kind of scale that we are building in. The story is not only our capability, it is also the raw material supply chain. We have always been blaming the insulator guys. So it is over a period of time that we will build in the capacity that is required to deliver. As I said, it is just not data center. We are delivering HVDC in Australia, HVDC in India. There is already one that we are likely to close by this year. There is Barmer, which has also gone for a tender, which again we should come this year. All these are multi-million dollar orders. We are also exporting quite a bit to Europe, Middle East, Australia, Southeast Asia. So we are quite busy. So we cannot deliver to only one market and one product. We are just trying to ensure that we have flavor of everything. As and when our supply chain eases up, we will be able to take market shares.

Moderator: Next question is from the line of Lovish Soien from Burman Capital Management.

Lovish Soien: Yes, sir. I wanted to understand the TAM potential of reactors and transformers that we supply from our standalone business and Mehru business. So in India, for a typical project, HVDC project like our Bhadla-Fatehgarh corridor, which is a 6 GW project, I wanted to understand what is the total value of reactors and instrument transformers that will be used in that project?

And also, what is the timeline for the supply of these components for that project?

Bharanidharan Pandyan: So to give you an idea, a classic 6 GW HVDC, which is, LCC technology, would entail anywhere between INR 200 to INR 300 crores of reactors alone. Another INR 50 to INR 70 crores of instrument transformers. At the moment, we are adding more products into the kitty. LCC is not a 6 GW link yet. It is normally a 2 GW link. It's much smaller in technology because they are basically trying to connect renewables.

And it's an IGBT converter at 6 GW level. It is still not operational yet. So we believe that would be about INR 70 to INR 100 crores approximately at this moment at the coil business side. With regards to transformers, I'm not sure, because standalone business, we also make transformers.

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We have had opportunities in this quarter where we were bidding US\$80 to US\$100 million of transformers alone in the US market.

Unfortunately, we lost a lot. And I think we also as a strategy are unsure whether we have to scale up our transformer business because we do not know the sustainability of transformers with the kind of capacity that is being built across the world. So we are also looking at a lot of exposure of transformers.

We are currently engaged in multiple bids for transformers for data centers as we speak. But this is not something of a priority and at a lower margin than what we are operating, we are not intending to book the orders. With instrument transformers for the, yes.

Lovish Soien: Yes, sir, just to summarize the overall opportunity, let's say in a regular HVDC corridor currently would be somewhere around INR 350 to INR 400 crores for us, right?

Bharanidharan Pandyan: Assuming that we take the entire lot. But unfortunately, the current supply chain does not allow us to take the entire lot. Because once we book the supply chain and the factory, you cannot supply to other people. As of last quarter, our revenue for the year was about INR 230 crores, if I'm not wrong. And what we say the order book is already INR 500 crores. And if I open the corridors, we will get more. So execution is the key and not order.

Lovish Soien: Understood. And sir, if I look at just globally, what would be the market potential for our products of these reactor coils and the instrument transformers that we have?

Bharanidharan

Pandyan: I would like to talk about peer-reviewed data rather than data that is, what we say off my hook.

My largest competitor is a company called Trench Electric Limited, earlier owned by Siemens, now by a private equity. I think as of last December, they had EUR 1.5 billion in pending order book. For the instrument transformer, there is a listed company called Artech in the Spanish market, which is the nearest competitor to Mehru.

I think their revenues were slightly north of INR 3,500 crores. So I believe the opportunity size or the TAM is not a problem. We have enough to grow for the current markets. It's only the execution which is our challenges internally.

Moderator: Next question is from the line of Kartik Kohli from Kotak Institutional Equities.

Kartik Kohli: Hi, sir. Thanks for taking my question. I had two quick questions. One, I don't know if this was discussed previously. Can you shed more light on your BESS business? I would like to know more on the operating strategy of the business. What kind of customers you're looking at? And what is the advantage that you're offering versus competitors in the markets that you're looking at? And I'll come back with my second question.

Bharanidharan Pandyan: So Karthik, BESS is basically a high voltage, high power inverter, similar to the SVC and STATCOMs that we are already building in Turkey, medium voltage. Now, where the BESS is required, BESS has a variety of applications. In India, they are primarily used for peak power discharge. Most of the tenders in India is basically an O&M tender, whereas we are a manufacturer.

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So in a BESS, we have three or four major components. First is the battery itself, which we never intend to get into because that is chemistry. Then you have the power electronic inverter, which is something that we are manufacturing. Then we have the software, that is the EMS that is connecting the BESS to the grid. And finally, we have the transformer, which is an in-house product for us. So this is the value chain.

At this current moment, we are selling to developers of large renewable energy projects.

However, BESS also has a very large market in the data center, where most of the data centers in the US have 50 megawatt of steam turbines, which are paralleled together. So in case of contingency, they use BESS like an UPS, where the battery component is less than 1% and the

converters are much larger. So these are evolving businesses.

We believe these will be multi-billion dollar businesses in a very few years. You can see that we would be talking about in excess of 2 GW of BESS projects every month in India alone. This year, we are targeting close to 500 to 600 MW of converter manufacturing, where we are integrating the battery, software into a converter shell and selling it to the team. We are not in an O&M model. We are just a manufacturer in this.

Kartik Kohli: Got it. Sorry, sir. I meant what kind of customers in what geographies is the was the question. Sorry?

Bharanidharan Pandyan: So the kind of customers is renewable energy developers. In India, if I would say that I would like to go to people like ACME or Avaada, but we are not going there. We are talking to similar counterparts in Europe. The geographies are again Europe because we have a slightly better prices there compared to India. This will help us scale the business and bring the volume of semiconductors for the pricing advantage before we launch in India. India is definitely in our plans.

Kartik Kohli: Got it, sir. Just one last question. So from your order book of INR 1,400 crores, I'm assuming like a large part of this, about INR 150 crores is coming from BESS order. Is there a sizable portion of data centers in your order book which may not get executed this year?

Bharanidharan Pandyan: Mr. Sanjog Mhatre in his speech has spoken about the di

fferent order book of every entity.

Quality Power is at this moment focusing on data centers, where we have an order book of about INR 520 crores. I think that is where we will be executing. I think the first data center order we will be executing is for the US this year. But there are more which may either be completed this year or next year. The Turkish guys are not focused on the data center. They are focused more on renewable energy integration and large steel factories. And the Mehru guys are focused on GIS, high voltage and AC substations. That's our focus. Different customers.

Moderator: Thank you. Next question is from the line of Hemaant Soni, who is a Self-Employed. Please go ahead.

Hemaant Soni: Sir, thank you for providing me the opportunity. And congratulations on beating the guidance.

Sir, I think we have two expansions lined up, right? One at the Sangli plant and one at the Mehru plant. So what can be the incremental revenue from both the expansions?

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Bharanidharan Pandyan: Sir, the Sangli factory, I think the peak revenue that we can go in is about INR 1,500 crores, subject to we completing our CTC cable expansion and clear out our insulator problems. With regards to Mehru, I think another 20%, 30% before they scale down, because the plant would then saturate.

But as we speak, we are also working out on a new expansion in Turkey. I believe we should have more data about it in the next quarter. The Turkish operations would cater to most of the global or the European load, whereas India would focus on India and near countries.

Hemaant Soni: Sir, can you please quantify in numbers for the Mehru plant?

Bharanidharan Pandyan: So as I said, last quarter, I think they did about INR 320 crores. Another 30% to 35% is what max I think the plant would saturate. Current plant.

Hemaant Soni: 30% to 35%?

Bharanidharan Pandyan: Yes, that is the saturation of that plant.

Hemaant Soni: And sir, I think we are also exploring a greenfield opportunity, right, in Mehru?

Bharanidharan Pandyan: Yes, but that is at Turkey, not in India.

Hemaant Soni: Okay, sir.

Moderator: Sorry to interrupt, Mr. Soni. May we please request you to rejoin the queue, sir? Thank you.

Next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Sir, one clarification on this PCS that you were talking of some factory expansion in Turkey. So that was not clear what exactly it is. Is it a new product line? And then you gave out that we are targeting some US\$60 million, US\$80 million of business. So, all those things were not clear. So you need to first tell us where is it? Is it a new line of business? What is this PCS that you were referring to? And some details would be easier.

Bharanidharan Pandyan: Very good morning, sir. Long time, no hear from you. But with regards to PCS, we have been talking in the last four con calls. We have been saying that we are executing battery storage projects. We have our own products already on trial. This is a product that has come from our investments in R&D over the few years. We have been speaking about it.

The orders are just picking up. So, once the orders are picking up, we are putting together the capacity expansion. PCS is basically the power converter that is required to ensure the energy stored in the battery is interconnected to the grid. The grid is at an AC supply and the battery is a DC supply. So, basically, you are converting high power DC to high power AC at a large power electronic base. That is what we call as the power conversion systems.

But while we are connecting the power conversion system, we also have a software interface because the battery is not, what we say, charged and discharged as and when it feels like, unlike a home inverter. This is charged and discharged at a forecast based on load demand and the pricing

plan to the exchange.

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So, the software is connected to the main grid. That is where the data security and software security comes into play where the Chinese are normally not allowed. So, that gives us some sweet spots in the US and European market. Even Indian market very recently ensured that software interconnection is only Indian. The power electronics is also ours. The battery will continue to either integrate or ask customers to directly buy. So, PCS and power electronics is a part of BESS projects everywhere.

Pritesh Chheda: So, it's basically an EMS product and you will land up supplying that or you will have to land up supplying the whole BESS. So, that will include a battery, an inverter and a PCS?

Bharanidharan Pandyan: So, at this moment, we are giving the entire container with our software, hardware and integrating batteries. However, we would be open to selling the converters standalone as a product line because we are a manufacturing company.

Pritesh Chheda: And is it currently made out of the Turkey units or how it is?

Bharanidharan Pandyan: Yes, because the center of competence for power electronics for us is Turkey.

Pritesh Chheda: Do you need to put any extra capacity there or it is made out of the existing?

Bharanidharan Pandyan: So, we have a lot of land banks there historically. So, about US\$2 million is what we are putting in. Construction is very fast in that part of the world. So, I think by the time we are coming in for execution, the raw material is kicking in, I think we should start it. We are expecting the first order that we are back to start billing by the first or last quarter this year. So, you could see a lot more revenue of that coming in the next financial year. The orders will come this year, revenues will follow next year.

Pritesh Chheda: What kind of orders do you expect this year?

Bharanidharan Pandyan: So, US\$31 million is already in the back. We believe another US\$50 million is our target internally. So, that would mean that at least \$80 million is what we carry forward next year from the production.

Pritesh Chheda: Sorry, 30 million in.

Bharanidharan Pandyan: In US dollars. The money is in US dollars.

Pritesh Chheda: Okay. And can you just tell one thing, sir, in Endoks, the size of the business, which is about INR 468 crores this year. So, in the last 2 years, there is material difference. So, that difference is from a new project or a new product or where the difference comes from?

Bharanidharan Pandyan: So, it is basically when you are grid integrating any component, whether it is a steel factory or renewable, you need power electronics for support. So, there is a lot more demand like all our other product lines for grid integration. It is just demand-supply.

Pritesh Chheda: Okay. Thank you, sir.

Bharanidharan Pandyan: Thank you.

Moderator: Thank you. Next question is from the line of Aditi from Iwealth. Please go ahead.

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Aditi: Hi, sir. Congratulations on a good set of numbers. Like I had just one question regarding the other expenses. Like as you mentioned that INR 25 crores is due to the hyperinflationary part from Turkey. But even if we subtract that, we still have INR 33 crores left in other expenses, which is proportionately high if you compare it to the past quarter. So, little clarity on that.

Sarika Jadhav: In other expenses, the net monetary gain loss of INR 25 crores has been categorized under other expenses and also the freight outward of INR 12 crores and LD of INR 5 crores. Because of that, that other expense has been increased during the last quarter.

Aditi: Understood. And should we see it going ahead like this would be the run rate or it would come back to the INR14 crores-INR20 crores that we were doing?

Bharanidharan Pandyan : The L

D basically was from our subsidiary in Mehru, which has been curtailed. These are pre-acquisition hit. With regards to the hyperinflation formula, it is not in our control. It's indexation. As and when the inflation rate comes down, it will come down. These are just optics for us and not real cash flow.

As of what I see in the balance sheet of Endoks last year, without any net monetary gain or forex

gain loss in their Turkish balance sheet, last year they had an EBITDA margin of 32.01%. And this year they have 32.13% despite growing 150% in revenue. So, they are stable on the reporting currency. It's only the translation error that is showing these numbers.

Aditi: Understood, sir. Thank you very much.

Moderator: Thank you. Next question is from the line of Dev Gulwani from Care PMS. Please proceed.

Dev Gulwani: Thank you for the opportunity, sir. Just one question. In a standard battery energy storage system project, what percentage of the total project cost is attributable to PCS? If you have any idea, approximate number?

Bharanidharan Pandyan: So, at this current moment, it's between 40%-50% based on how much of battery storage the customer would like to have. In a data center application, the battery is about 5%. But the prices of battery being a commodity is expected to be at least half of what it is in the next 2 years. So, I believe the converters will become more expensive than the battery going for in the next 2 or 3 years. So, where we will have a lot more mode to play around.

Moderator: Thank you. Next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Hello. Good morning. A great set of numbers for this year. One clarification on the guidance you mentioned. We're looking at a 15% to 20% growth. Did I hear that correct?

Bharanidharan Pandyan: Ma'am, we started with a guidance of INR 800 crores and the base has shifted already to INR 1,000 crores. Our new factory is not ready yet. we have audits of 6 months. So, we will not be able to deliver much from the new facility. The main facility is also, you know, we are only getting it by September, the new ovens. So, that is also where it is. All the growth is being delivered from Endoks as we speak. So, that is why we are doing a muted guidance on growth. But order book would be different.

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We will be picking up a lot more orders going forward in Q2, Q3 of this year, primarily to support the new capacities coming in. So, as I said, even in the last call, we are going through an S-shaped curve. So, this year is where we built together our team, where we are taking in maybe another 500 to 1,000 employees across the business segment and building the facility. And the next year, I think we should be going north of 50% again.

Maitri Shah: That is great. Secondly, you said the order book growth, we are expecting quite a big order inflow from Q3 and Q4 because the new facilities are coming in. Any sort of target on the console order inflow for FY27? And maybe what order book number you would like to enter FY28 with?

Bharanidharan Pandyan: I think we should be comfortable with the same kind of numbers that we have. But I think we should be targeting at least INR 1,500 crores to INR 1,800 crores of order book before the start of next year. But we have to also understand that order books are normally 12 months. And if we are not able to deliver, we are not able to take in more orders. And most of our constraints right now, even if we ship the cables on time, there are insulators where the deliveries are already going 18 to 24 months. So, some of our projects are getting hurt because of some critical components.

Maitri Shah: Okay. So, there's a supply chain restriction also kind of capping in our growth right now. Is that correct?

Bharanidharan Pandyan: Yes, but we will do something to even clean that

up. We have been focused more on order book and the factories at this moment. We have been able to cover the cable problems by vertically integrating. I'm sure the board is also deciding something on the insulator side of the thing. As and when is the right time, we will let the markets know.

Maitri Shah: Okay, that is great. And lastly, on the margins, we had a great jump in the gross margins for this quarter, even in such volatile conditions. So, do you see this 46% margin kind of continuing for next year? Or do you think it will kind of lower down because of the volatility in the West Asia?

Bharanidharan Pandyan: Sorry for the humor, but I think my friend Donald Trump has to answer this question because the prices are not being dictated by us at this moment. It is all related to geopolitical stuff and the dollar impact. Traditionally, the orders have been booked at the same or similar margins, all the companies, but the raw material prices have been highly volatile.

So, you know how the dollars are behaving, how the components are behaving. So, I cannot guide the same kind of numbers, but I can only guide that when we booked it, we booked it at similar or higher margins. We may have some small change in margins in the next one or two quarters, but that would be a short-term impact.

Maitri Shah: And we are able to pass on these kind of raw material costs with a lag or does it happen? Is there an escalation?

Bharanidharan Pandyan: It will be done with a lag. It will be done with a lag.

Moderator: To the next question from the line of Akshay from AK Investments. Please go ahead.

Akshay: Hi, sir. Thanks for giving me the opportunity. First of all, congratulations for the good set of numbers. Sir, we understand that the EBITDA due to one-time non-payment account is locked, but also the revenue in this quarter, on a QoQ basis, it is flat. So, generally the Q4 should be the highest quarter. So, can you put some light on that?

Bharanidharan Pandyan: I have already indicated in my speech that for quality power at Mehru, this has been the highest profit quarter because it is our Q4 in India. For Endoks, this is Q1. They are January, December, and in December of last year, they had the highest quarter on margins. This is Q1, where you normally expect a muted sale and muted margins. However, in spite of that, we have delivered the margins of close to 20%. So, I do not think we are comparing apples to apples here. For the Q4 of theirs, they have been highest. For Q4 of ours, we have been highest.

Akshay: Okay, sir. Understood. And so, my second question is currently we have around INR 1,400 crores of outstanding order book. So, you already said that 15% to 20% revenue growth, we can expect consolidated level in the FY27, right? So, currently, what type of order pipeline are we seeing in customer inquiry and all these things are going on, and how much order are we expecting in FY27 and FY28 also?

Bharanidharan Pandyan: So, in Sangli and Delhi, we have almost closed our order intake for the next quarter. I think we are no longer aggressively taking orders, primarily because of what we are able to deliver or not deliver. It is only strategic order that we are pulling in. I think at this moment, we are building data centers, we are building GIS, HVDC, we are building all the colors that would spark in what we can analyze. But because we are in a high technology area, almost every new technology we are participating.

Moderator: Next question is from the line of Pinaki Banerjee from AUM Capital Private Limited.

Pinaki Banerjee: And congrats for the good set of numbers. So, a couple of questions. Could you throw some light on your fundraising plans? What are the sources through which you are planning to raise, considering the fact that you are having a cash balance of almost INR 250 crores in your books

now?

Bharanidharan Pandyan: Sir, thank you for again highlighting the elephant in the room. So, this is not something that we intend to raise. This is an enabling provision for us, which means as and when the management requires it, we will draw. We are not saying we will draw 25 million. We may draw much lower. Yes, we have what we say INR 250 crores, but some of our acquisitions that the BDNA committee are looking at are much larger in value than the cash in hand.

And the cash in hand is also required for our own organic expansions and our own organic cash flow. So, we cannot empty out the bank for it. And as a group, we hardly leverage debt. We normally focus on zero debt. Even the INR 125 crores promoter debt that we had pledged to the company, we have been able to finish almost 80% of our factory without any debt from the promoters with our current cash flow.

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We will continue to have a solid balance sheet. I know from a cash perspective, you would like to work on debt, but no, we do not like debt. So, we would always like to have the cash in hand.

Pinaki Banerjee: So, my next question regarding your INR 1,400 crores order books, can you quantify how much comes from renewable sources?

Bharanidharan Pandyan: Very difficult to quantify that way, sir, because an HVDC would classify as a transmission asset, but is actually integrating renewable. All the energy storage is renewable. Data center, even though the application of data center is being fed by renewable energy. So, today, if I look at the data of India alone, 50% of our generation is renewable, which means that what we say 50-50 is what I could say. But we are not in renewable or conventional, we are in grid interconnection. So, we do not care what is being connected.

Pinaki Banerjee: And last question, sir, regarding this hypothetical one, regarding your Turkish operations. Actually, we know that the Middle East crisis and the political situation between India and Turkey is not very good at this point of time. So, are you apprehending any negative impact due to this?

Bharanidharan Pandyan: Sir, we have been operating in the country for 16 years. We have been in the last 10 years getting the best R&D company of the year from the government and from the Prime Minister. We are not alone, Tata's have a plant, if I'm not wrong, Mahindra, JSPL, Birla, lot of Indian multinationals have plants there. Turkey is a manufacturing hub for Europe, low-cost labour, a

lot of labour, a lot of engineering talent at a much cheaper cost than India in some of the high-technology areas.

When we take decisions, geopolitical is a concern, but it is more on P&L. If you look at Turkey, they have a land border to Europe, which means to Germany in four days on road they go in. The raw material prices are more or less similar to India, if not lower than India in some of the key raw materials. The labour is about four times India, but the labour is not a very big cost in our scope of the business.

So, the key raw material being the same, the freight coming down and faster to the market is normally a good suggestion for being a competitive moat. And also towards the US, they are only 11 days on sea. So, it's a competitive mode. Geopolitically, we have been there for 16 years, we don't see problems.

Moderator: Next question is from the line of Archit Agrawal from Steptrade Capital.

Archit Agrawal: My one question is, can you give the revenue bifurcation for Mehru, Quality Power and Endoks?

Bharanidharan Pandyan: For the annual year, Quality Power equipments and projects put together is about INR 246 crores. Mehru is INR 318 crores and Endoks is INR 468 crores.

Archit Agrawal: And can you give the operating margin.

Bharanidharan Pandyan: I do not have with me the operating margin, but yes, I can give you an EBIT margin. The EBIT margin of Quality Power is

33% of Quality Power projects is 21% of Mehru annualized is 15%.

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At Endoks, it is 23% taking into account that accounting anomaly. Without that, we are getting close to 29%-30%.

Moderator: Next question is from the line of Jainam Doshi from Kriis PMS.

Jainam Doshi: So just wanted to understand, like as you are setting up a new facility in Turkey, so as you are alluding upon, there is a difference between the semiconductor cost as a whole for if we source it from in India and if we source it in Turkey. So could you explain like what is the difference there?

Bharanidharan Pandyan: The semiconductors in India are not cheap. Semiconductors in India are still evolving. There are very few players and high power is still not being built. I think we are taking our baby steps into that sector. The largest semiconductors are available either from European, Japanese or Chinese players. The difference in discounts, say for \$100,000 and 10 million, can be as high as 50%.

So in your pricing of your product, if you are able to buy like a \$10 million or a \$50 million kind of a volume, you would at sometimes get 40%-50% discount. And that is what is a real mote. So when you start scaling up your purchase of semiconductors, your margins start coming in. So it is all the same, guys. It is Japanese, European and Chinese.

Jainam Doshi: Fair enough. And just if you could like provide the details on the order bid pipeline separately for Meru, Endoks and Quality so that would help us just understand.

Bharanidharan Pandyan: Sir, we don't have those data available offhand. I'm sorry, I don't have it, but I think it will be a few thousand crores. It's just bids.

Moderator: Next question is from the line of Aniket Jain from Yes Securities.

Aniket Jain: So one question is the other income has increased this quarter versus last quarter. So I thought that since Turkey's currency is largely stable now, so is there any hedging related income that came in this quarter or would that be going forward or what kind of numbers should we assume while forecasting the other income? So that is question one.

Sarika Jadhav: Sir, the other income includes interest from deposits and also the foreign exchange gain of INR 16 crores.

Aniket Jain: And second question is maybe a bookkeeping question only. You also have some associated income. So is that mainly related to the electric acquisition or has Nebeskie started giving us some revenues and what could be the run rate for future quarters?

Bharanidharan Pandyan: Sukrut we were able to only consolidate it about three months post-start takeover on Jan 5th. So it's a very small number at this moment. It will start scaling up in a couple of years. The guys in Nebeskie are still in technology sphere. The numbers are very small. It's less than a crore, but that is something that we are building upon. And with regards to your question on other income, we still have a lot of cash. So the cash generated income would keep turning up or that is on interest on deposits.

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Aniket Jain: Understood, sir. And if I can squeeze in one more, I think we discussed on the margin that the

pricing can take up a few months or maybe a quarter to stabilize. So since you do not have any kind of price variation clauses, so how you are managing the commodity cost inflation came up in the last couple of months. So is there a possibility that our Q1 margins can see some kind of depth.

Bharanidharan Pandyan: I believe the entire industry has not factored in, but I believe Q1, Q2 can be hit. But as I said, we are sitting at 33% margins in some of the high voltage product lines. So if there is a dip, it is not going to be very huge. The volume growth is still there. We have a lot of international orders in new emerging sectors, which are c

oming at also better margins.

So we do not see a gloomy picture, a big gloomy picture. Yes, a couple of percentage here, there can be expected. We still do not know because the war is still not over and every day is a new story.

Moderator: Next question is from the line of Piyush from Sethi Family Office.

Piyush: Sir mostly my questions have been answered. I was just wondering in terms of, if my understanding is correct, FY27 is more of a 20% growth year for us, then '28 it is when we see more than like 50% type growth because we are following that S-curve journey. And there could be some near-term margin impact because of the shortages that we are seeing. Is that correct?

Bharanidharan Pandyan: Correct.

Moderator: Next question is from the line of Krupa Desai from Electrum Capital.

Krupa Desai: Sir my question was how are the margins on this power electronic converter side?

Bharanidharan Pandyan: I just told you we are starting off at this moment at the bid level between 10% and 12%. We anticipate it can go to 17% on volume. But also we have to understand the base at which we are talking 10% on say something like US\$14-\$15 million of converter. What we say it is sizable numbers as margins even at this moment because the volume is larger.

Krupa Desai: And sir this margins would be like including the software part also, right?

Bharanidharan Pandyan: Correct.

Moderator: Next question is from the line of Naman Parmar from Niveshaay Investments.

Naman Parmar: Firstly, I wanted to know the cash flow of the Mehru and Endoks if it's possible for the current quarter and FY26?

Bharanidharan Pandyan: Naman will park the question for a few minutes. Till we finish the question, my colleagues will try to get the data. Till then.

Naman Parmar: Secondly, how is the performance on the Sukrut overall after the acquisition and currently how it's going for the how much on that currently the Sukrut is going on?

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Bharanidharan Pandyan: Sukrut, we have turned around. They have stopped losing money. Their losses compared to last year is half because we stopped losing money. We are anticipating at least about 70%-75% growth this year without losing money because we are building the team and technology out there. We will start scaling it up over the next two years. At this moment, it's a new transition, new management. We are allowing them to take the time to before they start scaling up aggressively. My colleague would like to answer the cash flow question.

Sarika Jadhav: Regarding Mehru cash flow, after operating profit, we have the INR 45 crores and after changes in operating activities, our net cash flow is INR 32 crores and cash flow from investing activity is we have expended INR 20 crores for the investment in PPE and the cash flow from financing activity is INR 13 crores. So, net cash and cash equivalents are INR 18 crores at Mehru level.

Moderator: Next question is from the line of Abhijeet Singh from Systematics. Please go ahead.

Abhijeet Singh: Thank you for the opportunity. First question is on the order inflow that we received in the last quarter of INR 600 crores. Could you give a breakup of the order inflow in terms of segments and geographies like HVDC, BESS, etcetera?

Bharanidharan Pandyan: So, the order inflow, I stand corrected, is about INR 870 crores last quarter and not INR 600 because we also executed INR 300 crores of orders last quarter. So, we had a fantastic quarter from the perspective of order intake. Most of the order intake came from Quality Power and Endoks.

Endoks gave it a larger order on energy storage and automation, whereas quality power delivered on HVDC and data center businesses. Mehru has been traditionally with the high voltage interconnecting substations at 400 and 220. This next few quarters is when their GIS product line would kick in. And the GIS, I would say monetization

would start happening in about a year's time.

Abhijeet Singh: Right. And, sir, so this accounting entity that we built for Endoks of 2.57 million, sir, it obviously hits our other expense line items. Does it also hit any of the line items, let's say revenue or other income? Do we have an entry on revenue and other income as well from this

quarter or only other expenses impacted because of that entry?

Bharanidharan Pandyan: I think to the best of my knowledge, it is only a provision adjustment under other income and nothing more.

Abhijeet Singh: And what about the last quarter? Did we have a similar Ind AS 21 related entry in the last quarter as well, which led to the bump up of the margin?

Bharanidharan Pandyan: Correct.

Abhijeet Singh: Okay.

Bharanidharan Pandyan: But if you look at it Abhijeet at a console level, these are just indexation numbers. At a console level, the EBITDA at Endoks stands at about 32% on stable currency terms. And all the money is hedged there. So we do not have any change in margins or profit profiles.

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Abhijeet Singh: Right, sir., thanks a lot. And good to see such great progress on an annual basis. It was truly surprising for me when we applied. So, congratulations to the entire team for such good work.

Bharanidharan Pandyan: Thank you.

Abhijeet Singh: Thank you. Management, do you want to share the cash flow for Endoks?

Bharanidharan Pandyan: Just one minute, if you could take any other question. In dollar terms, I'm just telling you.

Moderator: Okay, sir. Next question is from the line of Nakul Gupta from Shikherjee Advisors. Please go ahead.

Nakul Gupta: Good afternoon, sir. Good afternoon, my name is. Congratulations on a great set of numbers. I have just one question. Do we have any plans to increase our stake in Endoks or Mehru going forward down the lane?

Bharanidharan Pandyan: I don't think with Endoks we have a certain plan at this moment. As and when things go ahead in the future, we may look into it. Our focus normally is to get hold of critical technologies where we can develop. I think our strategy has already been clear that if we have to transfer technology from one location to another location, it would be at a one or two percent royalty internally.

So as long as we have access to technology, we do not intend to increase it. We would rather put money into newer technology areas which would incur much better growth for us than just increase the EPS at this moment. And for the Endoks, the cash flow for the Q4 is about INR 136 crores.

Moderator: Thank you. Next question is from the line of Nilesh Jain from Astute Investment Management Pvt. Ltd. Please go ahead.

Nilesh Jain: Hi, sir. Good afternoon and thank you for the opportunity. My first question is, given the recent visit to the plant and the number of challenges you all had in terms of logistic container shortage, so surprisingly you've seen a good number for Q4. I just wanted to understand how is the situation right now in terms of logistics and also otherwise supply chain?

Bharanidharan Pandyan: So, I think if the logistics had cleared up, we would have revenue more. So, at this moment, we have revenue less. That is why our inventories have increased. So all in good cause. So, I think we can have a good Q1 because of that. Sure.

Nilesh Jain: On Sangli plant, we had initial target of June to commission and now we've expanded to August slightly. How do you see in terms of audit approvals and all for the timeline for that? And should we expect then from next year only the entire capacity to be available or at the end of Q4 we should expect the new plant should be available?

Bharanidharan Pandyan: If I ask my project managers, they are still sticking to the December-January for starting. But I think we have far more customer pressure to be able to deliver faster. So, I think we are

under

pressure from the customer and project end. We would start trial production and start delivering at least something by the end of the year.

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Nilesh Jain: Sure. And lastly, on the inorganic side, given you mentioned you're seeing larger devices, the only thing you can identify is probably geography and any new products if you're looking to identify?

Bharanidharan Pandyan: Power electronic battery storage is something. High voltage power products is second. Third is we are gung-ho about insulators because I believe that is becoming a critical bottleneck for us across the world.

Nilesh Jain: Any plans of doing a setting of a capacity for insulator or inorganic?

Bharanidharan Pandyan: All in good time.

Nilesh Jain: Sure. Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we will take one last question from the line of Ashok Shah from Eklavya Invesco family office. Please go ahead.

Ashok Shah: Thanks for taking my question. Sir, can you just give some idea that how much competitive or cheaper compared to Hitachi and GE in international market?

Bharanidharan Pandyan: Sir, we believe in the business of reach. We normally do not compete Hitachi, Siemens or GE in our business plans. They are our customers or partners in different market. So, I do not have a story how much we are cheaper. I think we can say how good relationship we have with them. That is point one.

Point two is the reason why we do that is our skills are much lower than them. And the products like say if I want to get into say high voltage transformer manufacturing for HVDC, the problem would happen is they themselves have the transformer factory. Why would they buy from outside?

So, what we intend to do is create, develop or buy products which they do not manufacture so that we can package it together to them. So, we are complementary to them and not competing them on strategy and product lines.

Ashok Shah: None of the products we have competition with them?

Bharanidharan Pandyan: So mostly if I look at say coil products, Hitachi and Siemens do not make this product. GE has a very small factory in Brazil. But mostly for the Indian subcontinent, Asia and Europe, they buy from us. With regards to high voltage instrument transformers, I think Hitachi, Siemens and GE buy more from us in India than their own facilities because of the volume and scale what we are operating.

On the battery energy storage, I think they are far, far more expensive and they are not in this kind of markets where we operate. Sometimes it is also the markets we operate and their factories being different. So, in some markets, they have a product line. We may not compete in other markets. We may be partners.

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Ashok Shah: Are we getting a 30% business from this GE, Siemens, all this Hitachi and everything?

Bharanidharan Pandyan: No, sir. It is not 30%. The data we have as per DRHP around one year back is about top 10 customers make 35% of the business.

Moderator: I think we have lost the connection for Mr. Shah. Ladies and gentlemen, we will take this as the last question for the day. On behalf of Asit C. Mehta Investment Intermediates, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.